IBS Important Concepts

This book covers important concepts from all the subjects which have been asked multiple times in exam, RTP, MTP, case study digest and journals. It will also act as a case study summary for you to revise all the concepts asked in case studies.

Revise these concepts before exam as ICAI have asked it previously in case studies so, it is probable that they might asked similar concept in exam.

Each concept contains the reference of study material and case study where it is asked.

Coverage

Past Year – J26, S25, M25, N24, M24

Journal Feb 2025 – CS 1, CS 2

CSD.M25 – CS 1, CS 2, CS 3, CS 4, CS 5

CSD.S25 - CS 1, CS 2, CS 3, CS 4, CS 5, CS 6, CS 7

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Important Topics (Subject Wise)

FR

Reference	Chapter	Topic
PY.N24.Q2.6	Ind AS 1	Classification - Inventory and trade receivables
PY.M25.Q5.4	Ind AS 1	Classification - Loan, additional comparative information
PY.J26.Q5.6	Ind AS 1	Estimation Uncertainty
PY.S25.Q1.4	Ind AS 10	Adjusting events in interim financials
PY.J26.Q2.7	Ind AS 102	ESOPs in Group Companies
PY.S25.Q2.8	Ind AS 103	Franchise rights
PY.S25.Q4.4	Ind AS 103	Acquisition date
PY.J26.Q2.2	Ind AS 103 & 109	Scope
PY.M25.Q4.1	Ind AS 108	Segment reporting
PY.M24.Q3.6	Ind AS 115	Changes in variable consideration
PY.S25.Q5.5	Ind AS 115	Allocated price
PY.M25.Q2.2	Ind AS 115 + 37	Recognition of the warranties
PY.M24.Q2.4	Ind AS 116	Initial measurement of right of use asset
PY.S25.Q3.8	Ind AS 116	Recognition & Measurement - Machinery taken on lease
PY.S25.Q3.3	Ind AS 16	Derecognition
PY.J26.Q4.4	Ind AS 16	PPE Disclosures
PY.J26.Q5.5	Ind AS 16	Revaluation Surplus
PY.M24.Q2.5	Ind AS 19	Amount in OCI
PY.M25.Q3.2	Ind AS 19	Provident fund plan
PY.M24.Q3.1	Ind AS 2	Value its stock of cars
PY.N24.Q1.2	Ind AS 20	Concessional loan
PY.S25.Q3.2	Ind AS 24	Rental to Director
PY.J26.Q1.4	Ind AS 32	Financial liability
PY.N24.Q2.3	Ind AS 34	Interim financial report
PY.M25.Q1.8	Ind AS 36	Carrying amount of asset
PY.M25.Q1.5	Ind AS 36 + 111	Impairment loss - transfer of equipment to its joint venture
PY.N24.Q1.1	Ind AS 37	Provision for lawsuit
PY.N24.Q4.1	Ind AS 38	Measurement of Intangible Asset
PY.N24.Q4.8	Ind AS 38	Disclosures & Derecognition
PY.M24.Q1.5	Ind AS 8	Change in inventory cost formula
PY.M24.Q1.6	Ind AS 8	Change in purpose of building
PY.N24.Q3.6	Ind AS 8	Error in FS

Important Chapter

- Ind AS 1,
- Ind AS 8,
- Ind AS 16,
- Ind AS 115

AFM

Reference	Chapter	Topic
PY.M24.Q1.2	Advanced Capital Budgeting	Net present value of the proposed project
PY.M24.Q4.7	Advanced Capital Budgeting	Replacement Decision
PY.M25.Q1.7	Business Valuation	EVA - Indicate the efficiency of the management
PY.J26.Q2.3	Derivatives	Forward and Future
PY.J26.Q1.3	Financial Policy & Corp. Strategy	Limiting factor
PY.M24.Q2.7	Forex	Hedging Theory
PY.N24.Q5.2	Forex	Hedging (Forward)
PY.N24.Q5.7	Forex	Hedging (Forward & Money Market)
PY.M25.Q2.7	Forex	Basics (Currency to borrow)
PY.S25.Q3.7	Forex	Hedging (Forward, Money Market & Option)
PY.S25.Q4.7	Forex	Hedging (Forward)
PY.J26.Q5.3	Forex	Exchange rate forecasting (Theory)
PY.N24.Q3.1	International Financial Mgmt.	GDRs
PY.M24.Q2.6	Merger & Acquisition	Stock deal
PY.M25.Q5.2	Merger & Acquisition	Total market capitalization
PY.M25.Q5.8	Merger & Acquisition	Hostile takeover defence strategies
PY.S25.Q5.2	Merger & Acquisition	Stock deal (Post merger EPS)
PY.N24.Q2.4	Mutual Fund	Incentive Fee Calculation
PY.J26.Q3.8	Risk Management	Currency Risk
PY.J26.Q5.7	Risk Management	Currency Risk
PY.M24.Q5.6	Security Analysis	EMA (Exponential Moving Average)
PY.N24.Q4.3	Security Valuation	Position in debt and equity - Theory
PY.N24.Q4.6	Security Valuation	Position in debt and equity - Theory
PY.M25.Q4.2	Security Valuation	Dividend Growth
PY.S25.Q2.7	Security valuation	Bond Refunding
PY.J26.Q1.8	Security Valuation	Dividend Growth & Walter Model
PY.J26.Q3.2	Security Valuation	Bond and interest rate relationship

Important Chapter

- Forex
- Mergers & Acquisition
- Security Valuation

Audit

Reference	Chapter	Topic
PY.M25.Q1.2	Completion and Review	Communication from CG
PY.M25.Q3.3	Digital auditing and assurance	Digital system
PY.M25.Q3.8	Digital Auditing And Assurance	Technology risks in accounting digitization
PY.M25.Q4.5	Digital auditing and assurance	Cyber risk - Ransomware
PY.M25.Q5.5	Digital auditing and assurance	ICoFR & Ind AS 16
PY.S25.Q4.2	Digital Auditing and Assurance	Computer-Assisted Audit Techniques
PY.M25.Q4.7	Group Audit	Consolidated financial statement audit
PY.M24.Q2.8	Internal Audit	Internal Audit - Applicability
PY.M24.Q3.7	Internal Audit	Deficiencies in internal control of receivables
PY.M24.Q3.2	Professional Ethics	Soliciting work by advertisement
PY.M24.Q4.1	Professional Ethics	Advocacy Threat
PY.M24.Q4.2	Professional Ethics	Practice in his name
PY.S25.Q1.1	Professional Ethics	Responding to NOCLAR applicable to Professional Accountants in service
PY.J26.Q4.8	Professional Ethics	Confidentiality- Subsection 114
PY.S25.Q5.1	Prospective Financial Information	SAE 3400 UDIN requirements
PY.J26.Q1.2	Quality Control	Engagement quality control review
PY.N24.Q4.5	Reporting	Key Audit matter paragraph
PY.S25.Q1.2	Reporting	CARO
PY.N24.Q1.6	Reporting SA 705 + CARO	Issues in the respective audit report
PY.M24.Q1.7	Reporting SA 706	EOM - outstanding amounts receivable
PY.J26.Q2.5	Review of Financial Information	Interim Financial Information
PY.J26.Q2.8	Review of Financial Information	Additional Procedures under SRE
PY.S25.Q1.6	SA 510	Opening balance of inventory
PY.N24.Q5.8	SAE 3400	Examination of Prospective Financial Information
PY.J26.Q5.4	Specialised Areas (SA 800, 805, 810)	Auditor's Report on Summary Financial Statements
PY.S25.Q2.4	Sustainable Development Goals & ESG Assurance	Nine Principles of BRSR

Important Chapter

- Digital Auditing and Assurance
- Professional Ethics
- Reporting

Direct Tax

Reference	Chapter	Topic
PY.M24.Q3.8	Appeals & Revision	Rectification order
PY.J26.Q3.5	Assessment of Trusts & Institutions	Charitable trust registration application
PY.J26.Q3.7	Assessment of Trusts & Institutions	Charitable trust income and tax
PY.M24.Q4.8	Assessment of Trusts & Institutions	Charitable status
PY.N24.Q3.3	Assessment of Various Entities	Book profit 115JB
PY.S25.Q5.8	Assessment of Various Entities	Book profit 115JB
PY.M24.Q5.1	Assessment Procedure	Right the error in turnover and ITR filed
PY.N24.Q1.7	Capital Gains	taxable income and tax liability
PY.M25.Q4.3	Capital Gains	Slump sale - Demerger
PY.M25.Q4.8	Capital Gains	Agricultural land sale and share buyback
PY.M24.Q5.2	Deduction, Collection and Recovery of Tax	Loan amount granted to director
PY.N24.Q2.5	Deduction, Collection and Recovery of Tax	TDS on the goods purchase
PY.M25.Q1.4	Deduction, Collection and Recovery of Tax	ESOP shares allotted
PY.S25.Q4.6	Deduction, Collection and Recovery of Tax	TDS
PY.N24.Q1.5	income from other sources	Gift (below market price)
PY.N24.Q3.2	Non Resident Taxation	TDS on GDR Interest
PY.M24.Q5.7	NR Taxation	NRTP + TDS & taxability
PY.M24.Q1.3	PGBP	Depreciation & Add Depreciation
PY.M24.Q4.3	PGBP	Glow Sign Boards
PY.M24.Q4.5	PGBP	Computation of total income
PY.M24.Q4.6	PGBP	Computation of total income
PY.N24.Q2.1	PGBP	Trade in shares and commodity derivatives
PY.M25.Q3.1	PGBP	Depreciation
PY.M25.Q5.3	PGBP	Loss as per Books of account and Audit
PY.J26.Q5.8	PGBP	43A - Change in exchange rate
PY.J26.Q4.2	PGBP	35AD Specified Business
PY.N24.Q5.5	Provisions To Counteract Unethical Practices	Penalty for underreporting and misreporting
PY.S25.Q1.5	Tax Audit	Clause 21, 25 & 31
PY.N24.Q4.2	Transfer Pricing	Limitation of Interest Deduction (94B)
PY.M25.Q2.8	Transfer Pricing	Secondary Adjustment
PY.S25.Q2.2	Transfer Pricing	Data to be used for analyzing an uncontrolled transaction
PY.S25.Q2.6	Transfer Pricing	Rule 10 C Most appropriate method

Important Chapter

- Assessment of Trusts & Institutions
- Deduction, Collection and Recovery of Tax
- PGBP
- Transfer Pricing

Indirect Tax

Reference	Chapter	Topic
PY.M25.Q5.7	Accounts And Records	E-way bill and record maintenance periods
PY.M24.Q3.4	Appeals & Revision	Additional pre-deposit
PY.M25.Q1.3	Assessment and audit	Special Audit
PY.J26.Q4.5	Charge of GST	Remuneration to Director
PY.N24.Q3.5	Demand and Recovery	Penalty after SCN
PY.J26.Q1.6	Demand and Recovery	Short payment of tax after issue of SCN
PY.M24.Q3.3	Demands and Recovery	Without invoice but with fraudulent intent.
PY.J26.Q3.4	Exemption	Yoga & Meditation Camp
PY.S25.Q1.3	Foreign Trade Policy	Advance Authorisation Scheme
PY.S25.Q3.5	Foreign Trade Policy	Status Holder
PY.J26.Q5.1	FTP & Import and Export under GST	Zero rated supply
PY.M24.Q1.4	Input Tax Credit	Blocked Credit - Passenger vehicles & fork-lift
PY.N24.Q1.8	Input Tax Credit	Capital goods ITC
PY.N24.Q4.4	Input Tax Credit	Input Service Distributor
PY.M25.Q2.5	Input Tax Credit	Warranty as mixed supply
PY.M25.Q4.6	Input Tax Credit	ITC Eligibility and calculations
PY.S25.Q1.8	Input Tax Credit	ITC Reversal
PY.S25.Q4.5	Input Tax Credit	Blocked Credit
PY.N24.Q1.3	Invoice	Issue of invoice (Sale or return basis)
PY.N24.Q5.3	Job Work	Input tax
PY.N24.Q4.7	Payment of Tax	86B
PY.M24.Q1.1	Penalty	Penalty - aiding and abatement
PY.S25.Q2.5	Place of supply	Place of supply
PY.N24.Q5.1	Refund	Unjust enrichment
PY.M24.Q5.4	Returns	Time limit - claim of ITC through GSTR 3B
PY.M24.Q2.2	Supply under GST	Sponsorship of event - RCM
PY.N24.Q2.7	Time and Place of Supply	Imported service time & place
PY.J26.Q1.5	Time and Place of Supply	Change in rate of tax
PY.M24.Q5.5	Valuation under Custom	Value of export of service
PY.N24.Q3.4	Valuation under Custom	Customs duty payable
PY.M25.Q3.7	Valuation under Custom	Assessable Value & Custom Duty on Imports
PY.M24.Q2.3	Value of Supply	Value of Machinery adjustments
PY.M25.Q2.4	Value of Supply	Value of the corporate guarantee
PY.J26.Q4.7	Value of Supply	VOS: Consideration not in money
PY.S25.Q5.7	Warehousing	Interest & Duty on delayed removal

Important Chapter

- Demands and Recovery
- Input Tax Credit
- Value of Supply
- Valuation under Custom

Law

Reference	Chapter	Topic
PY.S25.Q4.1	Appointment and Qualifications of Directors	Women Director
PY.M25.Q1.6	Appointment and Qualifications of Directors	Director appointment & disqualification
PY.J26.Q1.1	Appointment and Qualifications of Directors	Maximum no. of directors (Section 149)
PY.J26.Q2.4	Appointment and Qualifications of Directors	Maximum no. of directorship (Section 165)
PY.N24.Q5.6	Appointment & Remuneration of Managerial Personnel	Overall maximum managerial remuneration (Sec. 197)
PY.J26.Q4.1	Appointment and Remuneration of Managerial Personnel	Overall maximum managerial remuneration (Sec. 197)
PY.N24.Q3.8	Compromises, Arrangements & Amalgamations	Petition by the minority shareholders
PY.J26.Q1.7	Compromises, Arrangements and Amalgamations	Section 230(7) Certificate by Auditor
PY.M24.Q2.1	FCRA	Gift - foreign contribution
PY.N24.Q1.4	FCRA	Consequences of suspension certificate
PY.M25.Q3.4	FCRA	Gift - foreign contribution
PY.N24.Q2.2	FEMA	ECB
PY.M25.Q3.5	FEMA	Transfer - inherited agricultural land
PY.M25.Q4.4	FEMA	Premium payment on behalf of his brother
PY.M25.Q5.6	FEMA	ODI regulations for financial services
PY.S25.Q1.7	FEMA	ECB - Entities under restructuring
PY.S25.Q3.4	FEMA	Current Account Transaction
PY.J26.Q3.3	FEMA	Overseas investment (ODI by trust)
PY.M25.Q2.3	Meeting of Board and Its Powers	Appointment of KMP & Additional Director
PY.N24.Q5.4	Meeting of Board and Its Powers	Related Party Transaction (Sec. 188)
PY.S25.Q2.1	Meeting of Board and Its Powers	Transactions between a holding company and its wholly owned subsidiary
PY.M24.Q5.8	Meeting of Board and Its Powers	Loan to director
PY.S25.Q5.4	SEBI	Initial Public Offer
PY.J26.Q5.2	SEBI	Corporate Governance w.r.t. Subsidiary
PY.J26.Q2.4	SEBI	Maximum no. of directorship
PY.J26.Q3.1	The Foreign Contribution Regulation Act, 2010	Intimation of foreign contri. (Sec. 18)
PY.M24.Q3.5	Winding Up	Liquidators and their appointments

Important Chapter

- Appointment and Qualifications of Directors
- Meeting of Board and Its Powers
- FEMA
- FCRA
- SEBI

SCPM

Reference	Chapter	Topic
PY.S25.Q4.8	Introduction To Strategic Cost Management	Porter's Five Forces
PY.J26.Q4.6	Introduction To Strategic Cost Management	Value Chain
PY.M25.Q2.1	Introduction To Strategic Cost Management	Supply chain transformation (JIT)
PY.M24.Q5.3	Lean System and Innovation	Kaizen Costing
PY.N24.Q3.7	Lean System and Innovation	5S methodology-TPM
PY.J26.Q2.1	Lean System and Innovation	JIT, value stream
PY.M25.Q1.1	Management Of Cost Strategically For Emerging Business Models	Freemium - business model
PY.M25.Q5.6	Management Of Cost Strategically For Emerging Business Models	Business model components analysis
PY.S25.Q2.3	Management Of Cost Strategically For Emerging Business Models	Automation
PY.M25.Q2.6	Modern Business Environment	Supply chain optimization strategies
PY.J26.Q2.6	Modern Business Environment	Components of Cost of Quality
PY.M24.Q1.8	Special Cost Management Technique	Throughput Accounting
PY.M25.Q5.1	Special Cost Management Technique	Throughput accounting
PY.M24.Q4.4	Standard Costing	Material usage variance
PY.N24.Q2.8	Standard Costing	Traditional & Operational Variance
PY.S25.Q5.6	Standard Costing	Reconciliation of profit
PY.J26.Q3.6	Strategic Performance Measures In NPO	Value for Money Framework
PY.S25.Q3.6	Strategic Performance Measures in Private Sector	Triple Bottom Line (TBL)
PY.S25.Q5.3	Strategic Performance Measures in Private Sector	Balanced Scorcard
PY.J26.Q4.3	Strategic Performance Measures in Private Sector	Triple Bottom Line (TBL)
PY.S25.Q3.1	Strategic Profit Management	Strategic Profitability Analysis
PY.M25.Q3.6	Strategic revenue management	Make or buy decision analysis
PY.S25.Q4.3	Strategic revenue management	Revolutionary product

Important Chapter

- Introduction To Strategic Cost Management
- Lean System and Innovation
- Management Of Cost Strategically For Emerging Business Models
- Standard Costing
- Strategic Performance Measures In Private Sector

Ind AS 1 – Presentation of Financial Statements

Distinction between Current / Non-current – Page 3.26 PY.N24.Q2.6

Current Assets

An entity shall classify an asset as current when:

(a) it **expects to realise** the asset, or intends to sell or consume it, in its **normal operating cycle**;

(b) it **holds** the asset primarily for the **purpose of trading**;

(c) it **expects to realise** the asset **within 12 months after the reporting period**; or

(d) the **asset is cash or a cash equivalent** (as defined in Ind AS 7) **unless the asset is restricted** from being exchanged or used to settle a liability **for at least 12 months** after the reporting period.

An entity shall classify **all other assets as non-current**

Operating Cycle

The operating cycle of an entity is the **time between the acquisition of assets for processing and their realisation in cash or cash equivalents**. When the entity's normal operating cycle is not clearly identifiable, it is assumed to be 12 months.

Current assets include assets (such as inventories and trade receivables) that are sold, consumed or **realised as part of the normal operating cycle even when they are not expected to be realised within twelve months** after the reporting period.

Current Liabilities

An entity shall classify a **liability as current** when:

(a) it expects to settle the liability in its **normal operating cycle**;

(b) it **holds** the liability primarily for the **purpose of trading**;

(c) the liability is due to be **settled within 12 months** after the reporting period; or

(d) it does **not have an unconditional right to defer settlement** of the liability **for at least 12 months** after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

An entity shall classify **all other liabilities as non-current**.

When an **entity breaches a provision of a long-term loan** arrangement **on or before the end of the reporting period** with the effect that the **liability becomes payable on demand**, the entity **does not classify the liability as current** if the **lender agreed**, **after the reporting period and before the approval** of the financial statements for issue, **not to demand payment** as a consequence of the breach.

Change in accounting policy, retrospective restatement or reclassification – Page 3.22 -CSD.S25.Q1.6

As per paragraph 40A of Ind AS 1, an entity shall **present a third balance sheet** as at the **beginning of the preceding period** in addition to the minimum comparative financial statements if, inter alia, **retrospective restatement** has a **material effect on** the information in the balance sheet at the **beginning of the preceding** period.

Disclosure of accounting policies – Page 3.53 - PY.J26.Q5.6

An entity shall **disclose material accounting policy** information. Accounting policy information is **material if**, when considered together with other information included in an entity's financial statements, it can reasonably be expected to **influence decisions that the primary users** of general purpose financial statements make on the basis of those financial statements.

Accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and **need not be disclosed**.

An entity is likely to consider **accounting policy information material** to its financial statements **if that information relates to material transactions**, other events or conditions and:

(a) the entity **changed its accounting policy** during the reporting period and this change **resulted in a material change to the information in the financial** statements;

(b) the entity **chose the accounting policy from one or more options** permitted by Ind AS

(c) the accounting policy was **developed in accordance with Ind AS 8 in the absence of an Ind AS** that specifically applies;

(d) the accounting policy **relates to an area for which an entity is required to make significant judgements** or assumptions in applying an accounting policy, and the entity discloses those judgements or assumptions; or

(e) the **accounting required for them is complex** and **users of the entity's financial statements would otherwise not understand** those material transactions, other events or conditions— **such a situation could arise if an entity applies more than one Ind AS to a class of material transactions**.

Ind AS 2 - Inventories

Measurement of Inventories – Page 5.6 - PY.M24.CS3.Q3.1

Inventories shall be measured at the **lower** of **cost** and **net realisable value**

Net realisable value is the **estimated selling price** in the ordinary course of business **less** the **estimated costs of completion** and the **estimated costs** necessary **to make the sale**.

Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors

Change in Accounting Policy PY.M24.Q1.6, PY.M24.Q1.5

Accounting policies are the specific **principles**, **bases**, **conventions**, **rules** and **practices applied** by an entity **in preparing and presenting** financial statements.

A **change in the measurement** basis applied is a **change in an accounting policy**.

E.g., Change in inventory cost formula (FIF0, LIF0, WA) is a change in accounting policy

A **change in classification** of a building **from property**, plant and equipment **to investment property due to change in the purpose** for which it is held by the entity is **not a change in an accounting policy**

Prior Period Errors – Page 4.33 (Page PQ25, TYK 1) PY.N24.Q3.6, CSD.S25.Q3.6

Prior period errors are **omissions** from, **and misstatements** in, the **entity's financial statements** for one or more prior periods **arising from a failure to use**, or **misuse** of, **reliable information that**:

(a) was **available when financial statements** for those periods were **approved** for issue; and

(b) could **reasonably be expected** to have been **obtained** and taken into account in the preparation and presentation of those financial statements.

Such errors include the effects of **mathematical mistakes**, **mistakes in applying accounting policies**, oversights or **misinterpretations of facts**, and **fraud**.

Further, paragraph 41 of Ind AS 8 states that **errors can arise in respect of the recognition, measurement, presentation or disclosure** of elements of financial statements

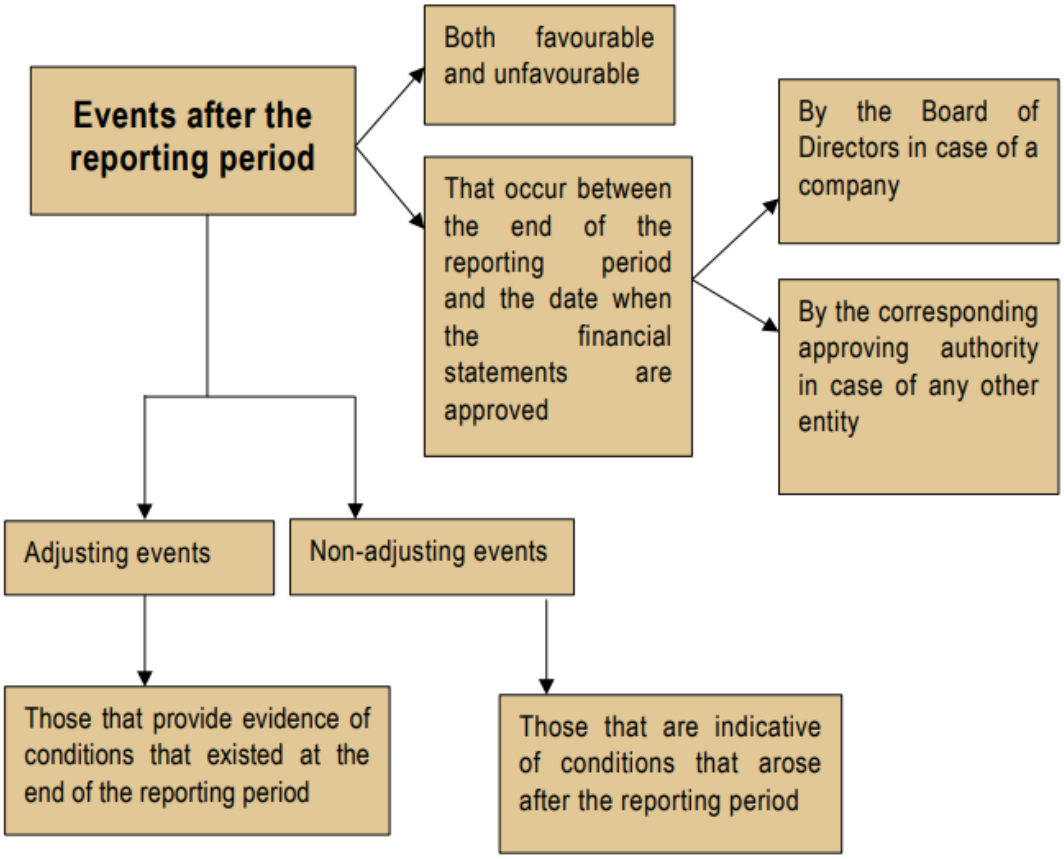
As per para 42 of Ind AS 8, an **entity shall correct material prior period errors retrospectively** in the **first set of financial statements** approved for issue after their discovery by:

(a) **restating the comparative** amounts for the prior period(s) presented in which the error occurred; or

(b) if the **error occurred before the earliest prior period presented**, **restating the opening balances** of assets, liabilities and equity **for the earliest prior period presented**.

Ind AS 10 'Events after the reporting period'

Events after the Reporting Period - PY.S25. Q1.4



Ind AS 16, 'Property, Plant and Equipment'

Definition of Property, Plant and Equipment as per Ind AS 16 - PY.M24.Q1.6

As per Ind AS 16, 'Property, Plant and Equipment' are **tangible items** that:

(a) are **held for use** in the **production** or **supply** of goods or services, for **rental** to others, or for **administrative** purposes; **and**

(b) are expected to be used during **more than one period**.

Disclosure- general – Page 5.73 PY.J26.Q4.6

The financial statements shall disclose, for each class of property, plant and equipment:

(a) the **measurement bases** used for determining the gross carrying amount;

(b) the **depreciation methods** used;

(c) the **useful lives** or the depreciation rates used; and

(d) the **gross carrying amount and the accumulated depreciation** (aggregated with accumulated impairment losses) at the beginning and end of the period.

*Disclosure of Fair value of PPE is not mandatory

Ind AS 19 Employee Benefits

Statement of Defined Benefit Obligation & Plan Asset PY.M24.CS2.Q2.5 - M

Plan Assets	Defined Benefit Obligation
Opening Balance of Assets	**Opening Balance of liability**
Add: Cash Contribution	Add: Current Service Cost
Add: Interest on opening asset (expected return)	Add: Interest on opening liability
Less: Benefit paid	Less: Benefit paid
Add/ Less: Actuarial loss/ gain **(Bal. fig)**	Add/ Less: Actuarial loss/ gain **(Bal. fig)**
Closing balance of Asset	**Closing balance of liability**

Ind AS 23 – Borrowing Cost

Commencement of capitalization – Page 5.113 - CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.1 - M

As per para 17 of Ind AS 23, Borrowing costs, the **capitalization of borrowing cost** on qualifying asset starts when all the **three conditions are met** i.e.

1. **Expenditures are incurred** for acquiring or constructing the qualifying asset,
2. **Borrowing costs are incurred** on those qualifying asset, and
3. The **activities** necessary **to prepare the qualifying asset** for its intended use or sale **are undertaken**.

Capitalization Rate CSD.M25.Q4.4

$$\text{Capitalization Rate} = \frac{\text{Total finance costs during the construction period}}{\text{Weighted average borrowing during the construction period}}$$

$$\text{Weighted average borrowing} = \text{Sum of } \left(\text{Borrowing} \times \frac{\text{Borrowing period}}{\text{Total period}}\right)$$

Ind AS 24 – Related Party Disclosures

Understanding relationship between the reporting entity and a person(s) – Page 8.5 CSD.M25.CS4.Q4.6

Under Ind AS 24, "Related Party Disclosures," related parties are defined as **entities or individuals** that have the **ability to exercise control or significant influence** over the **reporting entity**, or **vice versa.**

Ind AS 36 'Impairment of Assets' PY.M25.Q1.8

Impairment Loss

If Carrying amount < Recoverable Amount, then impairment loss needs to be recorded as below

Impairment Loss = Carrying amount - Recoverable Amount

Impairment loss should be **allocated to goodwill first**, and **then to the other** identifiable assets.

Ind AS 38 'Intangible Assets'

Recognition of Intangible Asset under development – Page 5.233 (PQ 8) CSD.S25.CS6.Q6.8 - D

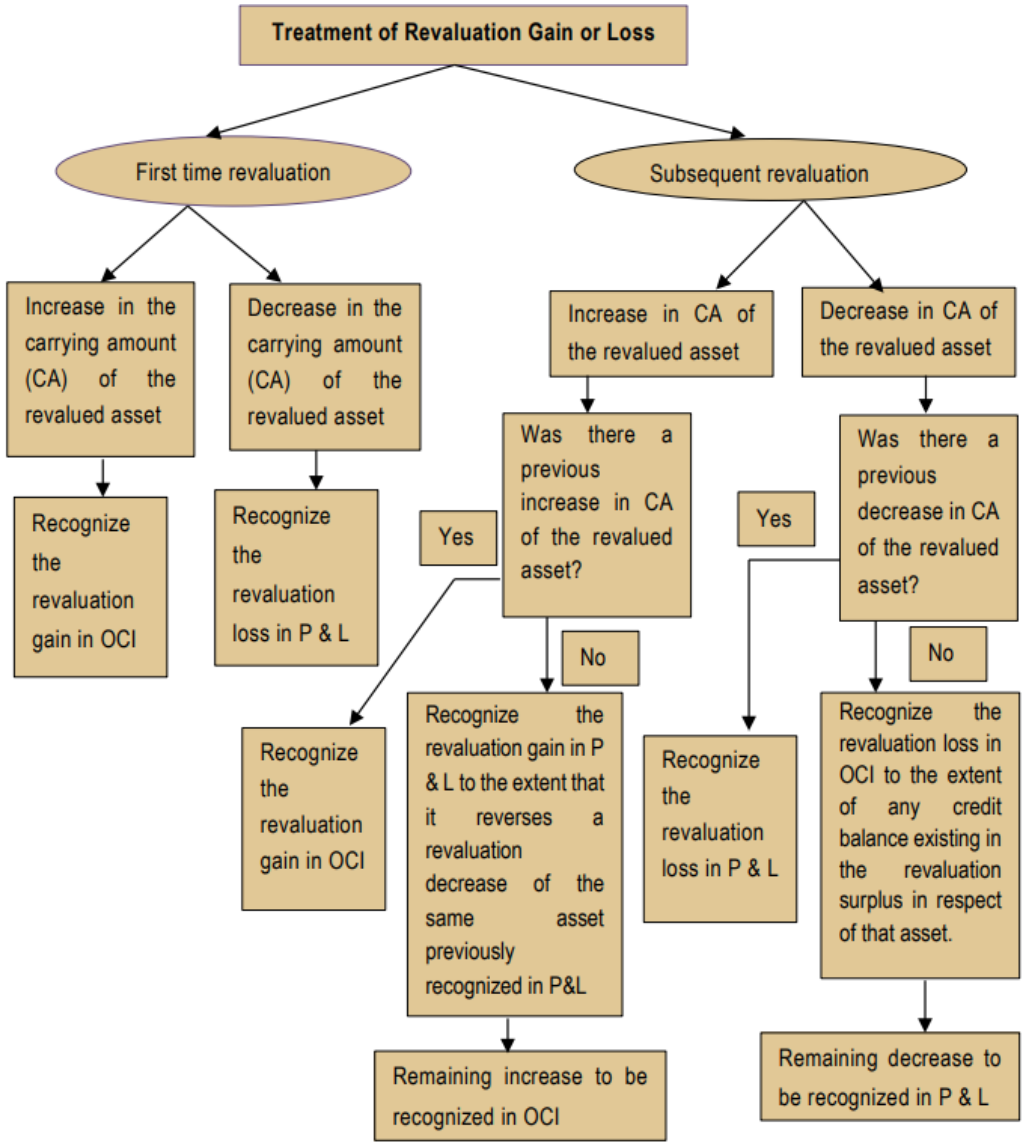
An **intangible asset arising from development** (or from the development phase of an internal project) should be **recognized if** and only if an entity **can demonstrate all** of the following:

- **Technical feasibility** of completion of Intangible asset to make it **available for use or sale**
- **Ability to use or sell** the intangible asset.
- **Intention to complete** the intangible asset and use or sell it
- **Adequate resources** (like technical, **financial** or others) **to complete** the development.
- How the intangible asset will **generate probable future economic benefits**. among other things the entity can demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or if it is to be used internally the usefulness of the intangible asset.
- **Ability to measure reliably the expenditure** attributable to the intangible asset during its development.

Expenses incurred prior to regulatory approval should be **expensed out**.

Ind AS 36 'Impairment of assets' requires an **intangible asset not yet available** for use **to be tested for impairment annually**.

Treatment of Revaluation Gain or Loss – Page 5.242 (Ill. 11 Page 5.60) CSD.S25.Q7.6, PY.J26.Q5.6



Ind AS 37 – Provisions, Contingent Liabilities and Contingent Assets

Onerous Contract – Page 6.128 CSD.S25.CS2 & Journal Feb 2025. CS2. Q2.1 - M

Ind AS 37 defines an onerous contract as a contract in which the **unavoidable costs** of **meeting the obligations** under the contract **exceed the economic benefits** expected **to be received** under it.

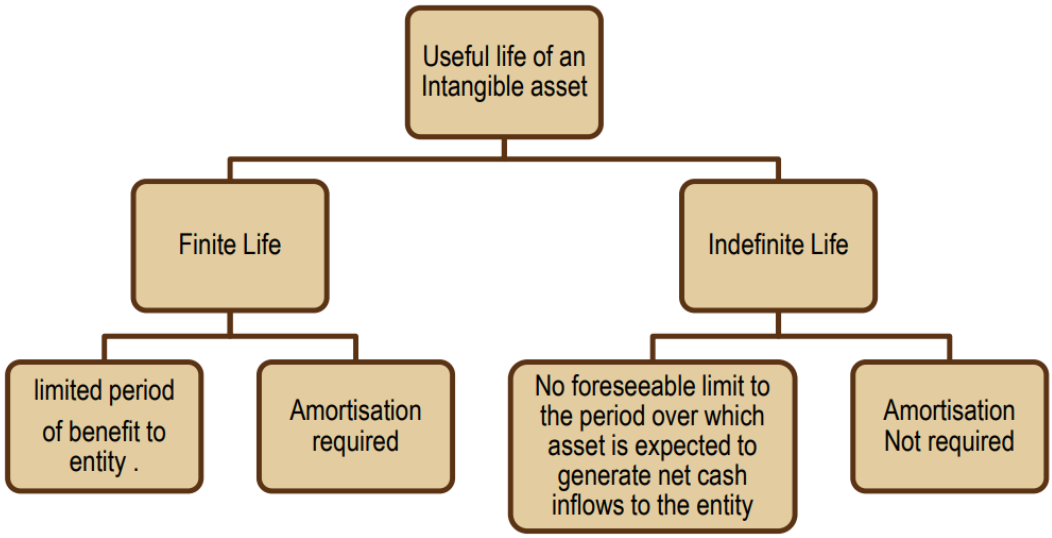
If an entity has a contract that is onerous, the **present obligation** under the contract **should be recognized** and measured **as a provision**.

Before a separate **provision** for an onerous contract **is established**, an entity should **recognise any impairment loss** that has **occurred on assets** used in fulfilling that contract (in accordance with Ind AS 36).

Further, if **no condition** to terminate the contract **existed** on or before the **reporting date**, it will **not** be considered as an **adjusting event** to be provided for.

Ind AS 38 – Intangible Asset

Useful Life – Page 5.246 PY.S25.Q2.8



Disclosure – Page 5.256 PY.N24.Q4.8

An entity should **disclose the following** for each class of intangible assets:

(a) whether the **useful lives are indefinite or finite** and, if finite, the useful lives or the **amortisation rates** used;

(b) the **amortisation methods** used for intangible assets with finite useful lives;

(c) the **gross carrying amount and any accumulated amortization** (aggregated with accumulated impairment losses) at the beginning and end of the period;

(d) the **line item**(s) of the statement of **profit and loss in which any amortisation** of intangible assets is **included**; and

(e) a **reconciliation of the carrying amount** at the beginning and end of the period showing:

1. **Additions**, indicating separately those from internal development, those acquired separately, and those acquired through business combinations;
2. Assets **classified as held for sale** or included in a disposal group classified as held for sale in accordance with Ind AS 105 **and other disposals**;
3. **Increases or decreases** during the period resulting **from revaluations and from impairment** losses recognized or reversed in other comprehensive income;
4. **Impairment losses recognized** in profit or loss during the period;

5. **Impairment losses reversed** in profit or loss during the period;
6. Any **amortisation recognized** during the period;
7. **Net exchange differences** arising on the transaction of the financial statements into the presentation currency, and on the translation of a foreign operation into the presentation **currency** of the entity; and
8. **Other changes** in the carrying amount during the period

Conditions for derecognition of intangible assets

An intangible asset should be **derecognized**:

a. On **disposa**l; or
b. When **no future economic benefits are expected** from its use or disposal.

The disposal of an intangible asset may occur in a variety of ways (e.g. by sale, by entering into a finance lease, or by donation).

Ind AS 40 – Investment Property

Transfers of Investment Property to PPE– Page 5.294 CSD.S25.CS3 Q3.1 - M

As per Ind AS 40, Initial recognition of an owned **investment property** should be at **cost only**. As per para 59 of Ind AS 40, "Investment Property" **Transfers between investment property, owner-occupied property and inventories** do **not change** the **carrying amount** of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.

Definition of Investment Property as per Ind AS - 40: PY.M24.CS1.Q1.6 - D

As per Ind AS 40, 'investment property' is **property** (land or a building — or part of a building — or both) **held** (by the owner or by the lessee as a right-of-use asset) **to earn rentals** or for **capital appreciation** or **both**, **rather than for**:

(a) use in the **production** or **supply** of goods or services or for **administrative** purposes; or

(b) **sale in** the ordinary course of **business**."

Ind AS 41 – Agriculture

Measurement, Gains and losses – Page 10.9 & 10.12 CSD.S25.CS4 Q4.7 - D

Biological Asset should be measured **on initial recognition** and at the **end of each reporting period** at its **fair value less costs to sell**, except for the case where the fair value cannot be measured reliably.

Biological Asset:

A **gain or loss** arising **on initial recognition** of a Biological Asset **at Fair value less costs to sell and** from a **change in Fair value less costs to sell** of a biological asset shall be **included in Profit or Loss** for the period in which it arises.

Agriculture Produce:

A **gain or loss** arising **on initial recognition** of agricultural produce **at fair value less costs to sell** shall be **included in profit or loss** for the period in which it arises.

Ind AS 102 - Share-based Payment

Equity Settled- Share-Based Payments – Page 10.72 CSD.S25.Q3.3, PY.J26.Q2.7

Expense for Year $_n$ = (Expected no. of employees at the end of the vesting period × Shares per employee × Fair value of a share × Proportionate vesting period) - Expense recognized in Year $_{(n-1)}$

Accounting implication of surrender of rights by the employees

As per Ind AS 102, this would be **treated as a cancellation of the ESOP**. Hence, the **balance standing in ESOP Outstanding is transferred to Retained Earnings**.

Group Companies – ESOP plan issue by subsidiary to employee of parent company – Page 10.107 - PY.J26.Q2.7

Parent would consider the payment/ settlement which is being made by its subsidiary as **credit to "Dividend Income" and debit to Expenses (employee related cost)**.

Subsidiary would **debit its retained earnings as "Dividend distribution" and credit Equity (being share issued).**

Ind AS 103 "Business Combinations"

Determining the acquisition date – Page 12.27 - PY.S25.Q4.4

Acquisition date will be the date on which the acquirer obtains control.

Calculation of goodwill – Page 13.60 - CSD.M25.CS4.Q4.5

Fair Value method	₹
Fair value of cash consideration Transferred	100
Add: Fair value of non-controlling interest	20
Less: Value of subsidiary's identifiable net assets as per Ind AS 103	(50)
Goodwill	70

Proportionate Share Method	₹
Fair value of cash consideration Transferred	100
Add: Proportional share of non-controlling interest in the identifiable net assets	10
Less: Value of subsidiary's identifiable net assets as per Ind AS 103	(50)
Goodwill	60

Impairment loss on downstream and upstream transaction between an entity and its joint venture – Page 13.160 PY.M25.Q1.5

When **downstream transactions** provide **evidence of a reduction in the net realisable value** of the assets to be sold or contributed, or of an **impairment loss** of those assets, those losses **shall be recognised in full by the investor**.

When **upstream transactions** provide **evidence of a reduction in the net realisable value** of the assets to be purchased or of an **impairment loss** of those assets, the **investor shall recognise its share in those losses.**

Ind AS 109 – Accounting and reporting of financial instruments

Split accounting for Compound Financial Instruments – Page 11.123 PY.J26.Q1.4

Instruments having **Obligations to deliver cash** are classified as "**financial liability**"

Instruments having **Settlement in own equity** are classified as **"equity"**

Instruments having **both Obligations to deliver cash & Settlement in own equity** are classified as **"Compound Financial Instruments"**

The initial carrying amount of a compound financial instrument is **allocated to its equity and liability components**:

the **equity component** is assigned the **residual amount** i.e.

- **Fair value** of the instrument as a whole,
- Less: Amount separately determined for the **liability component**.

Impairment - Credit Loss Allowance – Page 11.88 CSD.S25.Q5.8

How the entity determine whether it should apply 12-month ECL or lifetime ECL?

The decision tree to be applied in determining whether the entity needs to provide for 12-month expected credit losses or life time expected credit losses is applied as follows:

Three Stage Model for Impairment			
Particular	**Stage 1**	**Stage 2**	**Stage 3**
	Initial Recognition	**Significant increase in credit risk**	**Credit Impaired**
Credit Risk	Low	Moderate to High	Significant
ECL Model	12 Month ECL	Life-time ECL	Life-time ECL
Interest recognition	Interest on gross carrying amount	Interest on gross carrying amount	Interest on amortised cost

12 Month Loss allowance = Loan × Loss given default (LGD) % × Probability of Default

Ind AS 115 – Revenue from contracts with customers

Criteria for identifying performance obligation – Page 9.21 CSD.S25.Q5.3

Two-step model to **identify which goods** or services are **distinct**

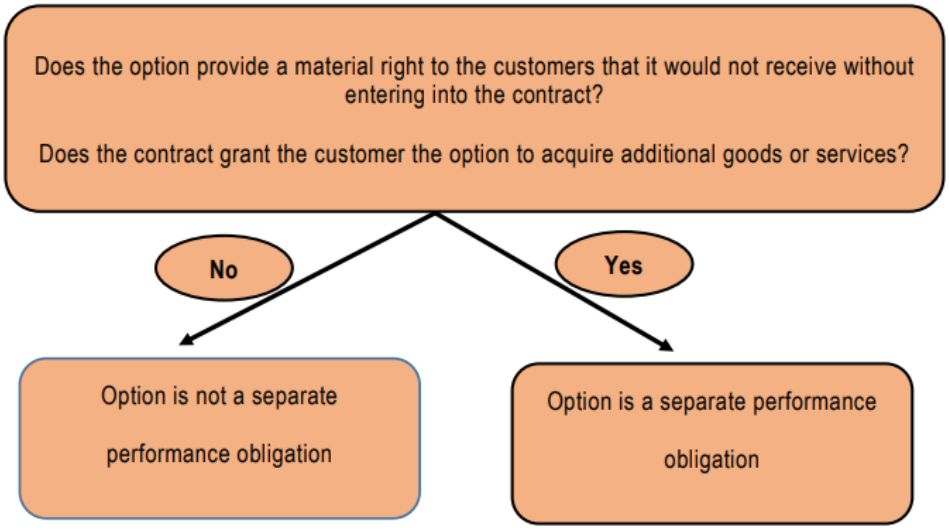
Step 1 - Focus on whether the good or service is **capable of being distinct**

- **Customer can benefit** from the individual good or service **on its own**
- Or; Customer can **use** good or service **with other readily available resources**

Step 2 - Focus on whether the good or service is **distinct in the context of the contract**

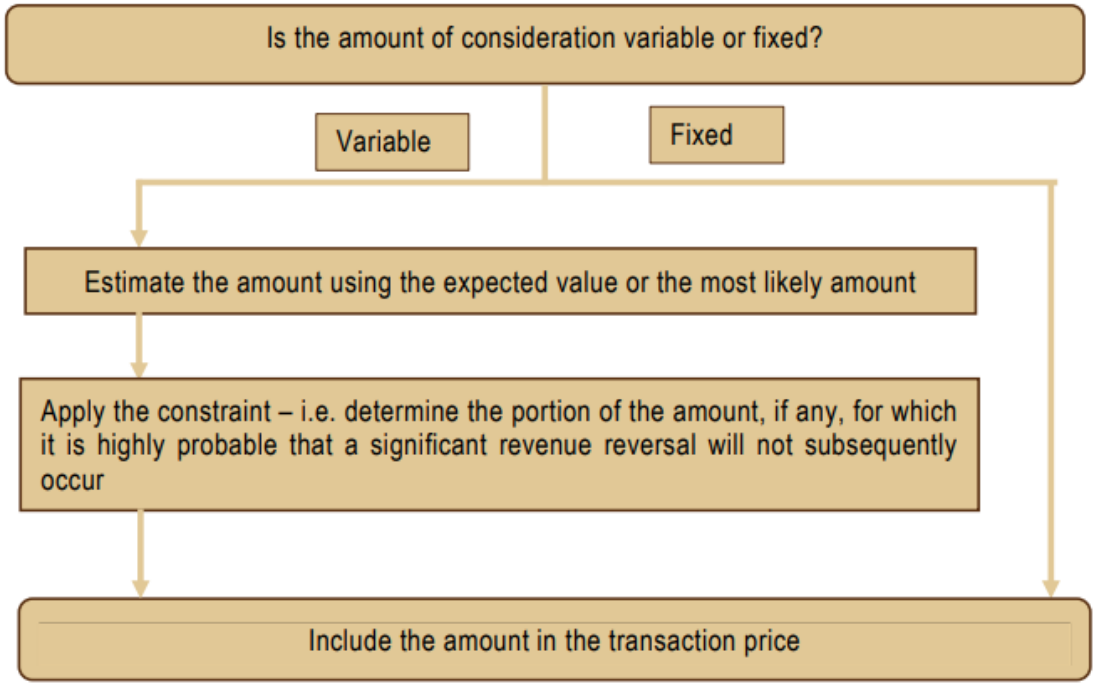
- The good or service is **not integrated** with, **highly dependent** on, **highly interrelated** with, or significantly modifying or customizing other promised goods or services in the contract

Customer options for additional goods or services – Page 9.36 PY.S25.Q5.5



Determining the transaction price – Page 9.46

Measurement of variable consideration – Page 9.49 PY.M24.Q3.6



At the end of each reporting period, an entity shall update the estimated transaction price and account for changes.

Significant financing component and reversal of revenue – Page 9.66 CSD.S25.Q1.8

As per Ind AS 115 "Revenue from contracts with customers", **revenue is recognized when control** of goods or services **is transferred** to the customer. The standard introduces a **5-step model** for revenue recognition, **centered around** the core principle that **revenue should reflect the transfer of promised goods or services** in **exchange for consideration** expected.

If a contract includes a **significant financing component**, the **transaction price** must be **adjusted for the time value of money** as the timing of payments provides either the customer or the entity with a significant financing benefit.

Goods sold with the right of return

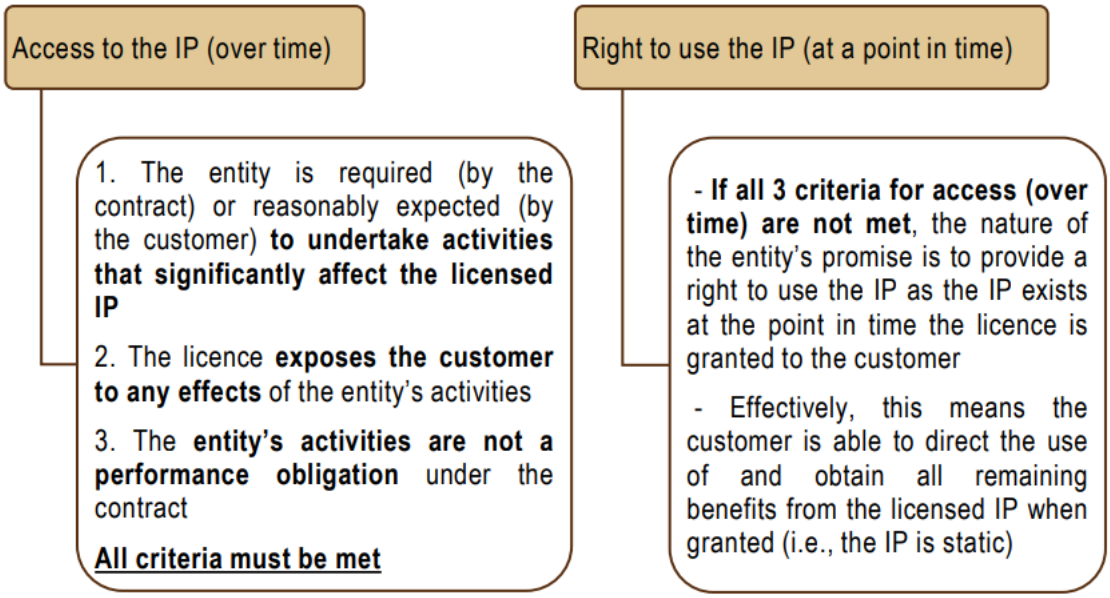
Under Ind AS 115, when **goods are sold with** the **right of return**, revenue is **recognized only to the extent** that it is highly probable that a **significant reversal of revenue will not occur** when the uncertainty is resolved. **Recognize revenue** for the **portion of goods expected not to be returned**. **Refund liability** is recognized for the **amount expected to be refunded**.

Licenses of intellectual property - Revenue Recognition – Page 9.123 CSD.S25.Q5.4

A licence will either provide:

• a **right to access** the entity's intellectual property **throughout the licence period**, which results in revenue that is **recognized over time**; or

• a **right to use** the entity's **intellectual property** as it exists **at the point in time** in which the licence is granted, which results in revenue that is **recognized at a point in time**.



Ind AS 116 – Leases

Initial recognition PY.S25.Q3.8 , PY.M24.Q2.4, CSD.M25.CS4.Q4.1

Lease liability = **Present value** of **all lease payment** discounted **at effective interest rate**.

Initial Measurement of Right of Use Asset

Particular	Amount
Initial measurement of lease liability	100
Add: Lease payments made to lessor at or before the commencement date	20
Add: Initial direct cost	10
Add: Commission	2
Less: Lease incentives received from lessor	(10)
Initial measurement of right-of-use asset	**122**

If lease is in foreign currency, then treatment of change in exchange rate PY.S25.Q3.8

As per Ind AS 21 The Effects of Changes in Foreign Exchange Rates, **monetary assets and liabilities** are **restated at each reporting date at the closing rate** and the **difference** due to foreign exchange movement is **recognised in profit and loss**

whereas **non-monetary assets and liabilities carried measured** in terms of **historical cost** in foreign currency are **not restated**.

Accordingly, the **ROU asset** in the given case being a **non-monetary asset** measured in terms of historical cost in foreign currency will **not be restated** but the **lease liability** being a **monetary liability** will be **restated at each reporting date** with the resultant difference being taken to profit and loss.

Separation of lease and non-lease components – Page 5.381 CSD.S25.Q6.5

Allocate the consideration in the contract to the lease and non-lease components on a **relative stand-alone price basis**.

Chapter 1 - Financial Policy and Corporate Strategy

Limiting Factor (Page 1.2) - PY.J26.Q1.3

Capital is the limiting factor, the problem that the management will face is the **strategic allocation of limited funds between alternative uses** in such a manner, that the companies have the ability **to sustain or increase investor returns** through a continual search for investment opportunities that generate funds for their business and are more favourable for the investors.

Chapter 2 – Risk Management

Parameters to identity the currency risk (Page 2.8) - PY.J26.Q5.7

Some of the parameters to identity the currency risk are as follows:

(1) **Government Action**: The Government action of any country has visual impact in its currency. For example, the UK Govt. decision to divorce from European Union i.e. Brexit brought the pound to its lowest since 1980's.

(2) **Nominal Interest Rate**: As per interest rate parity (IRP) the currency exchange rate depends on the nominal interest of that country.

(3) **Inflation Rate**: Purchasing power parity theory discussed in later chapters impact the value of currency.

(4) **Natural Calamities**: Any natural calamity can have negative impact.

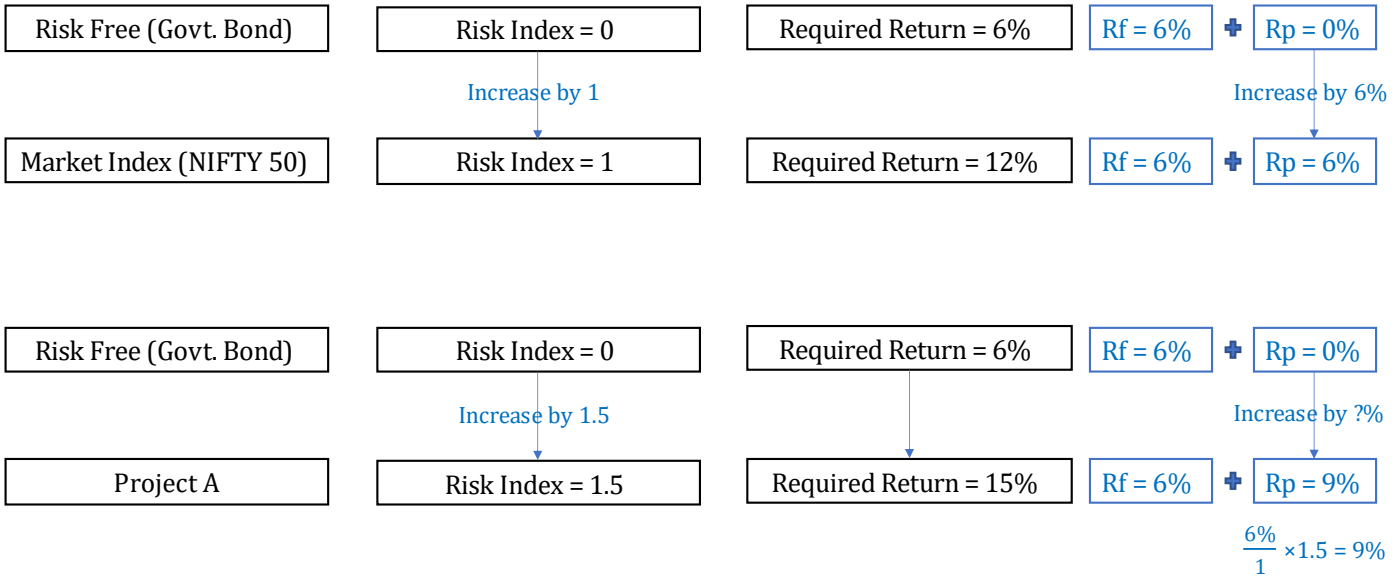
(5) **War, Coup, Rebellion etc.**: All these actions can have far reaching impact on currency's exchange rates.

(6) **Change of Government**: The change of government and its attitude towards foreign investment also helps to identify the currency risk.

Chapter 3 - Advanced Capital Budgeting

Risk Adjusted Discount Rate (Page 3.20) - PY.M24.Q1.2

RADR is based on the **premise** that **riskiness of a proposal** may be taken care of, by **adjusting the discount rate**. The cash flows from a **more risky proposal** should be discounted at a relatively **higher discount rate** as compared to other proposals whose cash flows are less risky



Risk adjusted discount rate (RADR) = Risk free rate + Risk premium

= Risk free rate + Risk index × (Minimum required rate of return – Risk free rate)

Certainty Equivalent (CE) (Page 3.22) - CSD.S25.CS6.Q6.3 - M

The **certainty equivalent** is a **guaranteed return** that the **management** would **accept rather than accepting a higher but uncertain return**.



$$\text{Certainty equivalent (CE)} = \frac{\text{Certain cash flow}}{\text{Risky or expected cash flow}}$$

Certain Cashflow = Expected cashflow × Certainty equivalent

Certainty equivalent (CE) Co-efficient of Project = Sum of CE of each year cashflow

- Higher the CE of project - lower the risk and
- Lower the CE of project - higher the risk

NPV = Present value of certain cashflow using risk free rate - Initial investment

*Project having lower CE will have higher risk hence will be evaluated with higher risk adjusted discount rate. (TYK 14)

Effective Annual Cost - PY.M24.Q4.7

The Effective Annual Cost (EAC) of a machine is a method to evaluate and **compare the annual cost** of **owning and operating machinery** or equipment **having different costs, lifespans, and maintenance** expenses.

$$\text{Effective Annual Cost (EAC)} = \frac{\text{PV of cash outflow}}{\text{PVAF}}$$

Application of EAC

To **Compare 2 machines** having **different cost, maintenance and useful life** but give **same output**.

Method of solving

1. **Calculate effective annual cost for all the machines** considering they will be used till their useful life.
2. **Select** the machine having **lowest EAC**.

Exponential Moving Average (EMA) (Page 4.27) - **PY.M24.Q5.6**

It is weighted average of last n-period prices which **more weight to recent prices and less to older prices**, with the **highest weight** being assigned to the **latest price**.

EMA_T= Previous day EMA + {(Closing Price of today – Previous Day EMA) x Exponent}

Here, EMA_T = EMA of today

$$\text{Exponent} = \frac{2}{(1+ \text{no. of day for which exponent is calculated})}$$

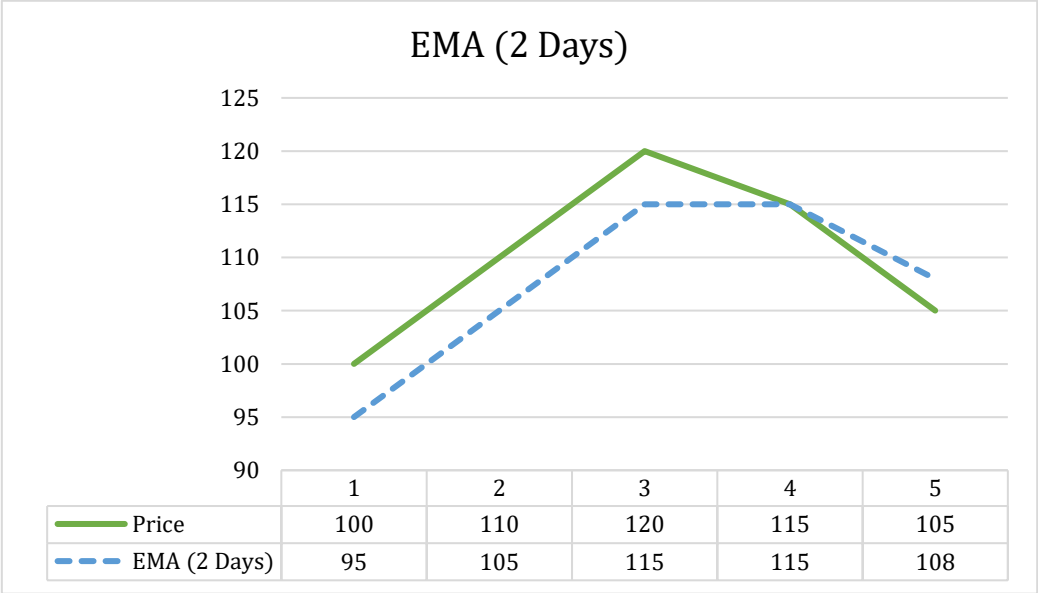
*If value of exponent is not given in question, then it can be calculated as above. For e.g., question may have data for 8 days but it will ask to calculate exponent for 15 Days EMA then exponent = 2/ (15+1) = 2/16 = 0.125

Method of solving

Date	Closing price of Index	Previous Day's EMA	Difference in closing price and EMA (B – C)	Difference × Exponent (D × exponent)	EMA (C ± E)
A	B	C	D	E	F

- If **no trading** in a day then **EMA cannot be calculated** for that day
- If EMA is **rising** -> Rising Market (**Bullish** trend) -> **Buy** share
- If EMA is **falling** -> Falling Market (**Bearish** trend) -> **Sell** Shares

Day	Closing Price	Previous Day's EMA	Difference in closing price & EMA	Difference × Exponent (0.67)	EMA (2 Days)
1	100	85	15	10	95
2	110	95	15	10	105
3	120	105	15	10	115
4	115	115	0	0	115
5	105	115	-10	-6.7	108.3



Chapter 5 – Security Valuation

Gordon Growth Model - CSD.S25.CS1 & Journal Feb 2025.Q1.13, PY.J26.Q1.8

Value of stock = Present value of all the dividend and returns from the stock

$$P_0 = \frac{D_0(1+g)}{(K_e - g)} = \frac{D_1}{(K_e - g)}$$

P_0 = Price today
D_0 = Dividend just paid
g = Growth
K_e = Required rate of return on equity or Cost of equity

Walter's Approach – PY.J26.Q1.8

$$P_0 = \frac{D_1 + (E_1 - D_1)\frac{ROE}{k_e}}{K_e}$$

Bond Refunding – Page 5.28 - PY.S25.Q2.7

Generally, Bonds issuer may **refund bonds prior to its maturity** date especially **when interest rates are falling**. Under this scheme **by issuing fresh bonds at lower coupon rates** company can **refund the existing bonds issued earlier at higher interest** or coupon rate. Therefore,

- Company prefers to **issue bonds with call features as it gives them the right or choice to redeem** bonds before their due date of maturity especially when market conditions are favourable to them, and
- **new bonds** can be issued at **lower interest rate**.
- However, this call feature is not free of cost because companies are supposed to repay **higher amount than the face value** of bonds which is **called 'Call Premium'.**

The **Net Present Value** (NPV) **method is used** to evaluate such types of Bond Refunding decisions. If the **Present Value of Cash Inflows** (in form of net cash saving) **exceeds the Present Value of cash outflow** (call premium, interest during transition period etc.) then **existing bonds can be refunded** and new bonds carrying lower coupon interest rate can be issued resulting in overall saving of cash outflows.

To ensure the smooth functioning of the organisation, **new bonds are generally issued before refunding old bonds**. This process involves **extra interest cost** as new bonds are generally issued before refunding old bonds. This often results in interest payments on both categories of bonds **during the overlapping period**.

Chapter 6 – Portfolio Management

Profit in Distressed securities - PY.N24.Q4.6

An investor can **earn profit from distressed securities** by taking **long position in Debt and Short position in equity**.

Following are the examples of earning arbitrage profit:

(i) In case **company's condition improves** because of priority, the **investor will get his interest** payment which will be **more than dividend on his short position** in equity shares.

(ii) If **company's condition further deteriorates** the **value of both share and debenture goes down**. He will make good profit **from his short position**.

Chapter 9 – Derivatives

Forward & Future – Page 9.5 PY.J26.Q2.2

Features	Forward	Futures
Trading	Forward contracts are traded on **personal basis or on telephone** or otherwise.	Futures Contracts are traded in a **competitive arena.**
Size of Contract	Forward contracts are individually tailored and have **no standardized size.**	Futures contracts are **standardized** in terms of quantity or amount as the case may be.
Organized exchanges	Forward contracts are traded in an **over-the-counter** market.	Futures contracts are traded on **organized exchanges** with a designated physical location.
Settlement	Forward contracts **settlement takes place on the date** agreed upon between the parties.	Futures contracts **settlements are made daily** via. Exchange's clearing house.
Delivery date	Forward contracts may be **delivered on the dates agreed upon** and in terms of actual delivery.	Futures contracts **delivery dates are fixed on cyclical basis** and hardly takes place. However, it does not mean that here is no actual delivery.
Transaction costs	Cost of forward contracts is based on **bid – ask spread**	Futures contracts **entail brokerage fees** for buy and sell orders.
Margins	**Margins are not required** in forward contract	In futures contracts every participants is subject to **maintain margin** as decided by the exchange authorities
Credit risk	In forward contract, **credit risk is born by each party** and, therefore, every party has to bother for the creditworthiness.	In futures contracts the transaction is a two way transaction, hence the parties need **not to bother for the risk**.

Ch. 10 Foreign Exchange Exposure and Risk Management

Basic Concepts

Normal Presentation: $\frac{\text{Price Currency}}{\text{Base Currency}}$

$\frac{\text{INR}}{\text{USD}} = 84$

Here, USD = base currency & INR = price currency

Base Currency: The base currency represents **one unit**, and the exchange rate shows how much of the price currency is needed to buy one unit of the base currency.

Price Currency: The price currency determines the value of the base currency in terms of itself.

Conversion of amount

If **amount** (USD 100) is given in **base** currency of exchange rate ($\frac{\text{INR}}{\text{USD}} = 84$) then **multiply** with exchange rate to convert into price currency

$\text{USD } 100 \times \frac{\text{INR}}{\text{USD}} 84 = \text{INR } 8400$

If **amount** (INR 8400) is given in **price** currency of exchange rate ($\frac{\text{INR}}{\text{USD}} = 84$) then **divide** with exchange rate to convert into base currency

$\frac{\text{INR } 8400}{\text{INR/USD } 84} = \text{USD } 100$

Bid, Ask and Spread (Page 10.10)

$\frac{\text{INR}}{\text{GBP}} = 61.3625/61.3700$

Bid (61.3625)	Ask (61.3700)
Rate at which dealer buy and **customer sell**	Rate at which dealer sell and **customer buy**
The **lower** rate is always bid rate at which **base currency can be sold by customer**	The **higher** rate is always ask rate at which **base currency can be bought by customer**

Bid and ask rate are decide by dealers so, they are **always favourable to dealer** and unfavourable to customer (buy at high price and sell at lower price).

A bid in one currency is simultaneously an offer in another currency as when a customer buys a currency, he at the same time is selling another currency.

*Always think from customer point of view

Presentation: Exchange rate = bid/ ask

If exchange rate is mentioned as

$\frac{\text{INR}}{\text{GBP}} = 61.3625/3700$ then it means $\frac{\text{INR}}{\text{GBP}} = 61.3625/61.3700$

$\frac{\text{USD}}{\text{GBP}} = 1.5260/70$ then it means $\frac{\text{USD}}{\text{GBP}} = 1.5260/1.5270$

Conversion of Rate (Page 10.10)

Step 1: Determine the quotation needed for converting the amount.

$$\text{Quotation} = \frac{\text{Required Currency}}{\text{Amount Currency}}$$

If amount currency = base currency, then we can multiply amount with exchange rate.
E.g., Convert USD100 to INR, quotation needed will be $\frac{INR}{USD}$.

Step 2: Convert and calculate the exchange rate using below approach.

(1) Calculate $\frac{USD}{INR}$ rate from (TYK 2)

$\frac{INR}{USD} = 84.00/85.00$

$\frac{INR}{USD} =$ bid / ask

$\frac{USD}{INR} = \frac{1}{ask} / \frac{1}{bid}$

$\frac{USD}{INR} = \frac{1}{85.00} / \frac{1}{84.00} = 0.1176/\ 0.1190$

(2) Calculate $\frac{INR}{GBP}$ & $\frac{GBP}{INR}$ rate from (TYK 3)

$\frac{INR}{USD} = 61.3625/3700$

$\frac{USD}{GBP} = 1.5260/70$

$\frac{INR}{GBP} = \frac{INR}{USD} \times \frac{USD}{GBP}$

$\frac{INR}{GBP} = 61.3625 \times 1.5260/\ 61.3700 \times 1.5270 = 93.6392/\ 93.7120$

$\frac{GBP}{INR} = \frac{1}{93.7120} / \frac{1}{93.6392} = 0.01067/\ 0.01068$

(3) Calculate $\frac{INR}{SGD}$ rate from (TYK 9)

$\frac{INR}{USD} = 45.85/\ 45.90$

$\frac{USD}{GBP} = 1.7840/\ 1.7850$

$\frac{SGD}{GBP} = 3.1575/3.1590$

Convert $\frac{SGD}{GBP}$ to $\frac{GBP}{SGD}$ then

$\frac{INR}{SGD} = \frac{INR}{USD} \times \frac{USD}{GBP} \times \frac{GBP}{SGD}$

$\frac{GBP}{SGD} = \frac{1}{3.1590} / \frac{1}{3.1575} = 0.3166/\ 0.3167$

$\frac{INR}{SGD} = 45.85 \times 1.7840 \times 0.3166/\ 45.90 \times 1.7850 \times 0.3167 = 25.8967/25.9477$

Spot rate, Forward rate and swap points (Page 10.11) PY.M25.Q2.7

Spot rate: The spot rate is the **current exchange rate** at which a currency can be bought or sold for immediate delivery.

Forward rate: The forward rate is the **agreed-upon exchange rate** for a currency to be exchanged at a **future date**.

Swap points" (also known as forward or discount points) are the **difference between** the **forward** exchange rate and the **spot** exchange rate in a currency pair.

Forward Rate = Spot Rate ± Swap Points

If Swap points are in Low/ High (ex.1)	If Swap points are in High/ low (ex.2)
+ Add the swap points to spot rate	- Deduct the swap points from spot rate

(1) Calculate 1-month forward rate $\frac{INR}{USD}$

Spot rate $\frac{INR}{USD}$ = 84.00/ 84.10

1 month Swap points $\frac{INR}{USD}$ = 10/ 30

Swap points are low/ high so, future rate is at premium

1-month Forward rate $\frac{INR}{USD}$ = 84.00 + 0.10/ 84.10 + 0.30 = 84.10/ 84.40

(2) Calculate 1-month forward rate $\frac{INR}{USD}$

Spot rate $\frac{INR}{USD}$ = 84.00/ 84.10

1 month Swap points $\frac{INR}{USD}$ = 30/ 10

Swap points are high/ low so, future rate is at discount

1-month Forward rate $\frac{INR}{USD}$ = 84.00 - 0.30/ 84.10 - 0.10 = 83.70/ 84.00

(3) Calculate 2-month 15 days forward rate $\frac{INR}{USD}$ (TYK 5)

Spot rate $\frac{INR}{USD}$ = 66.2525/ 67.5945

2-month Swap points $\frac{INR}{USD}$ = 70/ 90

3-month Swap points $\frac{INR}{USD}$ = 160/ 186

Swap points are low/ high so, future rate is at premium

Swap point for 30 days = Swap point for 3-month - Swap point for 2-month

Swap point for 30 days = 160-70/ 186-90 = 90/96

Swap point for 15 days = $\frac{90}{30} \times 15 / \frac{96}{30} \times 15$ = 45/ 48

Swap point for 2 months 15 days = 70+45/ 90+48 = 115/ 138

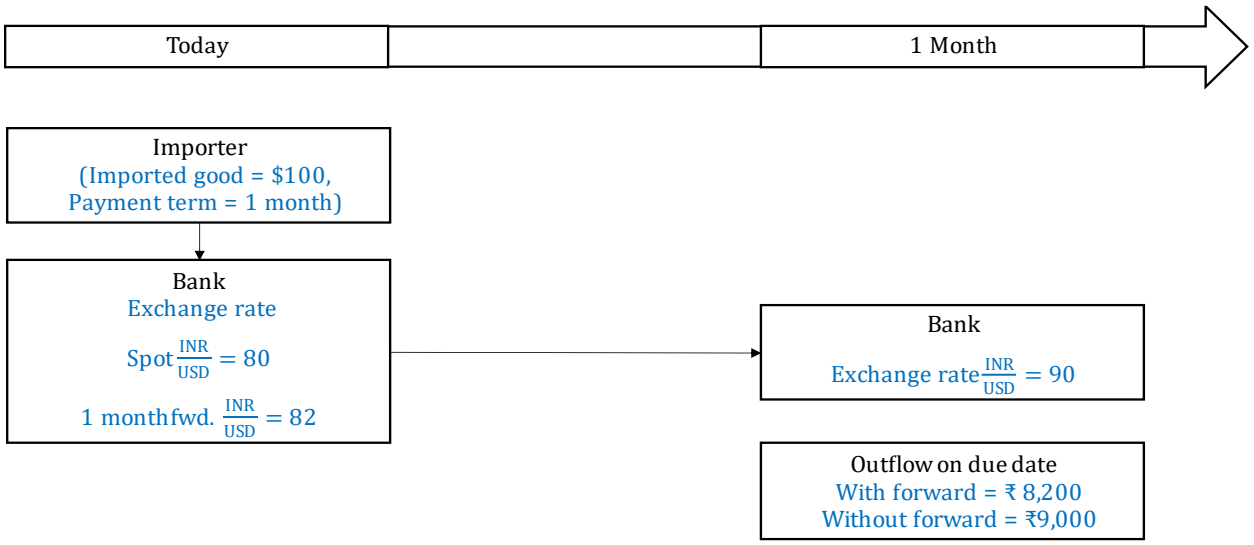
2-month 15 days Forward rate $\frac{INR}{USD}$ = 66.2525 + 0.0115/ 67.5945 + 0.0138

2-month 15 days Forward rate $\frac{INR}{USD}$ = 66.2640/ 67.6083

Forward Contract - PY.S25.Q3.7, PY.N24.Q5.7, CSD.S25.Q4.8

A forward contract is an agreement where one party agrees to **buy**, and the other party agrees to **sell**

- **Specific amount** of currency (Price or Base currency),
- At a **Specific price** (Exchange rate)
- On a **specific future date** (Maturity)



Gain/ (Loss) due to hedging	₹
Net inflow or (outflow) at **forward rate** (if hedging is done)	(8,200)
Less: Net inflow or (outflow) at **spot rate on maturity** (if no hedging is done)	9,000
Less: Hedging cost (Upfront premium + interest on premium)	(100)
Gain/ (Loss) due to hedging	700

Exchange Margin

Foreign exchange **dealer charges a margin as a fixed amount (e.g., 5 paisa) or %** on the exchange rate quoted to customer. It can be charged to customer by

1. **Adding** the margin on **buy rate** to make it more expensive.
2. **Deducting** the margin from **sell rate** so, customer receive less amount.

*Exchange margin is charged only once on the final rate.

Expected Loss PY.S25.Q4.7

If question ask to "calculate **expected loss** if hedging is not done and How the position will change, if the firm takes forward cover" then calculate below 2 values

Expected loss/ (gain) if hedging is not done	₹
Net inflow or (outflow) at **spot rate on maturity** (if no hedging is done)	(9,000)
Less: Net inflow or (outflow) at **current spot rate**	8,000
Loss/ (Gain) due to no hedging	(1,000)

Expected loss/ (gain) if hedging is done	₹
Net inflow or (outflow) at **forward rate** (if hedging is done)	(8,200)
Less: Net inflow or (outflow) at **current spot rate**	8,000
Loss/ (Gain) due to hedging	(200)

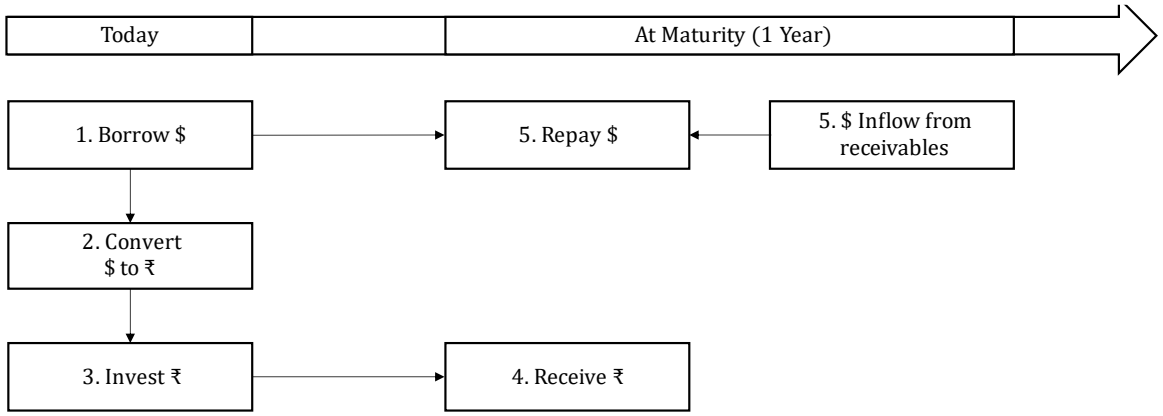
Money Market Hedging – PY.S25.Q3.7, CSD.S25.CS1.Q1.2 – M, CSD.S25.CS4.Q4.8 - D

Money market hedge is based on the same principal of interest rate parity. Foreign currency exposure can be hedged by **borrowing and investing** in money market.

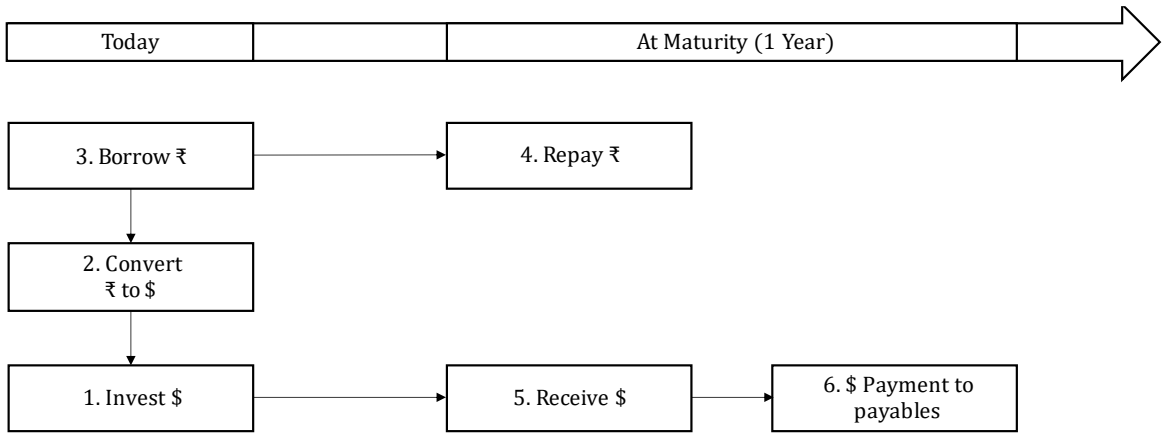
Hedging Process

If customer have	then In future, create
Foreign currency asset (receivables)	Foreign currency liability to set it off
Foreign currency liability (payables)	Foreign currency asset to set it off

If customer have foreign currency ($) asset (receivables) in 1 year



If customer have foreign currency ($) liability (payables) in 1 year



If interest rate is given in form of bid/ask (10%/ 11%) then

Bid (lower) rate – 10% is for investing and

Ask (Higher) rate – 11% is for borrowing

3. Currency Options PY.S25.Q3.7

It is a choice (**right without any obligation**), **obtained** through the **payment of a premium**.

It is a financial agreement between two parties where one party agrees to **buy** and other party agrees to **sell** in lieu of **consideration** (premium)

Right to buy (call) or sell (put)

- **Specified amount** of currency
- At a **Specified price** (Exchange rate)
- On a **Specific date in future** (Maturity)

Parties to Option

Option Buyer (Holder)	Option Seller (Writer)
Have **Right** to buy or sell but **no obligation**	Have **Obligation** to buy or sell but **no right**
For buying the right, buyer have to **pay the premium** (cost)	For assuming the obligation, seller **receive the premium** (income)

* For hedging against risk, ICAI always prefer buying the options.

Exercising option

Option is exercised only when it is beneficial for the option buyer

E.g., If call option is bought at $\frac{\text{INR}}{\text{USD}} = 100$ (Right to buy USD @ 100) and on expiry if

- $\frac{\text{INR}}{\text{USD}} = 120$ then option will be exercised
- $\frac{\text{INR}}{\text{USD}} = 80$ then option will not be exercised

Method of solving

Step 1: Decide whether to buy call option or put option

Think from **Base currency POV**, whether you need to buy it or sell it for hedge

- Buy base currency = Purchase Call
- Sell base currency = Purchase Put

*Options are never sold for hedging

Step 2: Calculate number of option contracts to be bought or sold

$$\text{Number of option contract lots to be bought} = \frac{\text{Total exposure amount}}{\text{Lot size}}$$

If Exposure currency ≠ Option contract currency then,
Convert the exposure into option contract currency using option strike price

(Any fraction part will be ignored for option contract and forward will be taken for fraction)

Step 3: Calculate covered and uncovered amount

Covered amount = Number of option contracts lots × option contract size

Uncovered Amount = Exposure amount – Uncovered amount

Step 4: Calculate amount receivable or payable on maturity or settlement date

Settlement	Amount
Settlement of **uncovered amount** (Uncovered amount × forward rate)	XX
Premium paid on option contract in home currency (No. of lot × Lot size × premium) *If premium is given in foreign currency the convert it to home currency at **spot rate** when option is bought (TYK 33)	XX
Interest cost on premium paid (Premium amount × Interest rate for the currency × period) *If interest rate is not given then no interest will be charged (TYK 33) *If 180 days rate is given without %p.a. then doesn't assume it annual rate, consider it rate for 180 days (TYK 39)	(XX)
Settlement of **covered amount** • Option is **exercised** Covered amount × **Strike rate** • Option is **not exercised** Covered amount × **Spot rate on maturity** *If spot rate on maturity is not given then assume option is exercised *If expected spot rate on maturity is given with probability then calculate the settlement for each expected rate and multiply it with probability to get settlement of covered amount (TYK 39)	
Amount receivable or payable on maturity or settlement date	XX

* 1 $ = 100 Cents

Broad procedures to be followed to hedge forex risk and in selection of hedge instruments PY.M24.Q2.7

(1) STEP – 1: Select **forecasts of distribution of exchange rates** in order to determine the probability of adverse movement or use services of forex forecasters.
(2) STEP – 2: Decide whether **dynamic hedging** or **conservative hedging** or **mixed approach** is required.
(3) STEP- 3: Assess the **impact of exchange rate changes** on financial performance and position under **various scenarios**.
(4) STEP -4: Decide **how much to hedge** considering overall risk limits and likely adverse impacts during impact on loan covenants.
(5) STEP- 5: Select **appropriate hedging instrument**. Decide currency forwards, currency futures, currency options and currency swaps depending on the type of exposures mentioned.

Techniques of Exchange Rate Forecasting - Page 10.16 PT.J26.Q5.3

(a) **Technical Forecasting**: It involves the **use of historical data to predict future values**. For example, time series models. Speculators may find the models useful for predicting day-to-day movements. However, since the models typically **focus on the near future and rarely provide point or range** estimates, they are of **limited use to MNCs**.

(b) **Fundamental Forecasting**: It is based on the **fundamental relationships between economic variables and exchange rates**. For example, subjective assessments, quantitative measurements based on regression models and sensitivity analyses. In general, **fundamental forecasting is limited by**:

- the **uncertain timing** of the impact of the factors,
- the **need to forecast factors that have an immediate impact** on exchange rates,
- the **omission of factors that are not easily quantifiable** and
- **changes in the sensitivity of currency** movements to each factor over time.

(c) **Market-Based Forecasting**: It uses **market indicators to develop forecasts**. The **current spot/forward rates** are often used, since speculators will ensure that the current rates reflect the market expectation of the future exchange rate.

(d) **Mixed Forecasting**: It refers to the use of a **combination of forecasting techniques**. The actual forecast is a **weighted average of the various forecasts** developed.

Q.39. **(TYK 39, Page 10.68) - Hedging Currency Risk (PY.M19.Q6(a))**

XYZ Ltd. a US firm will need £3,00,000 in 180 days. In this connection, the following information is available:

Spot rate 1£ = $2.00

180 days forward rate of £ as of today = $1.96

Interest rates are as follows:

	U.K.	US
180 days deposit rate	4.5%	5%
180 days borrowing rate	5%	5.5%

A call option on £ that expires in 180 days has an exercise price of $1.97 and a premium of $0.04.

XYZ Ltd. has forecasted the spot rates 180 days hence as below:

Future rate	Probability
$1.91	25%
$1.95	60%
$2.05	15%

Which of the following strategies would be most preferable to XYZ Ltd.?

(a) A forward contract;

(b) A money market hedge;

(c) An option contract;

(d) No hedging.

Show calculations in each case

Ans. (a) Forward contract: Dollar needed in 180 days = £3,00,000 × $1.96 = $5,88,000/−

(b) Money market hedge: Borrow $, convert to £, invest £, repay $ loan in 180 days

Amount in £ to be invested = 3,00,000/1.045 = £2,87,081

Amount of $ needed to convert into £ = 2,87,081 × 2 = $5,74,162

Interest and principal on $ loan after 180 days = $5,74,162 × 1.055 = $6,05,741

(c) Call option:

Expected Spot rate in 180 days	**Prem./ Unit**	**Exercise Option**	**Total price per unit**	**Total price for £3, 00, 000 xi**	**Prob. Pi**	**pixi**
1.91	0.04	No	1.95	5,85,000	0.25	1,46,250
1.95	0.04	No	1.99	5,97,000	0.60	3,58,200
2.05	0.04	Yes	2.01*	6,03,000	0.15	90,450
						5,94,900
Add: Interest on Premium @ 5.5% (12,000)						660
						5,95,560

($1.97 + $0.04)

(d) No hedge option:

Expected Future spot rate	**Dollar needed** Xi	**Prob. Pi**	**Pi xi**
1.91	5,73,000	0.25	1,43,250
1.95	5,85, 000	0.60	3,51,000
2.05	6,15,000	0.15	92,250
			5,86,500

The probability distribution of outcomes for no hedge strategy appears to be most preferable because least number of $ are needed under this option to arrange £3,00,000.

Economic Value Added (EVA) (Page 13.23) – PY.M25.Q1.7, CSD.S25.Q4.2

The core concept behind EVA is that a **company generates 'value' only** if there is a creation of wealth in terms of **returns in excess of its cost of capital** invested. Company having higher EVA is preferred for investment.

EVA is a **performance measure for management** of the company, and this is as evident in its calculation formula as 'the **excess of returns over the weighted average cost of invested capital** '. The formula is as below

EVA = NOPAT - Capital Charge = NOPAT - (Invested capital × WACC)

NOPAT = Net Operating Profit After Tax or Operating income

NOPAT Calculations

Calculation of NOPAT	Amount
EBIT or (EBT + Interest) or Operating Income	100
Less: Tax rate × EBIT	(30)
Net Operating Profit After Tax	**70**
Add: Non-cash expense other than depreciation (e.g., provision for bad debt)	10
Adjusted Net Operating Profit After Tax to be used in formula	**80**

*While calculating NOPAT, we have to reduce tax % from EBIT and not the tax expense given in ₹ (Illustration 5).

EBIT Calculation from Financial leverage (TYK 9)

$$\text{Financial leverage} = \frac{\text{EBIT}}{\text{EBIT}-\text{Interest}} = \frac{\text{EBIT}}{\text{EBT}}$$

Solve this equation to calculate EBIT

Invested Capital Calculations

Equity & Liabilities	Assets
Equity share capital	Fixed Asset
Reserves	Current Assets
Long term debt	
Current liability	
Total Equity & Liability	**Total Assets**

Calculation of Invested capital from Asset side	Amount
Total Asset	1000
Less: Fictitious assets (debit balance of profit & loss or advertising exp.)	(100)
Less: Current liabilities (non-interest-bearing: Creditors, Advance billing)	(200)
Add: Asset (e.g., patent) not recorded in books	300
Add: Non-cash expense adjusted in NOPAT (e.g., provision for bad debt)	10
Invested capital	**1010**

Calculation of Invested capital from liability side	Amount
Equity Share Capital	500
Add: Reserves and surplus (Net of fictitious assets)	100
Add: Long term debt (debentures, long-term borrowing etc.)	100
Add: Asset (e.g., patent) not recorded in books	300
Add: Non-cash expense adjusted in NOPAT (e.g., provision for bad debt)	10
Invested capital	**1010**

*__Current liabilities and provisions__ are __not included__ in __invested capital__.

__EVA Dividend__

$$\text{EVA dividend} = \frac{\text{EVA}}{\text{Number of equity share}}$$

If company __distributes dividend more that above formula__ then __value of company starts declining__. If company does not pay a dividend, we would expect the value of the firm to increase because it will achieve higher growth, hence a higher level of EBIT. If EBIT is higher, then all else equal, the value of the firm will increase.

*In EVA question __cost of debt is not given__ then __assume__ that company has __borrowed at the risk-free rate__ (government bond) (TYK 16)

*While __calculating weight of equity for WACC, include the value of patent__ in equity value __but do not include non-cash adjustment__ (e.g., provision for bad debt) (TYK 16)

*If question mentions "__The stock of the company moves in tandem with the market__" then it means

__β of stock = β of market__ which means, cost of equity = market return.

*Net worth = Equity share capital + Reserve & surplus (TYK 16)

Exchange Ratio or Swap Ratio (Page 14.27) - PY.M24.CS2.Q2.6 – D, CSD.S25.CS3.Q3.7 – D

Number of shares to be issued by the acquiror company against 1 share of target co.

	Favourable Parameters	Adverse Parameters
How to identify	Higher the better For e.g., EPS, MPS, BVPS, capital adequacy ratio (CAR) etc.	Lower the better For e.g., non-performing assets or debt to equity ratio (DE).
Exchange Ratio	$\frac{\text{MPS or EPS or BVPS or CAR of } \mathbf{Target}}{\text{MPS or EPS or BVPS or CAR of } \mathbf{Acquiror}}$	$\frac{\text{NPA or DE of } \mathbf{Acquiror}}{\text{NPA or DE of } \mathbf{Target}}$

*If question does **not specify any parameter**, then **use market price per share** in calculating exchange ratio.

***Exchange ratio** is always **based on per share value and not on the total value**. For e.g., Exchange ratio can be based on earning per share but cannot be on total earning

*If exchange ratio needs to be calculated using **multiple parameters** according to their respective weights, then it's **calculated as weighted average** (TYK 17)

Weighted exchange ratio = Sum of (Exchange ratio × Weight)

*If question ask to **calculate exchange ratio such** that

- Shareholders of target would **not be at loss** (TYK 3)
- Target and acquiror wants to ensure the **earnings to member are same after merger** for their shareholders (TYK 4)
- **Earnings** available to its shareholders will **not be diminished** by the merger (TYK 12

then **calculate the exchange ratio using EPS** and show the earnings

Number of equities shares to be issued to shareholder of target company

1. Exchange Ratio

   Equity shares to be issued = Exchange Ratio × No. of equity shares in target

2. Issuing share at market price against the value of target company

   $$\text{Equity shares to be issued} = \frac{\text{Total market value of } \mathbf{target} \text{ company}}{\text{Market price per share of } \mathbf{acquiror} \text{ company}}$$

3. Give in question
   Question can provide the number of shares or the exchange ratio to be used

Post-Merger Earnings PY.S25.Q5.2

Post-Merger Earnings = Earning of Acquiror + Earning of Target + Synergy

$$\text{Post-Merger EPS} = \frac{\text{Post Merger Earning}}{\text{Total number of equity shares after merger}}$$

Equivalent EPS

Equivalent EPS = EPS after merger × Exchange Ratio for target shareholders

Reverse Merger or Takeover by Reverse Bid (Page 14.13) - CSD.S25.Q3.7

In a 'reverse takeover', a **smaller company gains control of a larger one**. The concept of takeover by reverse bid, or of reverse merger, is thus **not the usual case** of amalgamation of a sick unit which is non-viable with a healthy or prosperous unit but is a case whereby the entire undertaking of the healthy and prosperous company is to be merged and vested in the sick company which is non-viable. A company becomes a sick industrial company when there is erosion in its net worth. This alternative is also known as **taking over by reverse bid**.

The **three tests** to be **fulfilled** before an arrangement can be termed as a reverse takeover are as follow

(i) the **assets** of the **transferor** company are **greater than** the **transferee** company,

(ii) **equity** capital to be **issued by** the **transferee company** pursuant to the acquisition **exceeds** its **original issued capital**, and

(iii) the **change of control** in the **transferee company** through the introduction of a minority holder or group of holders.

Defensive Tactics – Page 14.12 PY.M25.Q5.8

A target company can adopt a number of tactics to **defend itself from hostile takeover** through a tender offer.

• **Divestiture** - In a divestiture the **target company divests or spins off some of its businesses** in the form of an independent, subsidiary company. Thus, **reducing the attractiveness** of the existing business to the acquirer.

• **Crown jewels** - When a **target company uses the tactic of divestiture it is said to sell the crown jewels**. In some countries such as the UK, such tactic is not allowed once the deal becomes known and is unavoidable.

• **White knight** - In this a **target company offers to be acquired by a friendly company to escape from a hostile takeover**. The possible motive for the management of the target company to do so is not to lose the management of the company as the hostile acquirer may change the management.

• **White squire** - This strategy is essentially the **same as white knight and involves sell out of shares to a company that is not interested in the takeover**. Consequently, the management of the target company retains its control over the company

• **Poison pill** - The tactics used by the **acquiring company to make itself unattractive** to a potential bidder is called poison pills. For instance, the acquiring company may **issue substantial amount of convertible debentures to its existing shareholders** to be converted at a future date when it faces a takeover threat. The task of the bidder would become difficult since the number of shares having voting control of the company increases substantially.

• **Poison Put** - In this case the **target company issues bonds that encourage the holder to cash in at higher prices**. The resultant cash drainage would make the target unattractive.

• **Greenmail** - Greenmail refers to an **incentive offered by management of the target company to the potential bidder for not pursuing the takeover**. The management of the target company may offer the acquirer a higher price for its shares than the market price.

• **Golden parachutes** - When a company **offers hefty compensations to its managers if they get ousted due to takeover**, the company is said to offer golden parachutes. This reduces acquirer's interest.

• **Pac-man defence** - This strategy aims at the **target company making a counter bid for the acquirer company**. This would force the acquirer to defend itself and consequently may call off its proposal for takeover.

Stages of funding for Venture Capital and Indicative Risk matrix - CSD.S25.CS7.Q7.7 - D

Financial Stage	Funds locked in years	Risk Perception	Activity to be financed
Seed Money	7-10	Extreme	For supporting a concept or **idea or R&D for product** development and involves low level of financing.
Start Up	5-9	Very High	Initializing **prototypes** operations or **developing products and its marketing**.
First Stage	3-7	High	Started **commercials production** and marketing.
Second Stage	3-5	Sufficiently high	Expanding market and **growing working capital** need though not earning profit.
Third Stage	1-3	Medium	**Market expansion, acquisition** & product development for profit making company. Also called **Mezzanine Financing**
Fourth Stage	1-3	Low	Facilitating public issue i.e. **going public**. Also called **Bridge Financing**.

Audit

Chapter 1 – Quality control

EQCR Objectivity – Page 1.12 - PY.J26.Q1.2

EQCR is **allowed** to

1. **Reviewing the audit plan** and determining materiality levels.
2. **Consulting with the engagement partner** on appropriate reporting conclusions.
3. **Reviewing the nature** and scope of consultations undertaken during the audit

EQCR is **not allowed** to

1. **Participating in the engagement** and making decisions for the engagement team.

Chapter 4 - Materiality, risk assessment and internal control

Risk-based audit approach – Page 4.12 - CSD.S25.Q5.5

Auditor design the **audit procedures based** on their **assessment of risks** that could potentially cause errors in the financial statements.

Reporting to clients on internal control weaknesses - Page 4.48 - PY.M24.Q3.7

SA 265 on "Communicating Deficiencies in Internal Control to TCWG"

The auditor shall determine whether, on the **basis of the audit work** performed, the **auditor has identified** one or more **deficiencies** in internal control.

If the auditor has identified one or more deficiencies in internal control, the **auditor shall determine**, on the basis of the audit work performed, **whether, individually or in combination**, they **constitute significant deficiencies**.

The auditor should **communicate such material weaknesses to the management** or the audit committee, if any, on a timely basis. This communication should be, preferably, **in writing through a letter of weakness or management letter**.

Chapter 5 - Audit Evidence

SA 510 "Initial Audit Engagements – Opening Balances" – Page 5.34 PY.S25.Q1.6

SA 510, "Initial Audit Engagements – Opening Balances", states that in conducting an **initial audit engagement,** one of the **objectives** of the auditor with respect to opening balances is **to obtain** sufficient appropriate audit **evidence about whether opening balances contain misstatements that materially affect the current period's financial statements**.

The auditor has to **evaluate whether** audit **procedures performed in the current period provide evidence** relevant to the opening balances **or specific audit procedures** are required **to be performed** to obtain evidence **regarding the opening balances**.

In the case of inventories, however, the **current period's audit procedures** on the closing inventory balance provide **little audit evidence** regarding inventory on hand at the beginning of the period. Therefore, **additional audit procedures may be necessary**, and one or more of the following may provide sufficient appropriate audit evidence:

- **Observing a current physical inventory count and reconciling** it to the opening inventory.
- Performing audit procedures on the **valuation of the opening inventory** items.
- Performing audit procedures on **gross profit and cut-off**.

SA 560, "Subsequent Events" – Page 6.29 PY.M25.Q1.2

Facts Which Become Known to the Auditor After the Date of the Auditor's Report but Before the Date the Financial Statements are Issued: As per SA 560, "Subsequent Events", the auditor has **no obligation to perform any audit procedures** regarding the financial statements after the date of the auditor's report.

However, when, **after the date of the auditor's report but before the date the financial statements are issued**, **a fact becomes known** to the auditor that, **had it been known** to the auditor **at the date of the auditor's report**, may have **caused the auditor to amend the auditor's report**, the auditor shall

(i) **Discuss the matter with management** and, where appropriate, those charged with governance.

(ii) **Determine** whether the **financial statements need amendment** and, if so,

(iii) **Inquire** how **management intends to address** the matter in the financial statements.

If **management amends** the financial statements, the auditor shall **carry out the audit procedures** necessary in the circumstances on the amendment. Further, the auditor shall extend the audit procedures and **provide a new auditor's report** on the amended financial statements.

However, the new **auditor's report shall not be dated earlier than the date of approval of the amended financial statements**.

SA 570 Going Concern implication on audit report – Page 7.10 - CSD.S25.CS2 & Journal Feb 2025.Q2.2

As per SA 570 "Going Concern", If **adequate disclosure** about the **material uncertainty is made** in the **financial statements**, the auditor shall **express an unmodified opinion** and the auditor's report shall **include a separate section** under the heading "**Material Uncertainty Relating to Going Concern**" to **draw attention to the note in the financial statements that discloses** the **relevant matters** and to state that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on entity's ability to continue as a going concern and that the **auditor's opinion is not modified** in respect of the matter.

SA 705 "Modifications to the Opinion in the Independent Auditor's Report"

Determining the Type of Modification to the Auditor's Opinion – Page 7.26 CSD.S25.Q3.8, PY.N24.Q1.6

Qualified Opinion:

The auditor shall express a qualified opinion when:

(a) The auditor, **having obtained sufficient appropriate audit evidence**, concludes that **misstatements**, individually or in the aggregate, are **material, but not pervasive**, to the financial statements; or

(b) The auditor is **unable to obtain sufficient appropriate audit evidence** on which to base the opinion, but the auditor concludes that the **possible effects** on the financial statements **of undetected misstatements**, if any, could be **material but not pervasive**.

Adverse Opinion

The auditor shall express an adverse opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that **misstatements**, individually or in the aggregate, are **both material and pervasive** to the financial statements.

E.g. - Trade receivable of ₹120 lakhs outstanding in the financial statement for which there is no chance of recovery as the party has gone bankrupt and is absconding as on date. In addition, the net profit of company is 250 lakh rupees and Moon Ltd. has not written off the debt despite being communicated.

Disclaimer of Opinion

The auditor shall **disclaim an opinion** when the auditor is **unable to obtain** sufficient appropriate audit **evidence** on which to base the opinion, and the auditor concludes that the **possible effects** on the financial statements of **undetected misstatements**, if any, could be both **material and pervasive**.

E.g. - Neither the physical verification has been done by the management nor adequate inventory records are being maintained by management.

SA 706 Emphasis of matter paragraphs and other matter paragraphs in the independent auditor's report – Page 7.39 - PY.M24.CS1.Q1.7

As per SA 706, the **objective of the auditor**, having formed an opinion on the financial statements, is to **draw users' attention**, **when in the auditor's judgment it is necessary** to do so, **by** way of clear **additional communication in the auditor's report**, to: -

(a) A **matter**, although **appropriately presented** or disclosed **in the financial** statements, that is of such importance that **it is fundamental to users' understanding** of the **financial** statements or

(b) As appropriate, **any other matter** that is **relevant to users' understanding of the audit**, the auditor's responsibilities or the auditor's report.

Further, the **auditor shall include an Emphasis of Matter** paragraph in the auditor's report **provided** the **auditor** would **not be required to modify the opinion** in accordance with SA 705 **as a result of the matter**.

Reporting Under CARO, 2020 – Page 7.66 - CSD.S25.Q3.8

As per Companies Auditors' Report Order 2020 **(CARO 2020)** dated 25th Feb 2020, the audit report shall include a statement on the following matter:

Clause (ii)

Whether the **physical verification of the inventory** has been **conducted at reasonable intervals** by the management and whether, in the opinion of the auditor, the **coverage and procedure** of such verification by the management **is appropriate**. In view of the above the auditor should give a qualification in his report narrating the situation.

Clause (xiii)

whether **all transactions with the related parties** are **in compliance with sections 177 and 188** of Companies Act where applicable and the **details have been disclosed in the financial statements**, etc., as required by the applicable accounting standards;

Chapter 8 – Specialized Areas

Elements of Auditor's Report on Summary Financial Statements – Page 8.25 – PY.J26.Q5.4

A statement that the **auditor is responsible for expressing an opinion**, based on the auditor's procedures conducted in accordance with this SA, on **whether the summary financial statements are consistent,** in all material respects, with [or are a fair summary of] **the audited financial statements**.

Chapter 10 - Review of Financial Information

Additional procedures in review when the practitioner becomes aware that the financial statements may be materially misstated: – Page 10.14 – PY.J26.Q2.8

Additional procedures are required under this SRE if the practitioner becomes aware of a matter that causes the practitioner to **believe** the **financial statements may be materially misstated**.

Additional procedures **focus on obtaining sufficient appropriate evidence to enable the practitioner to form a conclusion** on matters that the practitioner believes may cause the financial statements to be materially misstated. The procedures may be:

1. **Additional inquiry or analytical procedures**, for example, being performed in greater detail or being focused on the affected items (i.e. amounts or disclosures concerning the affected accounts or transactions as reflected in the financial statements); or
2. **Other types of procedures**, for example, **substantive test of details or external confirmations**.

Procedures audit firm has to perform in relation to interim financial information – Page 10.31 PY.J26.Q2.5

- Obtaining an **understanding of the entity** and its environment and related internal controls.
- Obtaining **written representation** from management regarding the completeness of interim financial statements and evaluating the reasonableness of estimates made by the management.

Procedures audit firm has not to perform in relation to interim financial information PY.J26.Q2.5

- **Corroborating the information** obtained concerning significant accounting matters relating to the interim financial information.
- Performing an **in-depth assessment** of internal controls to ensure that they are effective for the period under review.

Can Professional Accountants be associated with Prospective Financial Information? – Page 11.7 - CSD.S25.CS1 & Journal Feb 2025.Q1.2

Clause 3 of the Second Schedule to the Chartered Accountants Act, 1949 states that that a chartered accountant in practice shall be deemed to be **guilty of professional misconduct**, if he **permits his name** or the name of his firm to be **used in connection with an estimate of earnings contingent upon future** transactions in a manner which may **lead to the belief that he vouches for the accuracy** of the forecast.

The Chartered Accountants Act, 1949 does **not preclude** a Chartered Accountant **from being associated with prospective financial information** as long as **he does not vouch for the accuracy** of the forecasts. Moreover, he should **clearly indicate in report**, the **sources** of information, the **basis** of forecasts and also the **major assumptions** made in arriving at the forecasts.

Presentation and Disclosure – Page 11.9 - PY.N24.Q5.8

As per SAE 3400, "The Examination of Prospective Financial Information", it is the **duty of a professional accountant** to see that **prospective financial information is based on a consistent basis with historical financial statements** using appropriate accounting principles and **consider whether**

(a) the presentation of prospective financial information is **informative and not misleading**

(b) the **accounting policies are clearly disclosed** in the notes to the prospective financial information;

(c) The **assumptions are adequately disclosed** in the notes to the prospective financial information. It needs to be clear **whether the assumptions represent** management's **best-estimates or are hypothetical** and, when assumptions are made in areas that are material and are subject to a higher degree of uncertainty, this **uncertainty and the resulting sensitivity of results needs to be adequately disclosed**.

(d) the **date** as of which the prospective financial information **was prepared** is disclosed. Management needs to confirm that the **assumptions are appropriate** as of this date, even though the underlying information may have been accumulated over a period of time.

(e) the **basis of establishing points in a range** is clearly indicated **and the range is not selected in a biased or misleading manner** when results shown in the prospective financial information are expressed in terms of a range and

(f) if there is **any change in the accounting policy** of the entity from that disclosed in the most recent historical financial statements, whether **reason for the change and the effect** of such change on the prospective financial information has been adequately disclosed.

PY.S25.Q5.1

As per Chapter XIV, **Unique Document Identification Number (UDIN)** Guidelines, a member of the Institute in practice **shall generate** Unique Document Identification Number (UDIN) **for all kinds of the certification, GST and Tax Audit Reports and other Audit, Assurance and Attestation** functions undertaken/signed by him mandatorily.

UDIN needs to be generated for examination of prospective Financial Information as well

Chapter 12 - Digital Auditing and Assurance

Control Considerations or Objectives of Auditing Digitally – Page 12.42 PY.M25.Q3.8

Technological risks while implementing the **digitalization of accounting** processes:

- Reliance on systems or programs that are **inaccurately processing data**, processing inaccurate data, or both
- **Unauthorized access** to data that might result in destruction of data or improper changes to data, including the recording of unauthorized or non-existent transactions or inaccurate recording of transactions (specific risks might arise when multiple users access a common database)
- The possibility of **information technology personnel gaining access privileges beyond those necessary** to perform their assigned duties, thereby leading to insufficient segregation of duties
- **Unauthorized** or erroneous **changes** to data in **master files**
- **Unauthorized changes to systems** or programs
- **Failure to make necessary** or appropriate **changes to systems** or programs
- **Inappropriate manual intervention**
- **Potential loss of data** or inability to access data as required
- **Risks** introduced when **using third-party** service providers
- **Cybersecurity risks**

Chapter 13 Group Audit

When the Parent's Auditor is not the Auditor of all its Components – Page 13.25 PY.M25.Q4.7

As prescribed in SA 706, if the auditor considers it necessary to **make reference to the audit of the other auditors**, the auditor's report on the consolidated financial statements should **disclose clearly the magnitude of the portion** of the financial statements **audited by the other** auditor(s).

This may be done by stating **aggregate rupee amounts** or **percentages** of **total assets, revenues and cash flows** of components included in the consolidated financial statements **not audited by the parent's auditor**.

Total assets, revenues and cash flows not audited by the parent's auditor should be presented before giving effect to permanent and current period consolidation adjustments.

Reference in the report of the auditor on the consolidated financial statements to the fact **that part of the audit of the group was made by other auditor**(s) is **not to be construed as a qualification** of the opinion but rather as an indication of the divided responsibility between the auditors of the parent and its subsidiaries. It should be **included in Other Matter paragraph** of independent auditor's report.

Chapter 16 Internal Audit

Applicability of Provisions of Internal Audit – Page 16.5 - PY.M24.CS2.Q2.8 - D

As per **Section 138** of the **Companies Act, 2013**, following **class of companies** (prescribed in rule 13 of Companies (Accounts) Rules,2014) shall be **required to appoint an internal auditor** which may be either an individual or a partnership firm or a body corporate, namely-

(a) every **listed company**;

(b) every **unlisted public** company having-

(1) **paid up share capital** of **50 crore** rupees or more during the preceding financial year; or
(2) **turnover** of **200 crore rupees** or more during the preceding financial year; or
(3) **outstanding loans or borrowings** from banks or **public financial institutions** exceeding **100 crore** rupees or more at any point of time during the preceding financial year; or
(4) **outstanding deposits** of **25 crore** rupees or more at any point of time during the preceding financial year; and

(c) every **private company** having-

(1) **turnover** of **200 crore** rupees or more during the preceding financial year; or
(2) **outstanding loans** or borrowings from banks or **public financial institutions** exceeding **100 crore rupees** or more at any point of time during the preceding financial year.

Who shall be Appointed as an Internal Auditor?

As per Section 138, the internal auditor shall either be a **chartered accountant** or a **cost accountant** (whether engaged in the practice or not), or such **other professional** as may be **decided** by the **Board** to conduct an internal audit of the functions and activities of the company. The internal auditor **may or may not be an employee** of the company

Integrity, Objectivity And Independence Of Internal Auditor - Page 16.13 - TYK 6, Page 16.37 - CSD.M25.Q5.6

The Internal Auditor shall be **free from any undue influences** which force him to deviate from the truth. This **independence shall be not only in mind but also in appearance**. Also, the internal auditor shall **resist any undue pressure** or interference **in establishing the scope** of the assignments or the manner in which these are conducted and reported, in case these deviate from set objectives.

Chief Internal Auditor needs to be independent of the operational activities and report of Audit Committee / Board of Directors to enjoy his true status of independent auditor. **He may administratively report to CEO or Managing Director** for his administrative reporting purpose or any other similar authority till the time it is approved by Board of Directors, and **it does not impact his independence to be able to perform his duties** and report to audit committee / Board of Director independently

First Schedule to the Chartered Accountants Act, 1949

Website Guideline - Part I - Clause (6) – Page 19.131 - PY.M24.Q3.2

The relevant guidelines in the context of the website hosted are:

- **No restriction** on the **colours** used in the website;
- The websites are **run on a "pull" technology** and **not a "push**" technology;
- Names of **clients and fees** charged **not to be given**.

However, **disclosure of names of clients** and/or **fees** charged, on the website is **permissible only** where it is **required by a regulator**, whether or not constituted under a statute, in India or outside India, provided that such **disclosure is only to the extent of requirement** of the regulator.

Where such disclosure of names of clients and/or fees charged is made on the website, the member/ firm shall **ensure that it is mentioned on the website** [in italics], **below such disclosure** itself, that "This **disclosure is in terms of the requirement** of [name of the regulator] having jurisdiction in [name of the country/area where such regulator has jurisdiction] vide [Rule/ Directive etc. under which the disclosure is required by the Regulator].

Second Schedule to the Chartered Accountants Act, 1949

Confidentiality - Part I - Clause (1) – Page 19.90 - PY.J26.Q4.8

A chartered accountant in practice shall be deemed to be **guilty** of professional misconduct, if he **discloses information acquired in the course of his professional engagement** to any person other than his client so engaging him, **without the consent of his client or** otherwise than as **required by any law** for the time being in force;

MCQ Points

1. **Chartered Accountant in service** has the **responsibility for investigating the non-compliance of environmental regulations** and **informing the same to those charged with governance** about the investigation results and keeping the documentation of the same. (PY.S25.Q1.1)
2. As per **Section 189** of companies act, It is mandatory for all companies to keep **one or more registers** giving separately the **particulars of all contracts** or arrangements as required under:
   (a) Section 184(2) [**Disclosure of Interest by Directors**]; or
   (b) Section 188 [**Related Party Transactions**].
   and noncompliance of it shall be **reported in CARO** (PY.S25.Q1.2)

Chapter 3 - Profits And Gains of Business Or Profession

Additional depreciation on Plant & Machinery [Section 32(1)(iia)]: PY.M24.CS1.Q1.4 - M

Additional depreciation is allowed on any **new machinery or plant** (other than ships and aircraft) acquired and installed after 31.3.2005

by an **assessee engaged in the business of manufacture or production** of any article or thing or in the business of **generation or transmission or distribution of power**

at the **rate of 20% of the actual cost** of such machinery or plant.

Asset **put to use for less than 180 days**: As per second proviso to section 32(1)(ii), **50% of additional depreciation to be allowed**, where the plant and machinery is put to use for less than 180 days during the previous year in which such asset is acquired.

As per section 2(28) of the Motor Vehicles Act, 1988, the definition of a "**vehicle**" **excludes**, inter alia, a **vehicle of special type adopted for use only in a factory** or in any enclosed premises. Therefore, **fork-lift trucks used inside the factory would not** fall within the definition of "**vehicle**". Hence, **it is eligible for additional deprecation** under section 32(1)(iia).

"Investment-linked tax incentives" for specified businesses [Section 35AD] – Page 3.85 - PY.J26.Q4.2. CSD.S25.CS1 & Journal Feb 2025.Q1.14

Section 35AD of the Income-tax Act, 1961 provides for investment linked tax incentives. It allows for **100% deduction of the capital expenditure** incurred during the previous year, wholly and exclusively **for setting up specified business**. However, expenditure incurred on acquisition of any **land, goodwill or financial instrument would not be eligible** for deduction.

List of specified businesses: With the specific objective of creating **rural infrastructure** and **environment friendly** alternate means for transportation of bulk goods, investment linked tax incentives have been introduced for specified businesses, namely

- setting-up and operating '**cold chain' facilities** for specified products;
- setting-up and operating **warehousing** facilities for **storing agricultural** produce;
- laying and operating a **cross-country natural gas** or crude or petroleum oil **pipeline** network for distribution, including storage facilities being an integral part of such network;
- building and operating a **hotel of two-star or above** category, anywhere in India;
- building and operating a **hospital**, anywhere in India, with at least **100 beds for patients**;
- developing and building a **housing project** under a notified scheme for **slum redevelopment** or rehabilitation framed by the Central Government or a State Government.
- developing and building a **housing project** under a notified scheme for **affordable housing** framed by the Central Government or State Government;
- production of **fertilizer** in India;
- Setting up and operating an **inland container depot** or a container freight station notified or approved under the Customs Act, 1962;
- bee-keeping and production of **honey and beeswax**;
- setting up and operating a **warehousing facility** for storage of **sugar**;
- laying and operating a **slurry pipeline** for the transportation of iron ore;
- setting up and operating a **semiconductor wafer fabrication manufacturing** unit, if such unit is notified by the Board in accordance with the prescribed guidelines;
- **developing** or maintaining and operating or developing, maintaining and operating a new **infrastructure facility**.

One of the conditions subject to which deduction can be allowed under this section is regarding **transfer of previously used plant or machinery**.

The **new venture should not be set up by the transfer of machinery** or plant **previously used** for any purpose. In order to satisfy this condition, **the total value of plant or machinery so transferred should not exceed 20% of the total** plant or machinery used in the specified business.

For the purpose of this condition, **machinery or plant will not be considered as previously used** if it had been **used outside India** by any other person other than the assessee provided the following conditions are satisfied:

(a) such plant or machinery was **not used in India** at any time prior to the date of its installation by the assessee

(b) the plant or machinery was **imported to India from a foreign** country

(c) **no deduction** in respect of **depreciation** of such plant or machinery has been allowed to any person at any time prior to the date of installation by the assessee

Dairy Farming Business Classification - CSD.S25.CS4.Q4.1 - M

Income from **dairy farming** can be **considered business income** and is **non-agricultural income**. In dairy farm operations, it is the **livestock** like cows, sheep and buffalo which are the **main component**.

Disallowance of Expense under Section 40(a)(i) – Page 3.132 - CSD.S25.CS6.Q6.6 - D

In the case of any assessee, the following **expenses are not deductible**:

Any interest, royalty, fees for technical services or other **sum chargeable under this Act**, which is payable, -

(a) **outside** India;

(b) in India to a **non-resident**, not being a company or to a foreign company,

on which tax is deductible at source under Chapter XVIIB and such **tax has not been deducted** or, after **deduction, has not been paid** on or before the due date of filing of return specified under section 139(1).

It is also provided that where in respect of any such sum, where tax has been deducted in any subsequent year, or has been **deducted in the previous year** but **paid after the due date** of filing of return under section 139(1), such **sum shall be allowed as a deduction** in computing the income of the **previous year** in which such **tax has been paid**.

Determination of TDS Amount:

As per **Section 195**, **any person** responsible for **paying** interest (other than interest referred to in section 194LB or section 194LC) or **any** other **sum chargeable to tax** (other than salaries) **to a non-corporate non-resident** or to a foreign company is liable to **deduct tax** at source **at the rates** in force.

Interest Calculation under Section 201(1A) :-

Section 201(1A) imposes **interest on delayed TDS payment = 1.5% per month or part thereof**

Certain Deductions to be made only on actual payment [Section 43B] – Page 3.156 - CSD.M25.CS4.Q4.2

As per section 43B, interest payable by the assessee on **interest on loan from a public financial institution is allowable as deduction** only in the year in which such interest **is actually paid** by the assessee.

The proviso to section 43B **permits deduction if such sum is paid on or before the due date of filing of return** under section 139(1) in respect of the previous year in which the liability to pay such sum was incurred.

Explanation 3C to section 43B clarifies that if any sum payable by the assessee as **interest on any such loan is converted into a loan** or borrowing or debenture or any other instrument by which the liability to pay is deferred to a future date, **the interest so converted shall not be deemed as actual payment**, and hence, would **not be allowed as deduction.**

ICDS VI: The Effects of changes in foreign exchange rates – Page 3.16 PY.J26.Q5.8

As per ICDS VI, **Fixed assets are non-monetary items**. A foreign currency transaction shall be recorded, **on initial recognition in the reporting currency, by applying to the foreign currency amount the exchange rate** between the reporting currency and the foreign currency at the date of the transaction.

At last day of each previous year, non-monetary items in a foreign currency shall be converted into reporting currency by using the exchange rate at the date of the transaction. In respect of non-monetary items, **exchange differences arising on conversion thereof at the last day of the previous year shall not be recognised as income or as expense** in that previous year.

As per **section 43A**, **increase or decrease in the liability** (expressed in Indian rupees) of the assessee **at the time of making the payment would be adjusted in the actual cost**.

This ICDS requires **exchange differences arising on settlement of monetary items** or conversion thereof at last day of the previous year to be **recognized as income or as expense** in that previous year.

Computation of Profit or Gain from Business or Profession PY.M24.CS4.Q4.6

Item	Income	Expense
Value of group free air ticket provided by a supplier	Yes	
Amount waived by the supplier of raw materials	Yes	
Payment of Interest to a company incorporated in USA (TDS deducted)		Yes
Salary paid to employee in cash (Salary paid in cash is allowable if the employee was **temporarily posted** for a **continuous period of more than 15 days in a city** which is **not the place of his normal duty**. Further **tax was deducted** from such salary under **section 192** and he does **not maintain any bank account in other city**. No disallowance under section 40A(3) is attracted in respect of such salary)		Yes
Contribution to electoral trust *Allowed as deduction from gross total income		No
Payment of loan (loan created from conversion of unpaid interest)		Yes

Exemption on Capital Gains on transfer of urban agricultural land [Section 54B] PY.M25.Q4.8

Eligible assessee – Individual & HUF

Conditions to be fulfilled

• There should be a transfer of **urban agricultural land**.

• Such land must have been **used for agricultural purposes by the assessee**, being an individual or his parent, or a HUF in the 2 years immediately preceding the date of transfer.

• He should **purchase another agricultural land** (**urban or rural**) **within 2 years** from the date of transfer.

• If such **investment is not made before the date of filing of return** of income, then the **capital gain has to be deposited under the CGAS** [Refer points (viii) and (ix) of this sub-heading (2)]. Amount utilised by the assessee for purchase of new asset and the amount so deposited shall be deemed to be the cost of new asset.

Quantum of exemption

• If cost of **new agricultural land ≥ capital gains**, **entire** capital **gains is exempt**.

• If cost of **new agricultural land < capital gains**, capital **gains to the extent of cost of new agricultural land is exempt**.

Consequences of transfer of new agricultural land before 3 years

• If the **new agricultural land is transferred before 3 years** from the date of its acquisition, then **cost of the land will be reduced by capital gains exempted earlier** for computing capital gains of new agricultural land.

• However, **if the new agricultural land is a rural agricultural land, there would be no capital gains on transfer** of such land.

Chapter 5 – Income from Other Sources

Incomes Chargeable Under This Head [Section 56] – Page 5.4 PY.M25.Q4.8

In case of buyback of shares (whether listed or unlisted) on or after 1.10.2024 by a domestic company, **any sum paid by the domestic company for purchase of its own shares** would be **deemed as dividend in the hands of shareholders** and shall be charged to income tax at applicable tax rates.

As per section 46A, **value of consideration** received on buy back of shares would **be Nil** and the **difference** between the **cost** of acquisition and the **value of consideration (nil)** will be **capital loss**.

Chapter 8 - Deductions from gross total income

Section 80GGB [Contribution by a company to an electoral trust] PY.M24.CS4.Q4.6 - D

Contribution by a **company to an electoral trust is allowable as deduction** where **payment** is made **otherwise than by cash**.

Tax incentives for new start-ups [Section 80-IAC] – Page 8.66 - CSD.S25.CS7.Q7.2 - M

A **deduction of 100%** of the **profits and gains** derived by an **eligible start-up from an eligible business** is allowed for any **three consecutive assessment years** out of **ten years** beginning from the year in which the eligible start up is incorporated.

Section 80-IAC also defines **eligible start-up** which fulfils the following conditions namely: -

(a) It is incorporated on or after the **1st day of April, 2016 but before the 1st day of April, 2024**

(b) The total **turnover** of its business **does not exceed 100 crore** rupees in the previous year relevant to the assessment year for which deduction under sub-section (1) is claimed and

(c) It holds a **certificate of eligible business** from the **Inter-Ministerial Board** of Certification as notified in the Official Gazette by the Central Government

Deferment of TDS on perquisite of specified security or sweat equity shares provided by an eligible start-up [Section 192(1C)] – Page 21.122 - PY.M25.Q1.4, CSD.S25.CS7.Q7.3

An employer, being an **eligible start up** referred to in **section 80-IAC**, responsible for **paying any income** to the assessee by way of **perquisite** being any specified security or **sweat equity shares allotted** or transferred **free** of cost or **at concessional rate** to the **employee assessee, has to deduct or pay**, as the case may be, **tax** on the value of such perquisite provided to its employee **within 14 days from** the earliest of the following dates –

- after the **expiry of 48 months** from the end of the relevant assessment year; or
- from the **date of the sale** of such specified security or sweat equity share by the assessee; or
- from the **date of the assessee ceasing to be the employee** of the employer who allotted such shares

Chapter 9 - Assessment of Various Entities

Computation of book profit under section 115JB – Page 9.18 PY.S25.Q5.8

Particular	Amount
Profit as per Statement of Profit and Loss	100
Add: Provision for income-tax	30
Add: Deferred tax expense	20
Add: Dividend Paid	10
Add: Expenditure related to exempt income	20
Add: Depreciation as per books	50
Less: Depreciation as per books **excluding depreciation on revaluation** of asset	(40)
Less: Exempt Income	(30)
Less: Deferred tax income	-
Book Profit	**160**

Chapter 10 - Assessment of trusts and institutions, political parties and other special entities

Computation of total income of trust –PY.J26.Q3.7

Particulars	Amount
Voluntary donations received	100
Corpus donations (not treated as income, if utilised or invested as per 11(5))	-
Government Grant received for specific purpose (not treated as corpus)	60
Net income from property held under trust	30
Anonymous donation [to the extent not chargeable to tax @30% under section 115BBC(1)(i)] As per section 115BBC(1)(i), the anonymous donations in **excess of the higher** of the following would be subject to tax@30%; • **5% of the total donations** received i.e., 5% of [Voluntary contributions (+) anonymous contributions o(+) Corpus donation]; or • **1 lakh**	10
Total	**200**
Less: 15% of income eligible for being set apart without any condition	(30)
Total	**180**
Less: Amounts applied for the objective of the trust	(100)
Total Income of the trust (before including anonymous donation)	**80**
Add: Anonymous donation taxable @30% under section 115BBC(1)(i)	20
Total income of the trust (including anonymous donation taxable@30%)	**100**
Tax Liability	
Tax on anonymous donation @30%	
Tax on balance income at slab rate	

Application for renewal of registration under Section 12AB – Page 10.24 - PY.J26.Q3.5

Renewal of registration- at least **six months prior to the expiry of the five-year** validity in Form No. 10AB

Denial of Exemption to charitable trust [Section 13] – Page 10.56 - PY.M24.Q4.8

The definition of "**charitable purpose**" under section 2(15) provides that the **advancement of any other object of general public utility shall not be a charitable purpose, if it involves** the carrying on of any activity in the nature of **trade, commerce or business**, or any activity of rendering any service in relation to any trade, commerce or business, **for a cess or fee or any other consideration**, irrespective of the nature of use or application, or retention, of the income from such activity, **unless**,-

(1) such **activity is undertaken in the course** of actual carrying out of such **advancement of any other object of general public utility**; **and**

(2) the **aggregate receipts** from such activity or activities, during the previous year, does **not exceed 20% of the total receipts**, of the trust or institution undertaking such activity or activities, for the PY.

Thus, a charitable trust or institution pursuing "advancement of object of general public utility" may be a charitable trust in one year and not a charitable trust in another year depending on the percentage of receipts from commercial activities vis-à-vis its total receipts

Chapter 13 - Deduction, Collection and Recovery of tax

TDS on ESOPs of Eligible Start-up given to employee (Section 191(2)) – Page 13.3 PY.M25.Q1.4

In a case where the **income of the assessee includes** the value of any specified security or **sweat equity shares** allotted or transferred, directly or indirectly, **by the current employer, being an eligible start-up** referred to in section 80-IAC, free of cost or at concessional rate to the assessee, the **income-tax on such income has to be paid by the assessee within 14 days from the earliest** of the following dates -

- after the **expiry of 48 months from the end of the relevant assessment year**; or

- from the **date of the sale** of such specified security or sweat equity share by the assessee; or

- from the **date of the assessee ceasing to be the employee** of the employer who allotted or transferred him such specified security or sweat equity shares.

TDS Section PY.S25.Q4.6

Section	Nature of Payment	Threshold	Payer	Payee	Rate of TDS
194	Dividend	**For individual** Aggregate > 5K **For Other** No Threshold	Company	Any **Resident**	10%
194C	Payments to Contractors	**Single > 30K** Or **Aggregate > 1L** No TDS deduction by Ind. or HUF if it is personal exp.	Any person except small* Ind. or HUF	Any **Resident**	1% if payee is Ind./ HUF 2% if payee is not Ind./ HUF
194R	Any benefit Or perquisite, Arising from business or profession	**Aggregate > 20K**	Any person except small* Ind. or HUF	Any **Resident**	10% on gross value (Including TDS)
194E	Income referred in 115BBA (Sports, Advertisement etc.)	NA	Anyone	**Non-resident** sportsmen/ asso. or an entertainer	20%
195	Any sum payable e.g., Dividend @ 20% Foreign Co. any Income @ 35%	NA	Anyone	**Non-Resident**	Rate in force + Surcharge + 4% HEC

Under section 90(2), If DTAA exist then beneficial rate will apply to the assessee.

*Small Individual or HUF = Individual or HUF having **turnover from business ≤ 1 crore** or turnover from **profession ≤ 50 lakhs**

Chapter 16 - Appeals and Revision

Rectification of Mistake Apparent from record (Section 254(2)) – Page 16.14 PY.M24.Q3.8

The **Appellate Tribunal** may, at any time **within 6 months from the end of the month** in which **order is passed**, with a view to **rectifying any mistake apparent from record**, amend any order passed by it. However, if the mistake is **brought to its notice by the assessee or the Assessing Officer**, the Tribunal is **bound to rectify the same**. In cases where the amendment has the effect of enhancing the assessment or **reducing a refund or otherwise increasing the liability** of the assessee, the Tribunal shall **not pass any order** of amendment **unless it has given notice to the assessee** of its intention to do so and has allowed him a reasonable **opportunity of being heard.**

Issuance of a second notice under section 263 - TYK 9 (a), Page 16.61 CSD.M25.Q4.7

After examination of record by Commissioner, **notice under section 263 can be issued**. If **subsequently new material collected under search as per section 133A and second notice was issued**, which was **totally unrelated and irrelevant** to the issues sought to be revised in the first notice.

Accordingly, the material on the basis of which the second notice was issued **could not be said to be "record" available at the time of examination** as emphasized in clause (b) of the Explanation 1 to section 263(1).

The action of the Commissioner in **issuing the second notice is not justified**.

Chapter 20 - Tax Audit And Ethical Compliances

Form 15CB - TYK 7, Page 20.108

CSD.M25.CS5.Q5.7 - D

Form 15CB is a certificate of an accountant wherein he **certifies** that he has **examined the agreement between the remitter and the beneficiary** requiring such remittance as well as the **relevant documents** and **books of account** required for ascertaining the **nature of remittance** and **for determining the rate of deduction of tax at source**.

The chartered accountant certifying the form undertakes to have verified the agreement between the remitter and the beneficiary as well as the relevant documents and books of account to ascertain the nature of remittance and determine the rate of TDS.

However, **If the CA mentioned that he had only verified KYC** of signatory to invoice and the invoices thereof, He had **not only failed to justify as to**

- How **verification of invoices was considered** as sufficient compliance for certifying the forms but
- Also **failed to bring on record the said invoices**.

Thus, he **failed to provide any basis on which he relied for issuing Form 15CB** certificates to the company. On account of such failure, **clauses (7) and (8) of Part I of the Second Schedule** to the Chartered Accountants Act, 1949 for **failure to exercise due diligence** in discharging his professional responsibilities and failure to obtain sufficient information **may be invoked**.

Tax Audit Important Clause – Page 20.11 PY.S25.Q1.5

Clause	Section	Description
21	37	Mention the details of **amounts debited to profit and loss account**, being in the nature of **capital, personal, advertisement** expenditure, expenditure incurred at clubs, expenditure for any purpose which is an offence (**penalty**)
25	41	Indicate the amount of profit chargeable to tax under section 41"**deemed profits"** that arise when a **deduction was allowed in a previous year and a recovery** or benefit is **received in the current year**
31	269SS	Furnish the particulars of each **loan** or deposit or specified sum in an amount exceeding the limit specified in **section 269SS taken** or accepted during the previous year.
31	269ST	Furnish the particulars of each **receipt** in an amount exceeding the limit specified in **section 269ST**
31	269T	Furnish the particulars of each **repayment of loan** or deposit or any specified advance in an amount exceeding the limit specified in **section 269T** made during the previous year.

Chapter 24 – Transfer Pricing

Data to be used for analyzing the comparability of an uncontrolled transaction with an international transaction – Page 24.30

The **data** to be used **for analyzing** the **comparability of an uncontrolled transaction** with an **international transaction** should **relate to the financial year (current year) in which the international transaction has been entered** into.

However, where the **data relating to the current year is subsequently available** at the time of determination of arm's length price of an international transaction **during the course of any assessment** proceeding for the assessment year relevant to the current year, **then, such data shall be used** for such determination **irrespective of the fact that the data was not available at the time of furnishing the return** of income of the relevant assessment year.

Determination of the most appropriate method PY.S25.Q2.6

Rule 10C deals with the determination of most appropriate method. Under this Rule, the method which is **best suited to the facts and circumstances** and which **provides the most reliable measure** of an arm's length price in relation to the international transaction will be considered to be the most appropriate method.

For the purpose of selecting the most appropriate method, the **following factors** should be considered.

(i) The **nature and class** of the **international transaction**;

(ii) The class, or **classes of associated enterprises** entering into the transaction and the functions performed by them taking into account assets employed or to be employed and risks assumed by such enterprises;

(iii) The availability, coverage and **reliability of data** necessary for application of the method;

(iv) The **degree of comparability** existing between the **international transaction and the uncontrolled transaction** and between the enterprises entering into such transactions;

(v) The extent to which **reliable and accurate adjustments** can be made to account for difference, if any, between the international transaction and the comparable uncontrolled transaction or between the enterprises entering into such transactions;

(vi) The nature, extent and **reliability of assumptions** required to be made in application of a method.

Primary & Secondary Adjustment [Section 92CE] – Page 24.59 PY.M25.Q2.8

"Primary adjustment" to a transfer price means the **determination of transfer price** in accordance with the arm's length principle **resulting in an increase in the total income** or reduction in the loss, as the case may be, of the assessee.

"Secondary adjustment" means an **adjustment in the books of accounts** of the assessee and its associated enterprise **to reflect that the actual allocation of profits** between the assessee and its associated enterprise are **consistent with the transfer price determined as a result of primary adjustment**, thereby removing the imbalance between cash account and actual profit of the assessee.

Secondary adjustment has to be made under section 92CE

(i) The company has **accepted the primary adjustment** made by the Assessing Officer;

(ii) The **primary adjustment exceeds 100 lakhs**.

Accordingly, the **excess money** available with the associated enterprise has **to be repatriated to India within 90 days** of the date of the order of the Assessing Officer.

If the same is **not repatriated to India** within that time limit, it would be **deemed as an advance** made by the assessee to its associated enterprise and **interest would be calculated** on such advance at the

	Case	Rate
(1)	(2)	(3)
(i)	Where the international transaction is denominated in Indian rupee	At the one year marginal cost of fund lending rate of SBI as on 1st April of the relevant previous year + 3.25%
(ii)	Where the international transaction is denominated in foreign currency	At six month London Interbank Offered Rate (LIBOR) as on 30th September of the relevant previous year + 3.00%

In a case where the **excess money** or part thereof has **not been repatriated** within the prescribed time as mentioned above, the assessee has **option to pay additional income-tax @ 20.9664% (tax @18% + surcharge@12% + cess@4%)** on such excess money or part thereof, as the case may be.

Chapter 2 – Charge of GST

Levy and collection (CGST) – Page 2.8 - CSD.S25.CS2 & Journal Feb 2025.Q2.9

As per section 9(1) of the CGST Act, 2017, currently, **GST is not leviable on petroleum crude, high speed diesel, motor spirit** (commonly known as petrol), **natural gas and aviation turbine fuel**.

GST will be **levied on natural gas from the date to be notified** based on the recommendations of the GST Council. **Until that date, central excise duty continues** to be imposed.

Supply of services taxable under reverse charge (Section 9(3)) – Page 2.16 - PY.M24.Q2.2

- **Sponsorship services** provided **by any person other than body corporate to a body corporate or partnership firm** located in the taxable territory, shall be liable to **GST under reverse charge** in the hands of recipient.
- Services provided by the **independent directors**/those directors **who are not employees** of the said company to such company, in lieu of remuneration as the consideration for the said services, are clearly **outside the scope of Schedule III** of the CGST Act and are **therefore taxable**. **Remuneration paid to the directors is taxable in hands of the company, on reverse charge basis**.

Chapter 4 – Exemption from GST

Services Exempt from Tax – Page 4.9 PY.J26.Q3.4

- Services by an **entity registered under section 12AA**/12AB of the Income-tax Act, 1961 by way of **charitable activities**.
- Services by a person by way of-
  a) Conduct of any **religious ceremony**;
  b) **Renting** of precincts of a religious place meant for general public, owned or managed by an entity registered as a charitable or religious trust

  However, **nothing** contained in entry (b) of this **exemption shall apply** to-
  - renting of **rooms** where charges are **₹ 1,000 or more per day**;
  - renting of **premises, community halls**, kalyanmandapam or open area, and the like where charges are **₹ 10,000 or more per day**;

Chapter 5 – Place of Supply

Place of supply of goods other than Supply of goods imported into, or Exported from India [section 10] – Page 3.12 PY.J26.Q1.5

(i) In case of supply involving **movement of goods**, the place of supply is the **location of the goods at the time when the movement of goods terminates** (ends) for delivery to the recipient. [Section 10(1)(a)]

(ii) In case of Supply involving **movement of goods** where **goods are delivered to recipient on the instruction of third person – 'Bill to Ship to'** Supply, the **place of supply is the principal place of business of such third person** and not of the actual recipient. [Section 10(1)(b)]

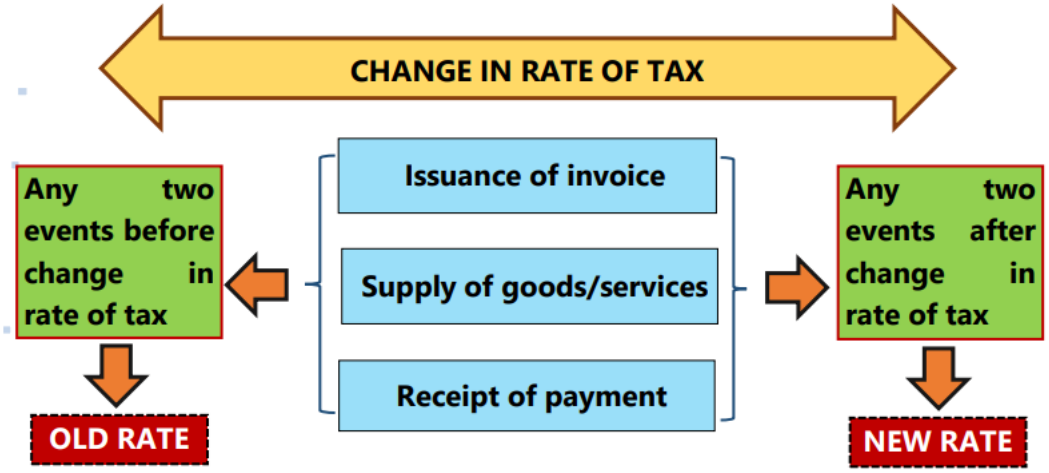
(iii) In case of Supply **not involving movement of goods**, the place of supply is the **location of goods at the time of delivery** to the recipient. [Section 10(1)(c)]

(iv) Supply of goods **to an unregistered person,** the place of supply shall be: [Section 10(1)(ca)]

1. **Location as per the address** of the said person **recorded in the invoice** issued in respect of the said supply and
2. **Location of the supplier** where the **address of the said person is not recorded** in the invoice.

Chapter 5 – Time of Supply

Change in rate of tax in respect of supply of goods or services [section 14] – Page 5.40 PY.J26.Q1.5



Chapter 6 - Value of Supply

Subsidies linked with price [Section 15(2)(e)] – Page 6.19 - PY.M24.CS2.Q2.3 – M, CSD.S25.CS2 & Journal Feb 2025. CS2. Q2.9 - D

According to section **15(2)(e)** of the CGST Act, 2017, **subsidies are included in the value of supply** for the supplier receiving them, provided they are

- **Directly linked to the price** of goods or services **and**
- **Given by non-Governmental** organisation.

However, **blanket subsidies that are not tied** to the price are **excluded** from the value.

Similarly, **subsidies provided by the Central or State Government** are specifically **excluded** from the value of supply.

Value of service in relation to life insurance business – Page 6.69 - CSD.S25.Q5.7

As per Rule 32(4) of the CGST Rules, 2017, the value of supply under GST for each of the plans would be as follows:

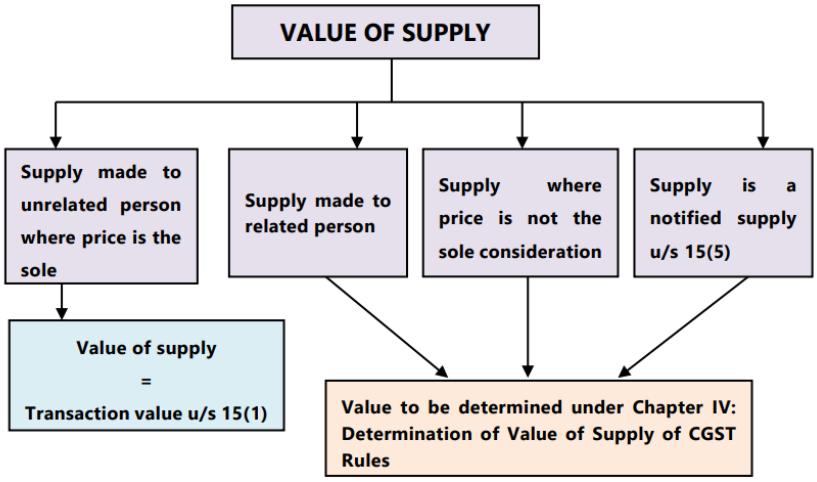
Pure Risk-Cover Policy: If the **entire premium is for risk** cover, the rule doesn't apply. The **entire premium** charged from the policy holder is the **taxable value**.

Investment-Linked Policy: The **gross premium** is **reduced** by the **amount** allocated for **investment**/ savings.

Life Insurance:

- **Single Premium Annuity**: For single premium annuity policies, the value is **10%** of the **single premium**.
- **Regular Life Insurance**: For regular policies, the value is **25%** of the premium in the **first year** and **12.5%** of the premium charged from the policy holder in **subsequent years**.

Value of Supply – Page 6.82 – PY.J26.Q4.7



VALUATION RULES

RULE 27: Consideration not wholly in money

Value shall be either of the following in the given order:

- open market value
- total of consideration in money + amount equal to the consideration not in money
- value of supplies of like kind and quality
- consideration in money + money value of non-monetary consideration computed as per rule 30 or 31 in that order.

RULE 28: Supply between distinct/ related persons, other than agent

Value shall be either of the following in the given order:

- open market value
- value of supplies of like kind and quality
- value as per rule 30 or 31 in that order.

♦ Option to supplier to value goods sold as such by recipient⇒Value= 90% of price charged by recipient to its unrelated customer

♦ Recipient eligible for ITC ⇒ invoice value = open market value (taxable value)

RULE 29: Supply made/received through an agent

Value shall be either of the following in the given order:

- open market value or 90% of price charged by recipient to his unrelated customer for supplies of like kind and quality;
- value as per rule 30 or 31 in that order.

Goods received in lots: ITC available only on receipt of last lot [First proviso to section 16(2)] – Page 7.25 PY.S25.Q4.6

In case the goods covered under an invoice are not received in a single consignment but are received in lots / instalments, **ITC can be taken only upon receipt of the last lot** / instalment.

Payment for the invoice to be made within 180 days [Second proviso to section 16(2) read with rule 37] – Page 7.26 PY.S25.Q1.8

If a **registered person**, who has availed of ITC on any inward supply **fails to pay to the supplier** thereof, the amount towards the value of such supply along with the tax payable thereon, **within 180 days from the date of issue of invoice** by supplier, shall **pay or reverse an amount equal to the ITC** availed in respect of such supply **along with interest payable** thereon under **section 50**, while furnishing the return in Form GSTR-3B for the tax period immediately following the period of 180 days from the date of the issue of the invoice

Interest payable @ 18% p.a. as per section 50 **from date of availing the ITC to reversal**

If depreciation claimed on tax component, ITC not allowed [Section 16(3)] – Page 7.27 PY.S25.Q4.6

If the person taking the ITC on capital goods and plant and machinery has **claimed depreciation on the tax component** of the cost of the said items under the Income-tax Act 1961, the **ITC on the said tax component shall not be allowed**.

Section 17(5) Blocked Credit PY.S25.Q4.6, PY.S25.Q1.8, PY.M25.Q4.6, PY.M24.CS1.Q1.5

Input tax credit shall not be available in respect of the following

(a) Motor vehicles for **transportation of persons** having approved **seating capacity of not more than thirteen persons (including the driver), except** when they are **used for** making the **following** taxable supplies, namely:—

(A) **further supply** of such motor vehicles; or
(B) **transportation of passengers**; or
(C) imparting **training on driving** such motor vehicles;

*ITC will be available on vehicle to be used for transferring material within the factory

(ab) Services of general insurance, servicing, **repair and maintenance** in so far as they **relate to motor vehicles, vessels or aircraft** referred to in clause (a) or clause (aa).

(b) (i) **Food and beverages, outdoor catering**, beauty treatment, health services, cosmetic and plastic surgery, leasing, renting or hiring of motor vehicles, vessels or aircraft referred to in clause (a) or clause (aa) except when used for the purposes specified therein, **life insurance and health insurance**:

(ii) **Membership** of a club, health and fitness centre; and

(iii) **Travel benefits extended to employees** on vacation such as leave or home travel concession:

Provided that the **input tax credit** in respect of such goods or services or both **shall be available**, where **it is obligatory for an employer** to provide the same to its employees **under any law** for the time being in force

(c) **Works contract services** when supplied for construction of an **immovable property (other than plant and machinery)** except where it is an input service for further supply of works contract service;

(d) Goods or services or both received by a taxable person for **construction of an immovable property (other than plant or machinery)** on his own account including when such goods or services or both are used in the course or furtherance of business.

* ITC is available if amount of repairs is not capitalized in the cost of the factory and charged to P&L.

"**plant and machinery**" means **apparatus, equipment, and machinery fixed to earth by foundation** or structural support that are used for making outward supply of goods or services or both **and includes such foundation** and structural supports **but excludes—**

(i) land, building or any other **civil structures**;

(ii) telecommunication **towers**; and

(iii) **pipelines laid outside** the factory premises.

Tax paid in fraud cases, detention, confiscation etc. [Clause (i) of section 17(5)] – Page 7.83 - PY.M24.CS3.Q3.3 - M

As per section 17(5), **tax paid under sections 74 is not available as ITC**. Further, rule 36(3) also lays down that tax paid in pursuance of any order where any demand has been confirmed on account of any **fraud, willful misstatement or suppression of facts cannot be availed as ITC** by a registered person.

Chapter 9 – Tax Invoice, Debit Note & Credit Note

Tax invoice for continuous supply {Section 31(4)} – Page 9.6 - CSD.S25.CS2 & Journal Feb 2025.Q2.9

As per section 31(4) of the CGST Act, 2017, in case of **continuous supply of goods**, where **successive statements of accounts or successive payments** are involved, the **invoice is issued before** or at the time of issue of **each such statement or** as the case may be, each such **payment is received**.

Chapter 10 – Accounts and Records; E-Way Bill

Period of Retention of Accounts [Section 36] – Page 10.15 - PY.M25.Q5.7

Every registered person required to **keep and maintain books of account** or other records in accordance with the provisions of section 35(1) shall retain them **until the expiry of 72 months from the due date of furnishing of annual return for the year** pertaining to such accounts and records.

However, a registered person, who is a **party to an appeal** or revision or any other proceedings before any Appellate Authority or Revisional Authority or Appellate Tribunal or Court, whether filed by him or by the Commissioner, or is under investigation for an offence under Chapter XIX, **shall retain the books of account** and other records pertaining to the subject matter of such appeal or revision or proceedings or investigation **for a period of one year after final disposal** of such appeal or revision or proceedings or investigation, **or for the period specified above**, whichever is **later**.

Electronic Way Bill [Section 68 Read With Relevant Cgst Rules, 2017] – Page 10.15 PY.M25.Q5.7

1) When is e-way bill required to be generated? [Rule 138(1)]

Whenever there is a **movement of goods** of consignment value **exceeding ₹ 50,000**:

(i) in relation to a supply; or

(ii) for **reasons other than supply**; or

*The goods to be moved to another State for replacement under warranty is not a 'supply'. However, as per rule 138(1) of the CGST Rules, 2017, E-way Bill is required to be generated.

(iii) due to **inward supply from an unregistered** person,

the registered person who causes such movement of goods shall furnish the information relating to the said goods as specified in Part A of Form GST EWB-01 **before commencement of such movement**.

Chapter 15 – Import & Export under GST

Zero Rated Supply [Section 16] – Page 14.36 - PY.J26.Q5.1

Zero rated supply" means any of the following supplies of goods or services or both, namely :-

(a) export of goods or services or both; or

(b) supply of goods or services or both for authorised operations to a Special Economic Zone developer or a Special Economic Zone unit

Chapter 17 – Assessment & Audit

Special audit [section 66] – Page 17.16 PY.M25.Q1.3

If at **any stage of scrutiny, inquiry, investigation** or any other proceedings before him, any **officer not below the rank of Assistant Commissioner,** having regard to the **nature and complexity** of the case and the interest of revenue, is of the opinion that –

- the **value** (of goods and/or services) has **not been correctly** declared; or
- the **credit availed** is not within the normal limits,

he may, with the prior **approval of the Commissioner**, **issue a direction** to the registered person to get his records including **books of account examined** and audited by a **chartered accountant or a cost accountant** as may be nominated by the Commissioner and specified in the said direction.

Time limit within which audit to be completed

The Chartered Accountant or cost accountant as nominated by Commissioner shall submit a report of such audit duly signed and certified by him **within the period of 90 days** to the said Assistant Commissioner mentioning there in such other particulars as may be specified:

The **Assistant Commissioner may extend** the said period 90 days **by a further period of 90 days**.

Chapter 19 – Demands & Recovert

Payment of tax and interest and penalty before issuance of SCN [Section 74A(8)(i), 74A(9)(i) & 74A(10)] - Page 19.9 PY.S25.Q1.6

The law provides an opportunity to the person chargeable with tax to **pay tax, interest and penalty before issuance of SCN.**

In that case, in **non-fraud cases**, penalty will be completely **waived off** and

in **fraud cases**, penalty will be reduced to **15% of the tax**.

Payment of tax and interest and penalty within 60 days of issuance of SCN [Section 74A(8)(ii) & 74A(9)(ii)] - Page 19.10 PY.S25.Q1.6

Non-fraud cases: In case of non-fraud cases, the person chargeable with tax may **pay the tax alongwith interest** payable under section 50 (interest on delayed payment of tax), **within 60 days of issuance of SCN/statement**, and inform the proper officer of such payment in prescribed form.

In such cases, **no penalty shall be payable** and all proceedings in respect of the said SCN shall be deemed to be concluded. The proper officer shall issue an intimation in prescribed form concluding the proceedings in respect of the said SCN.

Fraud cases: In case of fraud cases, the person chargeable with tax may **pay the tax alongwith interest** payable under section 50 (interest on delayed payment of tax) **and a penalty equivalent to 25% of such tax, within 60 days of issuance of SCN/statement**, and inform the proper officer of such payment in prescribed form.

Payment of tax, interest and penalty within 60 days of communication of order [Section 74A(9)(iii)] - Page 19.11 PY.S25.Q1.6

In case of **fraud cases**, the person chargeable with tax may **pay the tax alongwith interest** payable under section 50 (interest on delayed payment of tax) **and a penalty equivalent to 50% of such tax**, **within 60 days of communication of order**, and all proceedings in respect of the said SCN shall be deemed to be concluded.

Chapter 21 - Offences and penalties and ethical aspects under GST

General penalty [Section 125] - PY.M24.CS1.Q1.1 - M

Any person who **contravenes any of the provisions of this Act** or any rules made thereunder for which **no penalty is separately provided** for in this Act, shall be liable to a **penalty** which may extend to ₹ **25,000 (₹ 50,000 in IGST Act).**

E.g., Penalty on **aiding and abatement in furnishing of the GST** return with **fake/false information**

Chapter 22 - Appeals and Revisions

Mandatory Pre-deposit – Page 22.27 - PY.M24.CS3.Q3.4 - M

Section 107(6) provides that no appeal shall be filed **before the AA**, unless the appellant has paid—

(a) **full amount of tax, interest, fine, fee and penalty** arising from the impugned order, as is **admitted by him**; and

(b) a sum equal to **10% of the remaining amount of tax** in dispute arising from the impugned order in relation to which the appeal has been filed, **subject to a maximum of ₹ 20 crore (₹ 40 crore in case of IGST*)**

However, no appeal shall be filed before (AA) against an **order of E-way bill/Detention under section 129(3), unless a sum equal to 10% of the penalty has been paid** by the appellant.

Section 112(8) lays down that no appeal can be filed **before the Tribunal**, unless the appellant deposits

(a) **full amount of tax, interest, fine, fee and penalty** arising from the impugned order, as is **admitted by him**, **and**

(b) **10% of the remaining amount of tax** in dispute, in addition to the amount deposited before the AA, arising from the said order, subject to a **maximum of ₹ 20 crore (₹ 40 crore in case of IGST)**, in relation to which appeal has been filed.

Chapter 1 – Levy Of And Exemptions From Customs Duty

Duty On Pilfered Goods [SECTION 13] – Page 1.33 - CSD.S25.CS2 & Journal Feb 2025. CS2. Q2.9 - D

If any **imported goods are pilfered after the unloading** thereof and before the proper officer has made an order for clearance for home consumption or deposit in a warehouse, the **importer shall not be liable to pay the duty** leviable on such goods except where such goods are restored to the importer after pilferage. However, the **custodian of the goods is liable to pay the duty** in terms of section 46 of the Customs Act, 1962.

However as per case of Board of Trustees v. UOI (2009) 241 ELT 513 (Bom HC DB), The Department **cannot demand duty from Port Trust** on the pilferage under section 45(3) of the Customs Act, 1962. They can **demand from only private custodian** who are required to be approved by Principal Commissioner/ Commissioner of Customs under section 45(1).

Concessional duty payable in case of re-importation of goods which are exported under duty drawback, exported for repairs, etc. - Page 1.12 - Illustration 1, page 1.18 - CSD.M25.CS4.Q4.8 - D

As per Notification No. 45/2017 Cus. dated 30.06.2017, **duty payable on re-importation of goods** which had been **exported for repairs abroad** is the duty of customs which would be **leviable if the value of re-imported goods after repairs were made up of the fair cost of repairs** carried out including **cost of materials** used in repairs (whether such costs are actually incurred or not), **insurance & freight charges**, both ways. However, following **conditions need to be satisfied for availing this concession**:

(a) goods must be **re-imported within 3 years, extendable by further 2 years**, after their exportation;
(b) **exported goods and the re-imported goods** must be the **same**;
(c) **ownership** of the goods should **not change**.

Valuation under the customs act, 1962

Valuation of goods based on section 14 - Page 4.4 – PY.M25.Q3.6, PY.S25.Q5.7, CSD.S25.Q1.1, CSD.S25.Q1.3

Particular	Value
Cost of the machine	$ 100
Add: Transportation charges from the factory of exporter to the port for shipment & handling charges for loading the machine is the ship	$ 50
Add: Licence fee relating to imported goods payable by the buyer as a condition of sale	$ 30
Add: Commission paid to local agent of exporter	$ 20
FOB value of goods or machine (Cost + Profit) ***Do not include buying commission**	**$ 200**
Transport from foreign port to India, (20% of FOB if not ascertainable) *Includes lighterage charges *If the goods are **imported by air**, the freight cannot exceed 20% of FOB price)	$ 40
Insurance (1.125% of FOB if not ascertainable)	$ 2.25
Assessable value in foreign currency	**$ 242.25**
Exchange Rate *Rate of exchange prevalent on the date of filling of **bill of entry date or presentation of shipping bill**	₹ 100
Assessable value in ₹	**₹ 24,225**
Basic Custom Duty Rate *Rate of duty prevalent on the date on which the **proper officer makes an order** permitting **clearance of the goods**, is considered.	₹ 4,845
Social Welfare surcharge @ 10% of BCD	₹ 484.5
Total	**₹ 29,554.5**
Integrated tax @ 18% or 29,554.5	₹ 5,319.81

* Unloading, handling & warehousing charges paid at the Indian Port is not included in assessable value.

* **Goods which are not removed** within the **permissible period** are **deemed to be** improperly **removed** in terms of section 72 of the Customs Act, 1962 **on the day they should have been** removed.

The applicable rate of duty in such a case is the **rate of duty prevalent on the last date** on which the goods **should have been removed**.

Interest on Unpaid Custom Duty After 90 Days (Section 61) – PY.S25.Q5.7

If **goods remain in a warehouse beyond** a period of **90 days from** the date on which the **order** permitting deposit of goods in warehouse under section 60 is made, **interest is payable @ 15% p.a.**, on the amount of duty payable at the time of clearance of the goods, for the period from the **expiry of the said 90 days** till the **date of payment** of duty on the warehoused goods

Chapter 5 - Importation and exportation of goods

Passenger Baggage Rules – Page 5.50 - CSD.S25.CS3 Q3.2 - M

No custom duty shall be payable on following

Passenger Indian resident or Foreigner residing in India or Tourist of Indian origin, excluding an infant **coming from Any country other than Nepal, Bhutan or Myanmar**

(i)Used **personal effects** and **travel souvenirs**; and

(ii) **Articles** up to the value of **₹ 50,000** (excluding articles mentioned in Annexure I), if carried on in person or in the accompanied baggage of the passenger

One laptop computer **is exempt** when imported into India by a **passenger ≥ 18 years** of age

Jewelry Allowance for passenger residing abroad for **more than 1 year**

- **Gentleman**: Upto a weight of **20 gms** with a value cap of **₹50,000**
- **Lady passenger**: Upto a weight of **40 gms** with a value cap of **₹1,00,000**

Chapter 8 – Foreign Trade Policy

Status Holder – Page 8.12

An applicant shall be **categorized as status holder** upon **achieving the threshold export performance** in the **current and preceding 3 financial years**, as indicated below:

Status category	Export Performance Threshold In USD Million
One Star Export House	3
Two Star Export House	15
Three Star Export House	50
Four Star Export House	200
Five Star Export House	800

Privileges of Status Holders: Status holders are eligible for privileges as under:

(a) Authorisation and **custom clearances** for both imports and exports on **self-declaration basis**.

(b) **Fixation of Input Output Norms on priority** i.e. within 60 days by Norms Committee.

(c) **Exemption from compulsory negotiation** of documents through banks. Exception are remittance/ receipts.

(d) **Exemption from furnishing of Bank Guarantee** in Schemes under FTP unless otherwise specified.

(e) Two Star Export Houses and above are permitted to **establish export warehouses**.

(f) Manufacturers who are also status holders (Three Star/Four Star/Five Star) will be enabled to **self-certify their manufactured goods** (as per their Industrial Entrepreneurs Memorandum (IEM)/ Industrial License (IL) /Letter of Intent (LOI) as originating from India with a view to qualify for preferential treatment under specified agreements.

(g) Status holders shall be entitled to **export freely exportable items on free of cost basis** for export promotion subject to a specified annual limit.

(h) The status holders would be entitled to **preferential treatment and priority in handling of their consignments** by the concerned agencies.

Advance Authorisation Scheme – Page 8.30

PY.S25.Q1.3

Eligible Applicant / Export

(a) Advance Authorisation can be issued either to a **manufacturer exporter** or **merchant exporter tied to supporting manufacturer**.

(b) Advance Authorisation for **pharmaceutical products** manufactured through Non-Infringing (NI) process shall be issued to **manufacturer exporter only**.

Chapter 1 - Appointment And Qualifications Of Directors

Company to have board of directors [Section 149] – Page 1.3 PY.J26.Q1.1

Every company shall have-

(a) **minimum number** of directors:

A. in case of a **Public Company-3 Directors**,
B. in case of a **Private Company-2 Directors**, and
C. in case of a **One Person Company (OPC)-1 Director**

(b) **maximum number** of directors:**15 Directors**

Note: If the company wants to appoint **more than 15 directors**, it can do so **after passing a special resolution.**

Women Director – Page 1.4 PY.S25.Q4.1

following classes of companies shall appoint **at least one woman director**

1. Every **listed company**
2. Every other **public company having**
   - **Paid up** share **capital of 100 crore** or more, or
   - **Turnover** of **300 crore** or more

Additional Director [Section 161(1)]:- Page 1.23 - CSD.S25.Q1.4

(i) The **articles** of a company **may confer** on its **Board of Directors the power to appoint any person** as an additional director at any time.

(ii) A **person**, who **fails to get appointed as a director** in a **general meeting, cannot be appointed** as an **additional director**.

(iii) Additional director shall **hold office up to the date of the next annual general meeting or** the **last date** on which the annual general **meeting should have been held**, whichever is **earlier**.

Alternate Director [Section 161(2)] – Page 1.24 - CSD.S25.CS1.Q1.4 - M

An **alternate director** shall **not hold office** for a **period longer than that permissible to the original** director in whose place he has been appointed and shall **vacate the office if and when the original director returns to India.**

Disqualifications for appointment of director [section 164] – Page 1.32 PY.M25.Q1.6

Various disqualifications are mentioned as under:

(i) Section 164(1)states that a person shall not be appointed as a director if:

a. he is of **unsound mind** and stands so declared by a competent court;
b. he is an **undischarged insolvent**;
c. he has **applied to be adjudicated as an insolvent** and his application is pending;
d. he has been **convicted** by a court of any offence, whether involving moral turpitude or otherwise, and **sentenced to imprisonment for not less than 6 months** and a **period of 5 years has not elapsed from the date of expiry of the sentence**. However, in case a person has been convicted of any offence and sentenced in respect thereof to **imprisonment for a period of 7 years or more**, he shall **not be eligible to be appointed as a director** in any company

e. an **order disqualifying him** for appointment as a director has been passed by a court or Tribunal and the order is in force;
f. he has **not paid any calls** in respect of any shares of the company held by him and **6 months have elapsed from the last day fixed for the payment of the call**. It is immaterial whether such shares are held individually by him or jointly with others;
g. he has been **convicted of the offence of dealing with related party transactions** under section 188 at any time during the **last preceding 5 years**; or
h. he has **not complied with section 152 (3)** which requires a director to have a Director Identification Number **(DIN)**.
i. he has **not complied with the provisions of Section 165 (1)** relating to holding of specified **number of directorships**.

PY.M25.Q1.6

(ii) Sub-section (2) of Section 164 prescribes disqualifications which get attached to a person if he is or has been a **director of a company which has committed default** as under—

(a) his company has **not filed financial statements or annual returns** for any **continuous period of 3 financial years**; **or**

(b) his company has **failed to repay the deposits** accepted by it **or pay interest thereon** or to redeem any debentures **on the due date** or pay interest due thereon or pay any dividend declared **and such failure to pay** or redeem **continues for 1 year or more**.

In both the above cases of default, the **director** concerned shall **not be eligible to be reappointed** as a director of such defaulting company **or appointed** in some other company **for period of 5 years from the date** on which the said company has **committed default**.

Maximum number of directorships – Section 165 – Page 1.33 PY.S25.Q4.1, PY.J26.Q2.4

a person **shall not hold office as director**, including any alternate directorship, in **more than 20 companies** at the same time.

Further, out of the above limit of 20 companies, the **maximum number of public companies** in which a person can be appointed as a director **shall not exceed 10**.

It may be noted that the **limit of public companies (i.e.10) shall include directorship in private** companies **that are either holding or subsidiary company of a public** company.

However, the **limit of directorships of 20 companies shall not include** the directorship in a **dormant** company and **Section 8** company (that has not committed a default in filing its financial statements under Section 137 or Annual return under Section 92)

The **members** of a company may, **by special resolution, specify any lesser number of companies** in which a director of the company may act as directors.

Who can become the Independent Director [Section 149(6)] – Page 1.37 - CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.9 - M

In relation to a company, an **independent director means a director**(other than a managing director or a whole-time director or a nominee director 11), and who **fulfills the following criteria**:

who, **neither himself nor any of his relatives**—

is or has been an **employee or proprietor or a partner**, in **any of the 3 financial years immediately preceding** the financial year in which he is proposed to be appointed, of

(i) a firm of **auditors** or **company secretaries** in practice or **cost auditors** of the **company or its holding, subsidiary or associate company**; or

(ii) any **legal or a consulting firm** that has or had any **transaction with the company, its holding, subsidiary or associate** company amounting to **10% or more of the gross turnover** of such firm;

Remuneration of Independent Directors [Section 149(9)]: - Page 1.40 – PY.J26.Q4.1

Entiled to:	Not Entitled to:
Fee provided under section 197(5)	Any stock option
Reimbursement of expenses for participation in: (i) Board Meetings (ii) Other Meetings	
Profit related commission as may be approved by the members	

Tenure of Independent Director [Section 149(10) & (11)]: Page 1.41 - CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.7 - M

Limit on holding of office: An **independent director** shall **not hold office for more than 2 consecutive terms**.

Cooling period for appointment: However, he shall be **eligible for appointment after the expiration of 3 years** of ceasing to be an independent director.

MCA Clarification

MCA has clarified that an **independent director can be appointed for a term of less than 5 years**. However, **any appointment whether of 5 or less than 5 years will be regarded as 'one term'**.

Section 149 (11) of the Companies Act, 2013 clearly stipulates that no person can hold office as an independent director for more than 'two consecutive terms'. Thus, irrespective of the duration of each of the two terms (whether the same aggregates to 10 years or less) a person holding office for two consecutive terms shall be eligible for re-appointment only after the expiry of three years of ceasing to become an independent director.

Chapter 2 Appointment and Remuneration of Managerial Personnel

Overall Maximum Managerial Remuneration and Managerial remuneration in case of absence or inadequacy of profits [section 197] – Page 2.15 - PY.J26.Q4.1, CSD.S25.Q5.1, CSD.S25.Q5.2

Section 197 of the Act lays down the provisions relating to overall maximum managerial remuneration payable by **every public company** and the managerial remuneration payable by it in case of absence or inadequacy of profits. This section does **not apply to a private** company.

(i) Overall Maximum Managerial Remuneration [Section 197(1)]

A company having profits in a financial year may pay remuneration to a managerial personnel or persons or other director or directors not exceeding the limits specified in this section

Conditions	Maximum remuneration payable	When remuneration can be exceeded
Overall limit applicable to managerial remuneration	11% of the net profits	Company in **GM** may authorize exceeding the overall limit of 11%
If there is 1 MD/ WTD/ manager then Remuneration **payable to 1** MD/ WTD/ Manager	5% of the net profits	This limit of 5% may be exceeded with by passing a **Special Resolution** in GM.
If there is more than 1 MD/ WTD/ manager then Remuneration **payable to all** such MD/ WTD/ Manager	10% of the net profits	This limit of 10% may be exceeded with by passing a **Special Resolution** in GM.
Remuneration payable to **directors who are neither MD nor WTD**	1% of the net profits if there is a MD or WTD 3% of the net profits if there is no MD or WTD	This limit of 1% or 3% may be exceeded with by passing a **Special Resolution** in GM.

Instances to obtain **prior approval in case of default**: It is to be noted that where the company has **defaulted in payment** of dues to any **bank** or **public financial** institution or non-convertible debenture holders or any other **secured creditor, prior approval** of such person (as applicable) shall have to be obtained by the company **before obtaining the approval in the general meeting**.

Remuneration to Director - Page 2.21- CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.8 - M

Under Section 197 of the Companies Act, 2013, a company is **allowed to pay remuneration to its Non-Executive Directors** (NEDs) for services rendered **if:**

a) The services provided are of a **professional nature** and

b) The **Nomination and Remuneration Committee determines** that the **Director possesses the necessary qualifications** to practice the profession

Appointment of Key Managerial Personnel [Section 203] – Page 2.9 - CSD.M25.CS4.Q4.3

Section 203 read with Rule 8 and Rule 8A of Companies (Appointment and Managerial Personnel) Rules 2014, as amended provides that

- Every **listed company** or
- **Public company** having paid up share **capital ₹ 10 crore** or more or
- **Private company** having paid up share **capital of ₹ 10 crore** or more

shall have a **Whole time Company Secretary**.

Bar on multiple appointments [Section 203(3)]

Whole-time key managerial personnel shall not hold office in more than one company at the same time **except in its subsidiary company**.

Secretarial Audit for Bigger Companies [Section 204] – Page 2.34 - CSD.M25.CS5.Q5.3 - M

Section 204(1) requires the following types of companies to get **conducted secretarial audit**:

(a) every **listed** company; and

(b) a company belonging to the other **prescribed class of companies**. In this respect Rule 9(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 prescribes following companies for the purpose of secretarial audit:

1. Every **public company** having a **paid-up share capital of 50 crore** rupees or more; or
2. Every **public company** having a **turnover of 250 crore** rupees or more; or
3. Every **company** having outstanding **loans** or borrowings from banks or public **financial institutions** of **100 crore** rupees or more.

Explanation to Rule 9: For the purposes of this sub-rule, it is hereby clarified that the paid up share capital, turnover, or outstanding loans or borrowings as the case may be, **existing on the last date of latest audited financial statement** shall be taken into account.

Chapter 3 - Meeting Of Board And Its Powers

Section 180: Restrictions on Powers of Board – Page 3.31 - TYK 10, Page 3.76 - CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.12 - D

As per Section 180(1)(c) of the Company's Act, 2013, the **Board of Directors without obtaining the approval of the shareholders** in a general meeting through special resolution, can **borrow funds** including funds already borrowed **upto an amount which does not exceed** the **aggregate of the paid-up share capital, free reserves and securities premium**. Such **borrowing shall not include temporary loans** obtained from the company's bankers in the ordinary course of business. Free reserves do not include reserves set apart for specific purposes.

Particulars	Amount
Paid up Share Capital	A
General Reserve (being free reserve)	B
Debenture Redemption Reserve (This reserve is **not to be considered** since it is kept apart for specific purpose of debenture redemption)	
Securities Premium	C
Aggregate of paid-up share capital, free reserve and securities premium	D = **A+B+C**
Total borrowing power of the Board of Directors of the company, i.e, 100% of the aggregate of paid-up share capital, free reserves and securities premium	D
(Less: Amount already borrowed as Long term loan)	E
Amount upto which the Board of Directors can further borrow without the approval of shareholders in a general meeting.	D-E

Related Party Transactions Approval [section 188] – Page 3.55 - CSD.S25.Q3.5

Where the transaction or transactions to be entered into as **contract** or arrangement **with related party is for appointment** to any **office or place of profit** in the company, its subsidiary company or associate company at a monthly remuneration **exceeding ₹ 2.5 lakh** as mentioned in clause (f) of subsection (1) of Section 188, **approval by an ordinary resolution** is required.
The expression "office or place of profit" means any office or place –

(1) Where such office or place is **held by a director** - if the director holding it **receives** from the company **anything** by way of remuneration **over and above** the remuneration **to which he is entitled as director**, by way of salary, fee, commission, perquisites, any rent-free accommodation, or otherwise;

(2) Where such office or place is held by an individual **other than a director** or by any firm, private company or other body corporate - if the individual, firm, private company or body corporate holding it **receives from the company** anything by way of remuneration, salary, fee, commission, perquisites, any rent-free accommodation, or otherwise.

Transactions between a holding company and its wholly owned subsidiary [Fifth Proviso to Section 188 (1)] – Page 3.62 PY.S25.Q2.1

In case **transactions** are entered into **between a holding company and its wholly owned subsidiary whose accounts are consolidated** with such holding company and **placed before the shareholders** at the general meeting, there is **no need for seeking approval of the company by passing an ordinary resolution** by the members.

Explanation (2) to Rule 15 (3) states that in case of a wholly owned subsidiary, the **resolution passed by the holding company shall be sufficient for** the purpose of **entering into the transactions** between the wholly owned subsidiary and the holding company.

Restriction on non-cash transactions involving directors (Section 192) – Page 3.69 - CSD.M25.Q4.9

According to Section 192(1) of the Companies Act, 2013, **no company shall enter into an arrangement** by which:

(a) A **director** of the company or its holding, subsidiary, or associate company, or a person connected with him, **acquires** or is to **acquire assets for consideration other than cash from the company**; or

(b) The **company acquires** or is to acquire **assets for consideration other than cash from such director** or person so connected.

The above **restriction is relaxed under certain conditions**. A company may enter into an arrangement involving non-cash transactions as stated above if **prior approval for such arrangement is accorded by a resolution of the company in a general meeting**. Furthermore, **if the director or connected person is a director of its holding company, approval must also be obtained by passing a resolution in the general meeting of the holding company**.

The **notice for approval** of the resolution in the general meeting issued by the company or holding company must include:

- The **particulars of the arrangement**.
- The **value of the assets** involved in such arrangement, duly calculated by a registered valuer.

Chapter 5 - Compromises, arrangements and amalgamations

Power to compromise or make arrangements with creditors and members [section 230]

Particulars to be stated in the order [Sub-section (7)] – Page 5.11 - PY.J26.Q1.7

An order made by the Tribunal, shall provide for all or any of the following matters, namely:—

(a) where the compromise or **arrangement provides for conversion of preference shares into equity** shares, such **preference shareholders shall be given an option to either obtain arrears of dividend in cash or accept equity shares** equal to the value of the dividend payable;

(b) the **protection of any class of creditors**;

(c) if the compromise or arrangement results in the **variation of the shareholders' rights**, it shall be **given effect to under the provisions of section 48**;

(d) if the compromise or **arrangement is agreed to by the creditors** under sub-section (6), **any proceedings pending before the Board for Industrial and Financial Reconstruction (BIFR)** established under section 4 of the Sick Industrial Companies (Special Provisions) Act, 1985 **shall abate**;

(e) such **other matters including exit offer to dissenting shareholders**, if any, as are in the opinion of the Tribunal necessary to effectively implement the terms of the compromise or arrangement:

Provided that no compromise or arrangement shall be sanctioned by the Tribunal unless a **certificate by the company's auditor** has been **filed with the Tribunal** to the effect **that the accounting treatment**, if any, proposed in the scheme of compromise or arrangement **is in conformity with the accounting standards** prescribed under section 133.

Fast track mode of merger or amalgamation of certain companies [Section 233] - CSD.S25.Q7.4

A scheme of merger or amalgamation may be entered into

- between **two or more small companies** or
- between a **holding company** and its **wholly-owned subsidiary company** or
- between **two or more start-up companies** or one or more **startup company with one or more small company** [given in Rule 25 of the Companies Rules, 2016].

It involves giving **notice of proposed scheme to Registrar and Official Liquidators** and approval of scheme by both the companies. After **approval of scheme by creditors**, the **scheme is filed with Regional Director**, Registrar and Official Liquidators. The scheme is finally registered by Reg. Director.

Chapter 7 – Winding Up

Filing of Declaration by Liquidator on Appointment – Page 7.8 - PY.M24.CS3.Q3.5 - M

On appointment as provisional liquidator or Company Liquidator, as the case may be, such liquidator shall **file a declaration within 7 days** from the date of appointment in the prescribed form **disclosing conflict of interest or lack of independence** in respect of his appointment, if any, **with the Tribunal** and such obligation shall continue throughout the term of his appointment.

Any **shareholder can be appointed as liquidator by disclosing his shareholding** by filing of declaration within 7 days from the date of his appointment by the Tribunal.

Penalty for insider trading [Section 15G] – Page 1.25 - CSD.S25.CS1 & Journal Feb 2025. CS1. Q1.6 - M

If any insider who-

1. either **on his own** behalf **or on behalf of any other** person, **deals in securities of a body corporate listed** on any stock exchange **on the basis of any unpublished price sensitive information**; or
2. **communicates any unpublished price sensitive** information to any person, with or without his request for such information **except as required** in the ordinary course of **business** or **under any law**; or
3. **counsels, or procures for any other person** to **deal in any securities** of any body corporate on the basis of unpublished price sensitive information,

shall be liable to a penalty which shall not be less than **10 lakh rupees** but which may extend to **25 crore rupees** or **3 times the amount of profits** made out of insider trading, whichever is **higher**.

Maximum Number of Directorship [Regulation 17A] - Page 1.53 PY.J26.Q2.4

The directors of **listed entities** shall comply with the following conditions with respect to the maximum number of directorships, including any alternate directorships that can be held by them at any point of time -

(1) A person shall **not be a director in more than seven listed entities** w.e.f. April 1, 2020. Provided that a person shall **not serve as an independent director in more than seven listed entities**.
(2) Notwithstanding the above, any **person who is serving as a whole-time director / managing director in any listed entity** shall serve as an **independent director in not more than three listed entities**.

Corporate Governance Requirement with respect to Subsidiary Companies of Listed Company [Regulation 24] Page 1.54 PT.J26.Q5.2

(1) **At least one independent director** on the board of directors of the **listed entity shall be a director** on the board of directors **of an unlisted material subsidiary**, whether incorporated in India or not.

The term "**material subsidiary**" shall mean a subsidiary, whose **turnover or net worth exceeds twenty percent of the consolidated turnover or net worth** respectively, of the listed entity and its subsidiaries in the immediately preceding accounting year.

(2) The **Audit Committee of the listed company** shall also **review the financial statements**, in particular the investments made by the subsidiary company.

(3) The **minutes of the Board meetings of the unlisted subsidiary** shall be **placed at the meeting of the BOD of the listed** entity.

(4) The **Management of the unlisted subsidiary should bring to notice of Board of listed entity**, a statement of all **significant transactions and arrangements** entered into by unlisted subsidiary.

Explanation.- For the purpose of this regulation, the term "significant transaction or arrangement" shall mean any **individual transaction or arrangement** that **exceeds or is likely to exceed 10% of the total revenues or total expenses or total assets or total liabilities**, as the case may be, of the unlisted subsidiary for the immediately preceding accounting year

Related Party Transaction requires Approval of Audit Committee - Page 1.64
CSD.S25.CS1 & Journal Feb 2025.Q1.8

All Related Party Transactions (RPTs) and any material modifications **require prior approval of the Audit Committee** of the listed entity, as specified under Regulation 23(2) of the SEBI (LODR) Regulations, 2015.

Only those members of the Audit Committee who are independent directors are permitted to approve such transactions.

Audit Committee [Regulation 18]: - Page 1.65 - CSD.M25.CS5.Q5.3 - M

Every listed entity shall **constitute** a qualified and independent **audit committee** in accordance with the term of reference which shall have:

1. The audit committee shall have **minimum three directors** as members.
2. Atleast **Two-thirds of the members** of audit committee shall be **independent directors**.
3. **All members** of audit committee shall be **financially literate** and **at least one member** shall have accounting or related **financial management expertise**.
4. The **chairperson of the audit committee shall be an Independent Director** and he/she shall be **present at Annual general meeting to answer shareholder** queries.
5. The **Company Secretary shall act as the secretary** to the audit committee.
6. The **audit committee at its discretion shall invite** the **finance director** or **head of the finance** function, **head of internal audit** and a **representative of the statutory auditor** and any other such executives to be present at the meetings of the committee.

Eligibility requirements for an initial public offer (Regulation 6)- Page 1.74 - PY.S25.Q5.5

(1) An issuer shall be **eligible to make an initial public offer** only if:

(a) it has **net tangible assets** of at **least 3 crore rupees**, calculated on a restated and consolidated basis, in each of the **preceding 3 full years** (of twelve months each), of which **not more than 50% are held in monetary assets**:

Provided that **if more than 50%** of the net tangible assets are **held in monetary assets**, the **issuer has utilised or made firm commitments to utilise such excess** monetary assets **in its business or project**:

Provided further that the **limit of 50% on monetary assets shall not be applicable** in case the **initial public offer is** made **entirely through an offer for sale**;

(b) it has an **average operating profit of at least 15 crore rupees** , calculated on a restated and consolidated basis, **during the preceding 3 years** (of twelve months each), **with operating profit in each of these preceding three years**;

(c) it has a **net worth of at least 1 crore rupees** in each of the **preceding three full years** (of twelve months each), calculated on a restated and consolidated basis

(d) if it has **changed its name within the last 1 year**, **at least 50% of the revenue**, calculated on a restated and consolidated basis, for the preceding one full year has been **earned by it from the activity indicated by its new name**.

Current account transactions [Section 5] – Page 1.14

PY.S25.Q3.4

The term 'Current Account Transaction' is defined negatively by Section 2(j) of the Act. It means a **transaction other than a capital account transaction** and **includes** the following types of transactions:

(i) Payments in the course of **ordinary course of foreign trade**, other services such as **short-term banking and credit facilities** in the ordinary course of business etc.

(ii) Payments in the form of **interest on loans or income from investments**.

(iii) **Remittances for living expenses** of parents, spouse, or children living abroad

(iv) Expenses in connection with **foreign travel, education** etc.

The general rule to be understood is that **Current Account transactions are freely permitted unless specifically prohibited** and Capital Account transactions are prohibited unless specifically or generally permitted.

The Central Government has in exercise of this power issued the Foreign Exchange Management (Current Account Transactions) Rules, 2000 and provided following **restriction on current account**

SCHEDULE I

Transactions for which **drawal of foreign exchange is prohibited**:

(i) Remittance out of **lottery winnings**.

(ii) Remittance of **income from racing/riding**, etc., or any other hobby.

(iii) Remittance **for purchase of lottery tickets**, banned/prescribed magazines, football pools, **sweepstakes** etc.

(iv) Payment of **commission on exports made towards equity investment in Joint Ventures/Wholly Owned Subsidiaries abroad of Indian companies**.

(v) Remittance of **dividend by any company** to which the **requirement of dividend balancing is applicable**.

(vi) Payment of **commission on exports under Rupee State Credit Route**, **except commission up to 10% of invoice value of exports of tea and tobacco**.

(vii) Payment related to "**Call Back Services**" of telephones.

(viii) Remittance of **interest income on funds held in Non-resident Special Rupee Scheme a/c**.

SCHEDULE III – Page 1.17

PY.S25.Q3.4, CSD.S25.CS4.Q4.5

Facilities for **persons other than individual**—The following remittances by persons other than individuals shall require **prior approval of the Reserve Bank of India**:

(i) **Donations exceeding 1 %** of their **foreign exchange earnings** during the **previous three financial years or USD 5,000,000, whichever is less**, for

A. **creation of chairs** in reputed **educational institutes**,
B. **contribution to funds** (not being an investment fund) promoted by educational institutes; and
C. contribution to a **technical institution** or body or association in the field of activity of the donor Company.

(ii) **Commission, per transaction**, to agents abroad **for sale of residential flats or commercial plots in India exceeding USD 25,000 or 5%** of the inward remittance whichever is **more**.

(iii) **Remittances exceeding USD 10,000,000 per project for any consultancy services in infra. projects** and **USD 1,000,000 per project, for other consultancy services procured from outside India**.

ECB by entities under restructuring/ ECB facility for refinancing stressed assets – Page 1.45 PY.S25.Q1.7

1. An **entity** which is **under a restructuring** scheme/ corporate insolvency resolution process can **raise ECB only if specifically permitted under the resolution plan**.

2. **Eligible corporate borrowers who have availed Rupee loans domestically for capital expenditure** in manufacturing and infrastructure sector and which have been **classified as SMA-2 or NPA** can **avail ECB for repayment of these loans** under any **one-time settlement with lenders**.

Lender banks are also permitted to sell, through assignment, such loans **to eligible ECB lenders**, provided, the resultant external commercial borrowing complies with all-in-cost, minimum average maturity period and other relevant norms of the ECB framework. **Foreign branches/ overseas subsidiaries of Indian banks are not eligible to lend** for the above purposes. The applicable MAMP will have to be strictly complied with under all circumstances.

3. **Eligible borrowers** under the ECB framework, who are **participating in the Corporate Insolvency** Resolution Process under Insolvency and Bankruptcy Code, 2016 **as resolution applicants, can raise ECB from all recognised lenders, except foreign branches/subsidiaries of Indian banks, for repayment of Rupee term loans of the target company**. Such ECB will be considered under the approval route

Manner of making Overseas Direct Investment by Indian entity – Page 1.56 PY.M25.Q5.6

As per the Overseas Investment Rules, 2022 read with the Schedule I which outlines the manner of making Overseas Direct Investment by Indian entity.

Manner of making ODI

1. The ODI may be made or held by way of–

(i) **subscription** as part of **memorandum of association** or **purchase of equity capital**, listed or unlisted;

(ii) acquisition through **bidding or tender** procedure;

(iii) acquisition of **equity capital by way of rights issue or allotment of bonus shares**;

ODI in financial services activity

2. An **Indian entity not engaged in financial services** activity in India may **make ODI in a foreign entity**, which is directly or indirectly **engaged in financial services** activity [except banking or insurance] subject to the **condition that** such **Indian entity has posted net profits during the preceding 3 financial years**:

Provided that an **Indian entity not engaged in the insurance sector** may **make ODI in general and health insurance** where such **insurance business is supporting the core activity undertaken overseas by such an Indian entity**.

Limit for financial commitment

(1) The **total financial commitment made by an Indian entity** in all the foreign entities taken together at the time of undertaking such commitment **shall not exceed 400 percent of its net worth** as on the date of the last audited balance sheet or as directed by the Reserve Bank, in consultation with Central Government from time to time

Overseas Direct Investment (ODI) by Registered Trust or Society – Page 1.60 PY.J26.Q3.3

Any person being a **registered Trust** or a registered Society **engaged in the educational sector** or which has set up **hospitals in India** may **make ODI in a foreign entity** with the **prior approval of the Reserve Bank**, subject to the following conditions, namely:–

(i) the foreign entity is **engaged in the same sector** that the Indian Trust or Society is engaged in;

(ii) the **Trust** or the Society, as the case may be, should have been in **existence for at least three financial years** before the year in which such investment is being made;

(iii) the **trust deed** in case of a Trust, and the memorandum of association or rules or bye-laws in case of a Society shall **permit the proposed ODI**;

(iv) such investment have the **approval of the trustees** in case of a Trust and the governing body or council or managing or executive committee in case of a Society;

(v) in case the Trust or the Society **require special licence** or permission either from the Ministry of Home Affairs, Central Government or from the relevant local authority, as the case may be, the **special licence or permission has been obtained** and submitted to the designated AD bank.

Power to recover arrears of penalty [Section 14A] – Page 1.83 - CSD.S25. Q1.5

An officer of Enforcement to recover any arrears of penalty: The **Adjudicating Authority** may, by order in writing, **authorise an officer of Enforcement** (not below the rank of Assistant Director) to **recover any arrears of penalty** from any person who fails to make full payment of penalty imposed on him under section 13 **within the period of 90 days from the date on which the notice for payment of such penalty is served** on him.
Powers: The officer of Enforcement, shall **exercise all the like powers** which are conferred on the **income-tax authority in relation to recovery of tax** under the Income-tax Act, 1961 and the procedure laid down under the Second Schedule to the said Act shall mutatis mutandis apply in relation to recovery of arrears of penalty under this Act.

Chapter 2 - The Foreign Contribution (Regulation) Act, 2010

Foreign Contribution [Section 2(1)(h)] – Page 2.6 - PY.M24.Q2.1

Foreign Contribution means the **donation, delivery or transfer** made **by any foreign source**,—

(i) of any **article**,

Exception: **An article given to a person as a gift** for his personal use, **if the market value**, in India, of such article, on the date of such gift, is **not more than Rs. 1,00,000/-** as per Rule 6A of the Foreign Contribution (Regulation) Rules, 2011 as amended by Foreign Contribution (Regulation) (Second Amendment) Rules, 2019 notified vide G.S.R. 659 (E) dated 16th September, 2019.

(ii) **any currency**, whether Indian or foreign;

(iii) of **any security** as defined in the Securities Contracts (Regulation) Act, 1956 and includes any foreign security as defined in the Foreign Exchange Management Act, 1999;

Foreign contribution through scheduled bank (Section 17) – Page 2.28 PY.J26.Q3.1

Every person who has been granted certificate or prior permission under section 12 shall **receive foreign contribution only in an account designated as "FCRA Account"** by the bank,

Such **"FCRA Account" shall be opened** by him for the purpose of remittances of foreign contribution in such **branch of the State Bank of India at New Delhi**, as the Central Government may, by notification, specify in this behalf.

Provided that such person **may also open another "FCRA Account" in a scheduled bank** of his choice for the **purpose of keeping or utilising the foreign contribution** which has been received from his "FCRA Account" in the specified branch of State Bank of India at New Delhi:

Provided further that such person may also **open one or more accounts in** one or more **scheduled banks** of his choice to which he may transfer **for utilising any foreign contribution** received by him in his "FCRA Account" in the specified branch of the State Bank of India at New Delhi or kept by him in another "FCRA Account" in a scheduled bank of his choice:

No funds other than foreign contribution shall be received or deposited **in any such account**.

Intimation (Section 18) – Page 2.29 - PY.J26.Q3.1

(1) Every person who **receives foreign contribution** under the Act, shall **submit a signed** or digitally signed report in electronic form in **Form FC-4** with scanned copies of income and expenditure statement, receipt and payment account and balance sheet for every financial year beginning on the 1st day of April **within nine months of the closure of the financial year**.

(2) The annual return in **Form FC-4 shall reflect the foreign contribution received** in the exclusive bank account and **include the details in respect of the funds transferred** to other bank accounts for utilisation.

(3) If the foreign contribution **relates only to articles**, the intimation shall be submitted in **FC-1**.

(4) If the foreign contribution **relates to foreign securities**, the intimation shall be submitted in **FC-1**.

(5) Every report submitted under sub-rules (2) to (4) shall be duly **certified by a chartered accountant**.

(6) Every such return in **Form FC-4 shall also be accompanied by a copy of a statement** of account from the **bank** where the exclusive foreign contribution account is maintained by the person, duly **certified by an officer of such bank**.

(7) The accounting statements referred to above in the preceding sub-rule shall be **preserved by the person for a period of six years**.

(8) **A 'NIL' report** shall be furnished even **if no foreign contribution** is received during a financial year:

Provided that where **foreign contribution has not been received or utilised** during a financial year, it shall **not be required to enclose certificate from Chartered Accountant** or income and expenditure statement or receipt and payment account or balance sheet with Form **FC-4**.

Chapter 1 - An Introduction To Strategic Cost Management

Value Chain Analysis – Page 1.6 - PY.J26.Q4.6

The Value Chain is the **sequential chain of activities** that **leads to the delivery of the final product to the customer.**

The Value chain comprises the **activities in two sets**, the first being **primary activities (vertical)**, which are **directly involved in the transformation of a product** or provisioning of a service, whereas the second set is **support activities (horizontal),** which ensure **support to perform primary activities**.

Primary Activities comprising of:

1. **Inbound logistics** cover receiving, storing, and **handling raw material** inputs
2. **Operations** include the **transformation** of raw materials into finished goods and services
3. **Outbound logistics** covers **storing, distributing, and delivering** finished goods to customers.
4. **Marketing and sales** activities comprise conducting market research to determine the **marketing mix** that comprises product, price, place, and promotion.
5. **After sales service** includes all those activities that occur **after the point of sale**, such as installation, training, and repair

Support activities also referred as to secondary activities; it comprises of:

1. **Firm infrastructure** deals with how the firm is organised. It basically describes the activities pertaining to **legal, general management, administrative, accounting, finance, public relations**, and quality assurance in the organisation apart from who will perform these and how.
2. **Technology** development describes how the firm uses technology.
3. **Human resource management** such as **hiring, training, building** and maintaining an organizational culture, and maintaining positive **employee relationships**.
4. **Procurement** signifies purchasing, but not just limited to materials. Finding new external vendors, maintaining vendor relationships, negotiating prices, and other activities related to bringing in the necessary materials and resources used to build a product or service.

Mendelow's Matrix – Page 1.14 - CSD.S25.CS2 & Journal Feb 2025.Q2.8

Mendelow's Matrix helps in **considering the attitude of stakeholders while setting out strategic objectives**. Mendelow's Matrix consists of four boxes representing stakeholders with:

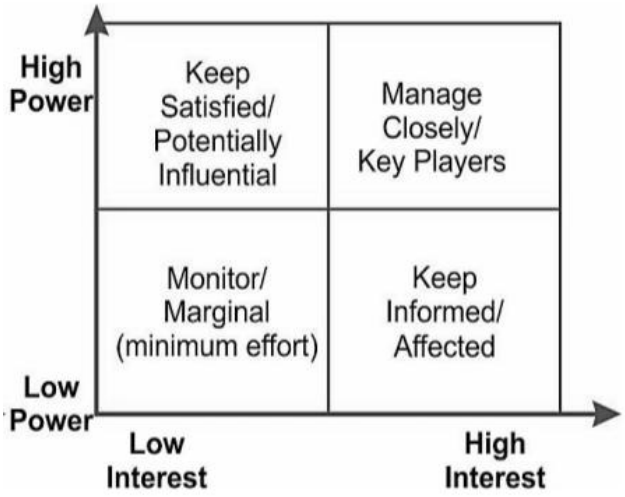
High Interest and High Power – These will be considered **key stakeholders**, and a business will need to **actively engage this group**. This group is likely to have a significant influence; they may be the driver behind the change or strategy. They will likely have the **power to stop the change or strategy from going ahead if they are unhappy**.

This is the group that requires most focus. **Keep them both updated** on any strategic changes **and empowered** to steer the direction of change (or at least feel that they have the opportunity to input into the direction of the project).

High Interest and Low Power – This group has an interest in what is happening; however, they are unlikely to have the power to influence change. **This group should be kept informed**. While, they have little power themselves, they could attempt to join forces with a group with power.

Low Interest and High Power – This group of stakeholders has the potential to move into the 'High Interest and High Power' group, so it is essential that they are **kept satisfied**. By keeping them satisfied, they are less likely to gain interest and exercise their power of influence.

Low Interest and Low Power – This group is **unlikely to have an interest** in the organization and its strategic direction. This is often **due to their lack of power** to influence a situation. They are likely to **accept the position** and show little, if any, resistance.



Business Model – Page 1.24 PY.M25.Q5.7

A business model explains **how a business works** and the economic logic behind it. It is a way of representing and communicating **how an organisation creates values** for itself while delivering products or services to customers.

Margretta proposed that a **business model should include all the activities associated with two key components** –

a. **Producing** or making something.

b. **Selling** something.

But in 2008, **Johnson along with Christensen & Kaggerman extended the scope** and proposed that a business model also needs a value proposition; **a business model should contain three components** –

a. **Customer value processes** proposition.

b. **Profit formula**.

c. **Key resources** and processes.

Osterwalder's Business Model Canvas – Page 1.25 - CSD.S25.CS6.Q6.7

Alexander Osterwalder proposed a **nine-element business model canvas** wherein **four elements pertaining to cost** (key partners, key activities, key resources, and cost structure; on the left side of the canvas) are connected to another **four elements pertaining to revenue** (customer relationships, channels, customer segments, and revenue streams; on the right side of the canvas) through the **ninth element, which is value proposition.**

<table>
<tr>
<td rowspan="2">8. Key Partners
Who are our partners and key suppliers? Which key resources are we acquiring from our partners? Which key activities do partners perform?</td>
<td>6. Key activities
What uniquely strategic things does the business do to deliver its proposition?</td>
<td rowspan="2">2. Value Proposition
What's compelling about the proposition? Why do customers buy, use?</td>
<td>4. Customer Relationship
How do you interact with the customer throughout them journey?</td>
<td rowspan="2">1. Customer Segments
Who are the customers? What do they think? See? Feel? Do?</td>
</tr>
<tr>
<td>7. Key Resources
What unique strategic assets</td>
<td>3. Channels
How are these</td>
</tr>
</table>

	must the business have to compete?		Propositions promoted, sold, and delivered? Why? Is it work?	
9. Cost Structure What are the business's major cost drivers? How are they linked to revenue?			5. Revenue Streams How does the business earn revenue from the value propositions?	

Porter's Five Forces factors – Page 1.72 – PY.S25.Q4.8, CSD.S25.CS5.Q5.6, CSD. S25. CS30.Q30.6

Model to Assess Competitive environment & attractiveness of entering in a market – Porter's 5 Forces

One of the most often used business strategy tools for organisations to have a better understanding of the primary competitive forces operating in their market is Porter's Five Forces model.

1. **Threat of new entrants**

- Economies of scale
- Product differentiation
- Brand identity/loyalty
- Access to distribution channels
- Capital requirements
- Access to latest technology
- Access to necessary inputs

2. **Bargaining power of suppliers**

- Number of suppliers
- Size of suppliers
- Supplier concentration
- Availability of substitutes for the supplier's products
- Uniqueness of supplier's products or services (differentiation)

3. **Bargaining power of buyers**

- Buyer volume (number of customers)
- Size of each buyer's order
- Buyer concentration
- Buyer's ability to substitute

4. **Threat of substitute products or services**

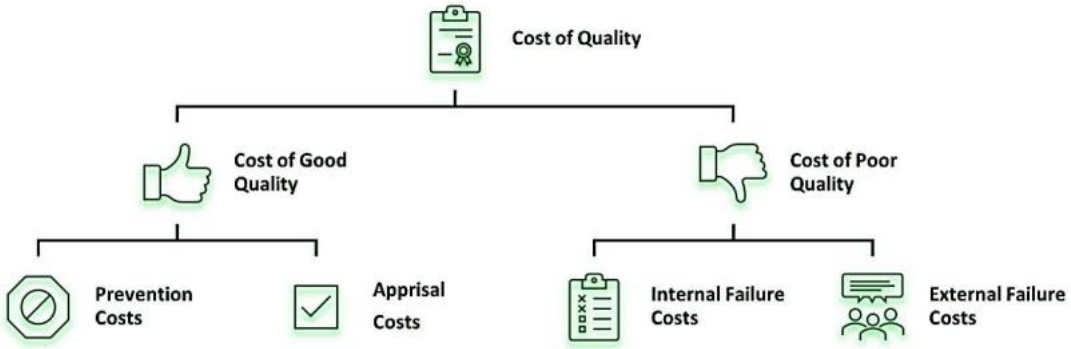
- Number of substitute products available
- Buyer's propensity to substitute
- Relative price performance of substitutes
- Perceived level of product differentiation

5. **Rivalry among existing competitors**

- Number of competitors
- Diversity of competitors
- Industry concentration and balance
- Industry growth

Chapter 2 - Modern Business Environment

Cost of Quality – Page 2.3 - PY.J26.Q2.6



1. Prevention Costs

The costs incurred for **preventing the poor quality of products** and services may be termed as Prevention Costs. They are planned and **incurred before actual operation** and are associated with the design, implementation, and maintenance of the quality management system. Prevention Costs try to **keep failure and appraisal costs to a minimum**.

Examples include the costs for: Quality engineering, **Quality training programs**, Process engineering, **Supplier evaluation** and selection, **Preventive equipment maintenance etc**.

2. Appraisal Costs

The need for **control in products and services to ensure high quality** levels at all stages and **conformance to quality standards** and performance requirements is Appraisal Costs. Appraisal Cost **incurred to determine the degree of conformance to quality requirements** (measuring, evaluating, or auditing).

Examples include the costs for: Field testing, Inspecting and testing materials. Measurement (inspection and **testing) equipment**, Outside Certification

3. Internal Failure Costs

Internal Failure Cost associated with **defects found before the customer receives the product** or service. Internal failure costs are **incurred to remedy defects** discovered before the product or service is delivered to the customer.

Examples include the costs for: Scrap, Rework, Re-designing, Re-testing, Downtime

4. External Failure Costs

External failure costs are incurred to **remediate defects discovered by customers**.

Examples include the costs for: Costs of recalls, Lost sales due to poor product performance, Returns and allowances, Warranties, Customer support

Recommendation

Following two measures can be used to reduce non- conformance cost:

Total Productive Maintenance (TPM) is a system of **maintaining and improving the integrity of production and quality system** through **keeping all equipment in top working condition** so as to avoid breakdowns and delays in manufacturing processes.

Total Quality Management (TQM) aims at **improving the quality of organisational output**, including goods and services, **through continual improvement of internal practices**. Its objective is to eradicate waste and increase efficiency without compromising with the quality.

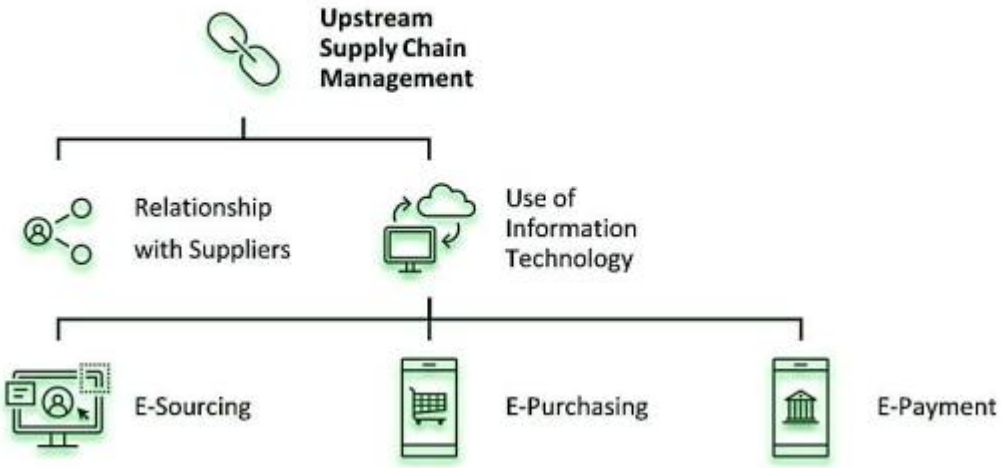
Supply Chain Management – Page 2.16 - PY.M25.Q2.6

A complete **chain of serving customers or consumers**, whether linked or interdependent, is the composition of the supply chain. It **comprises vendors** that supply raw materials, **producers** who convert the material into products, **warehouses** that store them, **distribution centres** that deliver to retailers and **retailers** who sell the **product to the ultimate user**.

A supply chain **begins right from the supplier and finally ends with the end customer** or consumer. In the total chain, there are flows of material, information, and capital or finance. When the **flow relates to the supplier** it is termed as **upstream flow**. If the **flow is with consumers** or customers, it is called **downstream flow**.

2.1 Management of Upstream Supplier Chain

Management of transactions with suppliers is termed as upstream supply chain management.



2.2 Downstream Supply Chain Management

Management of transactions with consumers or customers is termed as downstream supply chain management.



[Chapter 3 - lean system and innovation]

Overall Equipment Effectiveness (OEE) – Page 4.40 - PY.N24.Q3.7, CSD.S25.CS3.Q3.3

Overall Equipment Effectiveness (OEE) is a approach to the **measurement of Total Productive Maintenance (TPM) performance**.

OEE % = Performance × Availability × Quality

OEE is based on three OEE factors: Availability, Performance and Quality. The calculations are as follows for each of the three main factors:

$$\textbf{Availability Ratio} = \frac{\textbf{Operating Time}}{\textbf{Planned Production Time}}$$

Planned Production Time = Total Time – Planned Downtime

Planned Downtime = Lunch Break + Miscellaneous Breaks + Preventive Maintenance

Operating Time = Total Time – Planned Downtime – Unplanned Downtime

Unplanned Downtime = Breakdown Maintenance + Set up Changes + Power Failure

$$\textbf{Performance Ratio} = \frac{\textbf{Ideal Cycle Time} \times \textbf{Total Count}}{\textbf{Operating Time}}$$

Ideal Cycle Time' is the theoretical fastest possible time to manufacture one piece.

$$\textbf{Quality Ratio} = \frac{\textbf{Good Count}}{\textbf{Total Count}}$$

$$\text{OEE} = \frac{\text{Operating Time}}{\text{Planned Production Time}} \times \frac{\text{Ideal Time} \times \text{Total Count}}{\text{Operating Time}} \times \frac{\text{Good Count}}{\text{Total Count}} = \frac{\text{Ideal Time} \times \text{Good Count}}{\text{Planned Production Time}}$$

Ideal values for the OEE component measures are

Availability > 90%

Performance > 95%

Quality > 99%

Chapter-4 Specialist Cost Management Techniques

Throughput Accounting – Page 4.34 (Ill.5 Page 4.35) - PY.M24.CS1.Q1.8 - D

Accounting should monitor the **rate at which businesses make money**. With this important goal in mind, they focused on the **return per product per bottleneck hour.**

Throughput Contribution = Sale – Variable Cost

$$\text{Throughput Accounting Ratio} = \frac{\text{Throughput per Bottleneck Minute}}{\text{Factory Cost per Bottleneck Minute}}$$

If the TA ratio is greater than 1 the product in question is "profitable" because, if all capacity were devoted to that product, the throughput generated would exceed the total factory cost

Activity Based Costing (ABC) – Page 4.40 - TYK 8, Page 4.63 - CSD.S25.CS1 & Journal Feb 2025.Q1.11

Activity Based Costing is technique, which basically deals with the **allocation of cost pool to the cost centers using cost drivers on the basis of consumption or benefit** received.

As per UNDSD, Activity-based costing represents a method of managerial cost accounting that allocates all internal costs to the cost centers and cost drivers on the basis of the activities that caused the costs.

Method of solving practical question

1. Allocate direct material and labor to the cost center.
2. Calculate total cost of cost center and allocate it to the product based on activity drivers.

Benefit of Activity Based Costing

The benefits of using activity-based costing methodology over the traditional cost allocation method is

1. The company was able to conclude **which product generated more waste resulting in more accurate product costing**.
2. Based on the activity cost allocation methodology, subject to prevailing market conditions, **company can increase the market price of product, to recoup the extra overhead cost** allocation. If found unviable the company can even, consider phasing out production of product.
3. The company can **explore the possibility of adopting more sustainable manufacturing** processes that reduces waste generated, this would increase its overall profitability.
4. In addition to the above benefits, adopting activity-based costing methodology **makes the company environmentally friendly** by highlighting the need to reduce its carbon footprint.

Chapter 5 -Management of cost strategically for emerging business models

Automation – Page 5.6 PY.S25.Q2.3

Automation is a term for **technology applications where human input is minimized**.

AI Powered Robotic Arms is categorized as **automation** from customer POV.

Disruptive innovation – Page 5.13 - CSD.S25.CS6.Q6.1 - M

Low-end disruption is when a company uses a **low-cost business model** to enter at the bottom of an **existing market** and claim a segment.

New-market disruption is when a company creates **a new segment** in an existing market with a **low-cost version** of a product.

Stages a start-up goes through while transforming into Unicorn (and then into Incumbent)– Page 5.22

CSD.S25.CS6.Q6.2 – M

Pre-start-up stage- This is the **problem-solution FIT** stage. Vision and idea are conceptualized, while considering–

- Who will be the customers?
- Which of their problems to be solved and
- How these will be solved?

Start-up stage- This is the **product-market FIT** stage. It starts showing commitment. It is intended to have **customer validation** that the product offered is a market valuable product. Testing is also performed to get feedback from clients and iterate the process accordingly.

Scale-up- This is the **scale-FIT stage**. It starts **establishing growth**, trying to get to profitable cash flow. They are creating bigger customer bases and aim to come close to unicorns.

Emerging Business Model – Page 5.29 - CSD.S25.CS4.Q4.4 - M

1. Hyper Disruptive Business Models

1.1 The Free Model **(Google)**

This is a business model in which the **core product is distributed for free** to a large number of users. The **premium products are then sold to a smaller subset of users** who desire premium features.

1.2 The Subscription Model **(Netflix)**

In this business model, a company takes a service or product that consumers could have easily accessed in the past and locks it in. As a result, the only way for the consumer to **gain access to the service is to pay a subscription fee**.

1.3 Freemium Model (Spotify) PY.M25.Q1.1

By offering digital sampling, this business model will disrupt. **Users will pay for the basic services with their data** (basis information or customer profile) **rather than money**. The **company will then charge them a fee to upgrade** to a more comprehensive offer.

1.4 The Digital Platform Model (E-Commerce Model: Flipkart)

A company that follows this model will provide a **digital marketplace where both buyers and sellers of a given item can transact**. This has provided both flexibility and convenience. In exchange for any transaction, the buyer and seller in the business receive a fee or commission

1.5 The Hypermarket Model (DMart)

There is no better way to disrupt than to provide a **product or service at a lower cost price**. Larger companies with a large market share will use economies of scale to crush all of their competitors.

1.6 The Access-Over-Ownership Model (ZoomCar)

The access-over-ownership model provides **temporary access to goods and services traditionally** only available through purchase.

1.7 The Service Ecosystem Model (Paytm)

By implementing this model, the company will **offer different products**, but they will be integrated, and **customers will become accustomed to using one facet**.

1.8 The Experience Model (Apple)

This is a business model in which a **company offers unique, stylish, new, and innovative products** to those who can afford to pay for them.

1.9 On Demand Model (Zomato)

By monetizing time, this model will disrupt. They will charge a premium for instant access to the company's products or services.

Outsourcing Decision – Page 6.19 PY.M25.Q3.6

An outsourcing decision is often called a **'make or buy' decision**. It involves a decision about whether to **continue 'making' a product versus 'buying' it from an external** firm.

Outsourcing decision requires incremental analysis. The incremental amounts are based on the difference in the cost of buying a product or service compared to the cost of producing the item or providing the service in house

Sensitivity Analysis

At **what purchase price where "make" and "buy" options are equally beneficial**. To determine the break-even external purchase price at which benefit of in-house production becomes equal to benefit under purchase option.

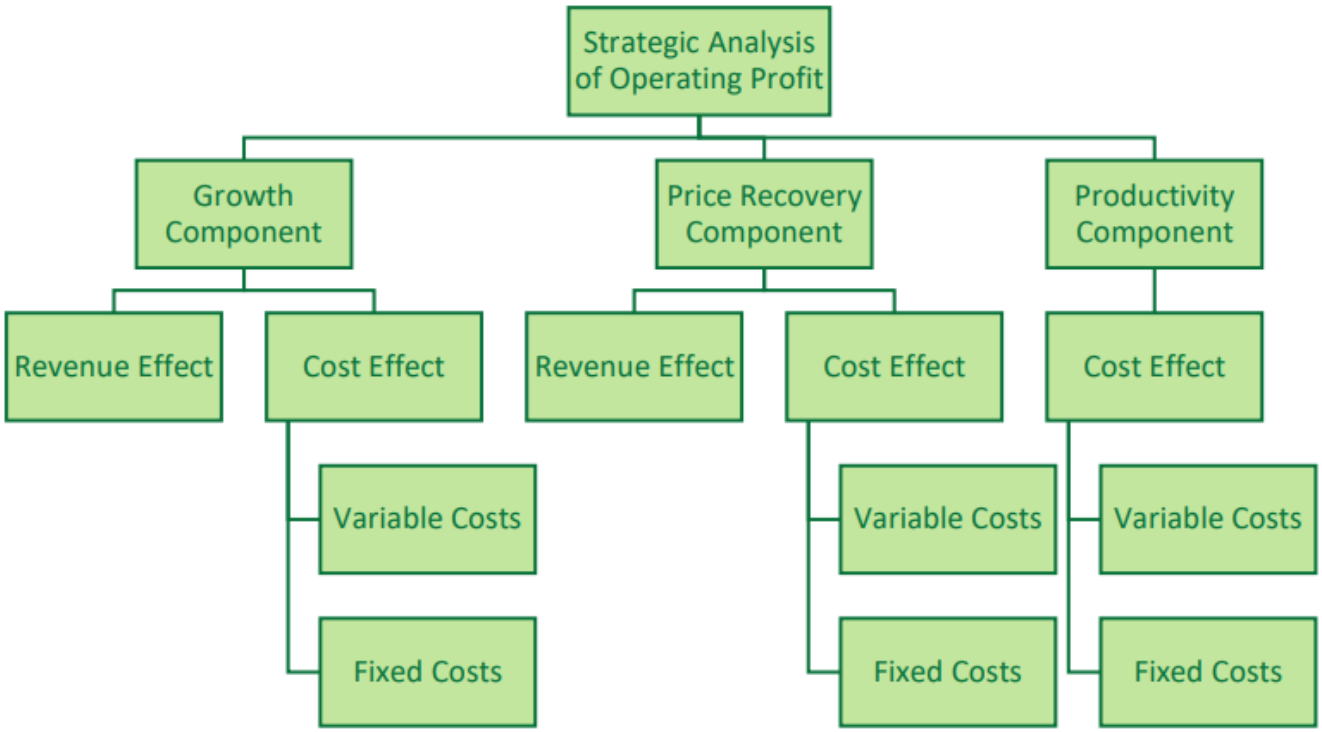
Pricing – Page 6.43 PY.S25.Q4.3

Product	Pricing
Me-too Product	**Market Price** that is determined by **competitive forces** for a successful product.
Revolutionary Product	**Premium Pricing**, it can expect to make a tidy profit as a **reward for innovation** and taking its first initiative.
Evolutionary Product	**Demand Based Pricing**, Price higher than the earlier version to **justify its Costs and Benefits**, subject to what amount can be stepped up in the market.

Strategic profitability analysis – Page 7.3 - PY.S25.Q3.1

Particulars	Costs	Revenue
Operating Profit in Last Year	xxx	
Add/(Less): Revenue and Cost Effect of Growth Component	(+) F (-) A	(+) F (-) A
Add/(Less): Revenue and Cost Effect of Price Recovery Component	(+) F (-) A	(+) F (-) A
Add/ (Less): Cost Effect of Productivity Component	(+) F (-) A	-
Total	xxx	xxx
Operating Profit in Current Year (Revenue – Costs)	xxx	

F= Favorable, A= Adverse



1. Growth Component

Growth Component measures the change in the quantity of output sold. The growth component of the change in the operating income measures the increase/ decrease in revenue and in costs due to selling more/ less quantity units from the previous period.

1.1 Revenue Effect

Revenue effect of growth can be measured with the help of the following formula:

Revenue Effect of Growth

$$= \left[\begin{pmatrix}\text{Actual units of output}\\ \text{sold in current year}\end{pmatrix} - \begin{pmatrix}\text{Actual units of output}\\ \text{sold in last year}\end{pmatrix}\right] \times \text{Selling price in last year}$$

The revenue effect of growth measures the increase/ decrease in revenue solely due to change in number of units sold.

1. 2 Cost Effect

Cost effect of growth measures the effect of variable cost and fixed cost separately.

Cost Effect of Growth for *Variable Costs*

$$= \left[\begin{pmatrix}\text{Unit of input required to}\\ \text{produce current year output}\\ \text{in last year}\end{pmatrix} - \begin{pmatrix}\text{Actual units of input}\\ \text{used to produce last year's}\\ \text{output}\end{pmatrix}\right] \times \text{Input price in last year}$$

Cost Effect of Growth for *Fixed Costs*

$$= \left[\begin{pmatrix}\text{Actual units of capacity in}\\ \text{last year if adequate to}\\ \text{produce current year's}\\ \text{production in last year}\end{pmatrix} - \begin{pmatrix}\text{Actual units of capacity}\\ \text{in last year}\end{pmatrix}\right] \times \text{Price per unit of capacity in last year}$$

2. Price Recovery Component

Price Recovery Component of change in operating income measures the changes in the revenue and costs solely due to changes in prices.

2.1 Revenue Effect

Revenue effect of price recovery can be measured with the help of the following formula:

Revenue Effect of Price Recovery

$$= \left[\begin{pmatrix}\text{Selling price in}\\ \text{current year}\end{pmatrix} - \begin{pmatrix}\text{Selling price in}\\ \text{last year}\end{pmatrix}\right] \times \begin{matrix}\text{Actual units of output}\\ \text{sold in current year}\end{matrix}$$

The revenue effect of price recovery measures the increase/ decrease in revenue solely due to change in selling prices.

2.2 Cost Effect

Cost effect of price recovery measures the effect of variable cost and fixed cost separately.

Cost Effect of Price Recovery for *Variable Cost*

$$= \left[\begin{pmatrix}\text{Input price in}\\ \text{current year}\end{pmatrix} - \begin{pmatrix}\text{Input price in}\\ \text{last year}\end{pmatrix}\right] \times \begin{matrix}\text{Units of input required to produce}\\ \text{current year's output in last year}\end{matrix}$$

Cost Effect of Price Recovery *for Fixed Costs*

$$= \left[\begin{pmatrix}\text{Price per unit of capacity}\\ \text{in current year}\end{pmatrix} - \begin{pmatrix}\text{Price per unit of capacity}\\ \text{in last year}\end{pmatrix}\right] \times \begin{matrix}\text{Actual units of capacity in last year,}\\ \text{if adequate to produce current year's}\\ \text{output in last year}\end{matrix}$$

3. Productivity Component

Productivity Component measures the change in the operating income due to changes in the product mix and/ or yield of inputs as compared with the last year. This component uses the current year's prices of input to measure the changes in **costs only**.

Cost Effect of Productivity for Variable Cost

$$= \left[\begin{pmatrix}\text{Actual units of input}\\ \text{used to produce current}\\ \text{year's output}\end{pmatrix} - \begin{pmatrix}\text{Units of input required}\\ \text{to produce current year's}\\ \text{output in last year}\end{pmatrix}\right] \times \text{Input price in current year}$$

Cost Effect of Productivity for Fixed Costs

$$= \left[\begin{pmatrix}\text{Actual units of capacity}\\ \text{in current year}\end{pmatrix} - \begin{pmatrix}\text{Actual units of capacity in}\\ \text{last year if adequate to}\\ \text{produce current year's}\\ \text{production in last year}\end{pmatrix}\right] \times \text{Price per unit of capacity in current year}$$

Important Calculation

Change Due to Industry Market Size Factor

$$\text{Growth Component} \times \frac{\text{Increase in sale due to market growth}}{\text{Total increase in sale}}$$

Changes Due to Product Differentiation

Particular	**Amount**
Growth in Market Share Due to Product Diff.	$\text{Growth Component} \times \frac{\text{Increase in sale due to product diff.}}{\text{Total increase in sale}}$
Increase in the Selling Price	Revenue Effect of the Price Recovery Component
Increase in Prices of Inputs	Cost Effect of the Price Recovery Component
Changes Due to Product Differentiation	**Total**

Chapter 8 - An Introduction to Strategic Performance Management

McKinsey's 7S – Page 8.13 - CSD.S25.Q30.7

McKinsey's 7S is a consulting framework that guides the **organisation to assist with organizational change, implementation of a new strategy**, **understanding the weaknesses** (blind spots) of an organization

Elements of 7S

The 7S framework is divided into two areas, i.e., Hard S and Soft S.

The **hard areas comprise 3S**, namely **Strategy, Structure and System**. It is **easy for management to influence and change this area** because these 'hard' elements are easily quantified and defined, and deal with facts and rules.

Whereas **soft areas comprise 4S**, namely **Style, Staff, Skills, and Shared values**. Since these are **influenced by the culture of the organisation**, hence more difficult to describe (less tangible), it is therefore relatively difficult for management to make change.

Altman Z Score for Private Firms, Non-manufacturers, and Emerging Markets (1983) – Page 8.37 - CSD.S25.CS2 & Journal Feb 2025. CS2. Q2.3 – M

It predicts the **probability** that a firm will go into **bankruptcy** within the **next two years**.

Z score for **private company** $= 0.717X_1 + 0.847X_2 + 3.107X_3 + 0.420X_4 + 0.998X_5$

Wherein,

X1 = working capital/total assets

X2 = retained earnings/total assets

X3 = earnings before interest and tax/total assets

X4 = book value of equity/total liabilities

X5 = sales/total assets

The computed Z score indicates the likelihood of failure (bankruptcy) as per the table shown below–

Z-Score	Zone of discrimination	Prediction regarding corporate failure (due to bankruptcy)
Less than 1.23	Distress	Companies with a Z score of below 1.23 are in danger and possibly heading towards bankruptcy.
1.23 to 2.99	Grey	Companies with scores 1.23 to 2.99 need further investigation.
More than 2.99	Safe	Companies with a score more than 2.99 are financially sound.

Above Z score is for private company, Z score for pubic company is on page 8.35 of SCPM study material

Chapter 9 Strategic Performance Measures In Private Sector

Dimension (sets) of Triple Bottom Line – Page 9.36 - CSD.S25.CS1 & Journal Feb 2025.Q1.5. PY.S25.Q3.6, PY.J26.Q4.3

The Triple Bottom Line (TBL) is a **business framework measuring success beyond just financial profit**, focusing equally on People, Planet, and Profit

1. **Planet**, the **environmental** bottom line measures the **impact on resources**, such as air, water, ground, and emissions to determine the environmental impact and ecological footprints.
2. **People**, the **social equity** bottom line relates **to corporate governance, motivation, incentives**, health and safety, human capital development, human rights, and ethical behaviour.
3. **Profit**, the **economic** bottom line, refers to measures that maintain or **improve the company's success in terms of adding value** to shareholders.

Return on Investment (ROI) – Page 9.10

TYK 2 – Page 9.42 - CSD.M25.CS5.Q5.8 – D, CSD.S25.CS4.Q4.6 - D

ROI expresses divisional **profit as a percentage of the assets** employed in the division. Assets employed can be defined as total divisional assets, assets controllable by the divisional manager, or net assets

$$\textbf{ROI} = \frac{\textbf{Contollable Profit}}{\textbf{Controllable Net Assets}}$$

Controllable profit = Profit **before indirect overheads** which are not controllable by division

Particulars	Amount
Sales	XX
Less: Variable Cost	(XX)
Contribution	XX
Less: Relevant fixed cost	(XX)
Less: Depreciation	(XX)
Controllable Operating profit	XX

Controllable Net Asset = Fixed asset + Current asset – Current liability of division

Since ROI is rate of earning as percentage of investment, hence while assets getting older the amount of investment reduced; resultantly if same productivity or efficiency is maintained then ROI improves.

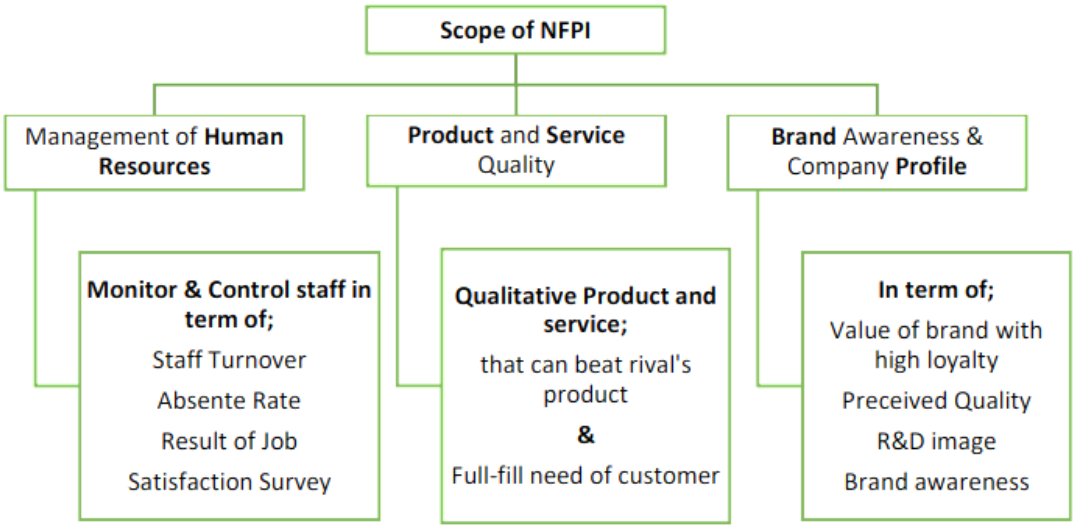
Residual Income (RI) – Page 9.11

Residual income is the **excess of controllable profit over** a predetermined organisation-wide minimum hurdle rate (**cost of capital charge**) **on the investment** controllable by the divisional manager. So higher the residual income means better performance.

Residual Income = Controllable profit – (Cost of capital × Controllable Net Asset)

Non - Financial Performance Measures – Page 9.19 - CSD.S25.CS4.Q4.6

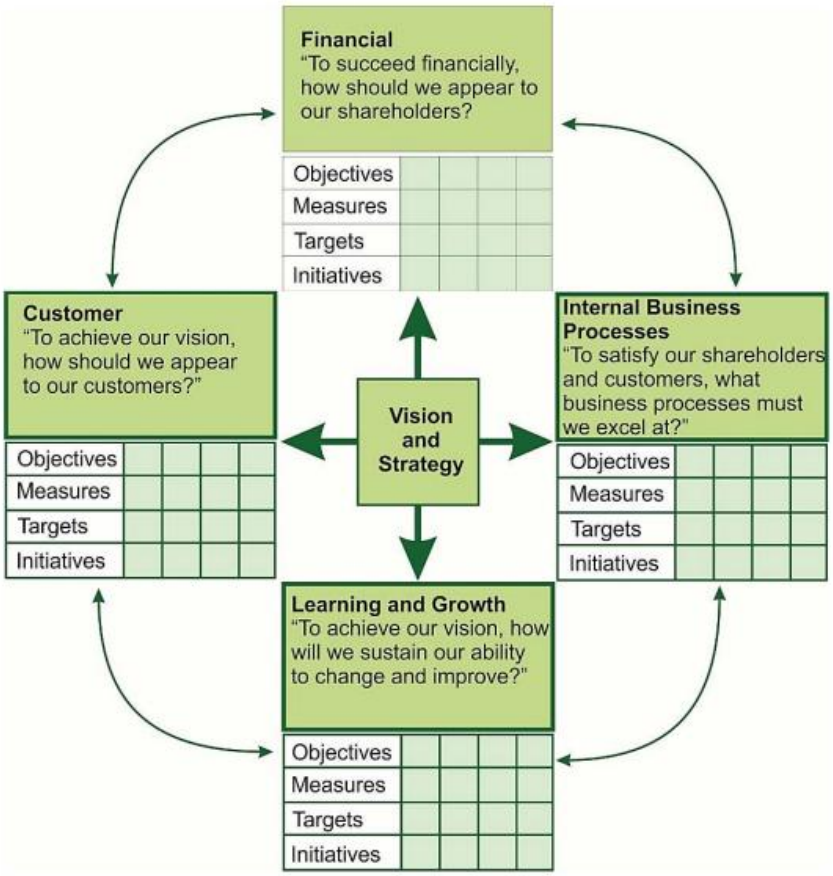
The **performance management system, which also considers non-financial performance indicators in addition to financial performance indicators**; is capable of **ensuring sustainable performance in all functional areas**; hence, its scope is organisation wide. In regard to the three functional areas specifically mentioned in the case scope, shall be



Balanced Scorecard - linkage between performance measures – Page 9.26 PY.S25.Q5.3

The balanced scorecard is a method that displays an **organisation's performance in four dimensions** namely **financial, customer, internal and innovation**. The four dimensions acknowledge the interest of shareholders, customers, and employees, taking into account of both long-term and short-term goals.

3.1.3 The following figure summarizes the ideas of a Balanced Scorecard –



Value for Money (VFM) Framework – Page 10.5 - PY.J26.Q3.6

VFM framework can be used for measurement of performance in the not-for-profit sector because Not-for-profit organisations are expected to provide the best possible value from available money (usually limited). VFM framework ensures–

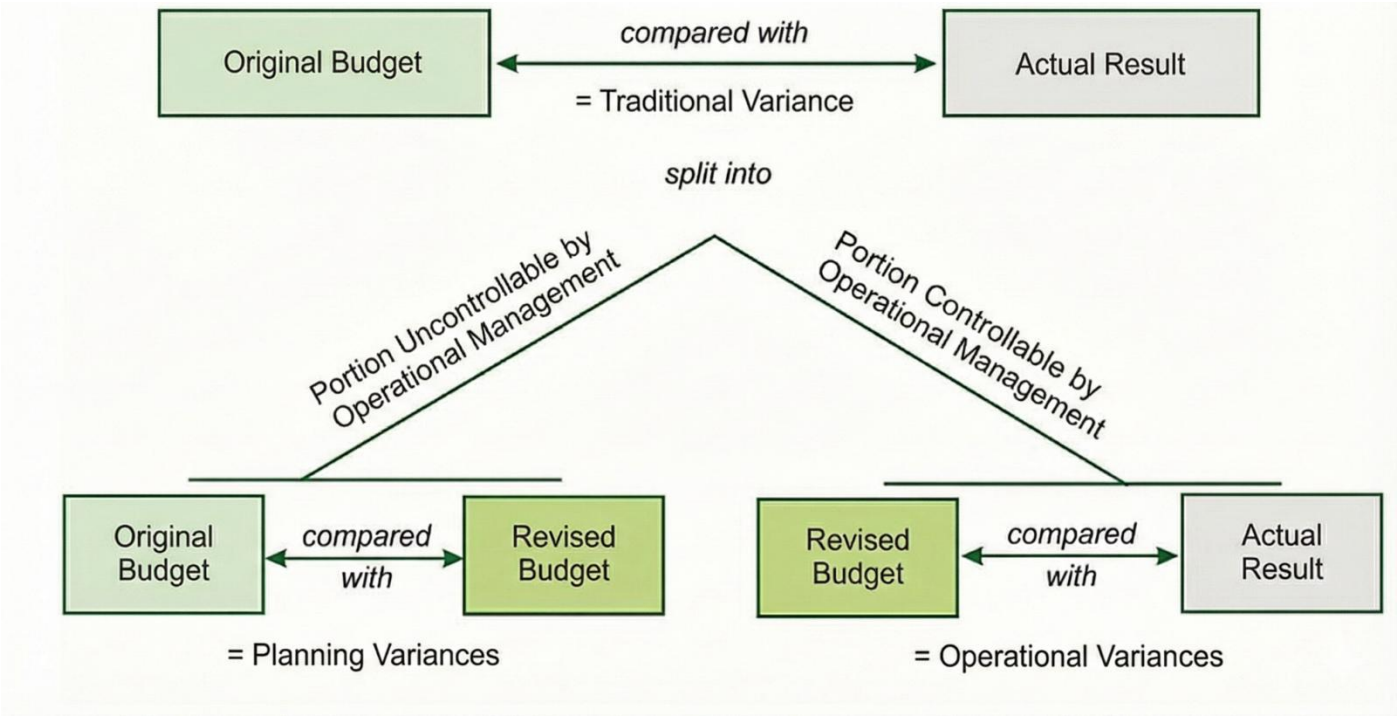
1.1 **Effectiveness (spend wisely)** (an output measure, the goal approach) → whether the organisation has **achieved its desired mission and objectives**?

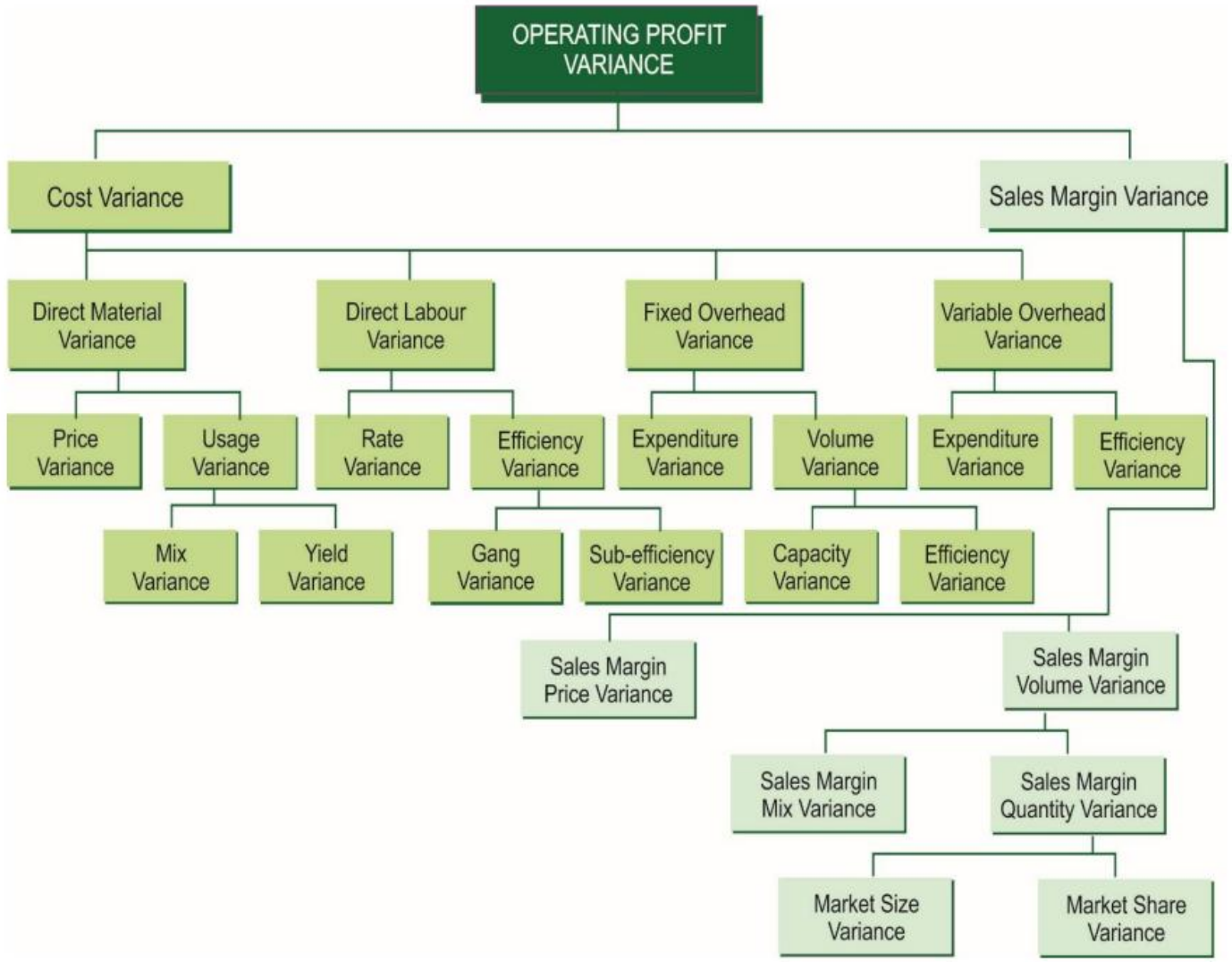
1.2 **Efficiency (spend well)** (a link between input and output factor, as a process approach) → Whether the **resources and funds** available to the organisation have been **efficiently utilised** i.e., maximum output has been obtained with minimum input?

1.3 **Economy (spend less)** (as an input measure, the resource approach) → Whether the appropriate **quantity and quality of inputs are available at the lowest cost**?

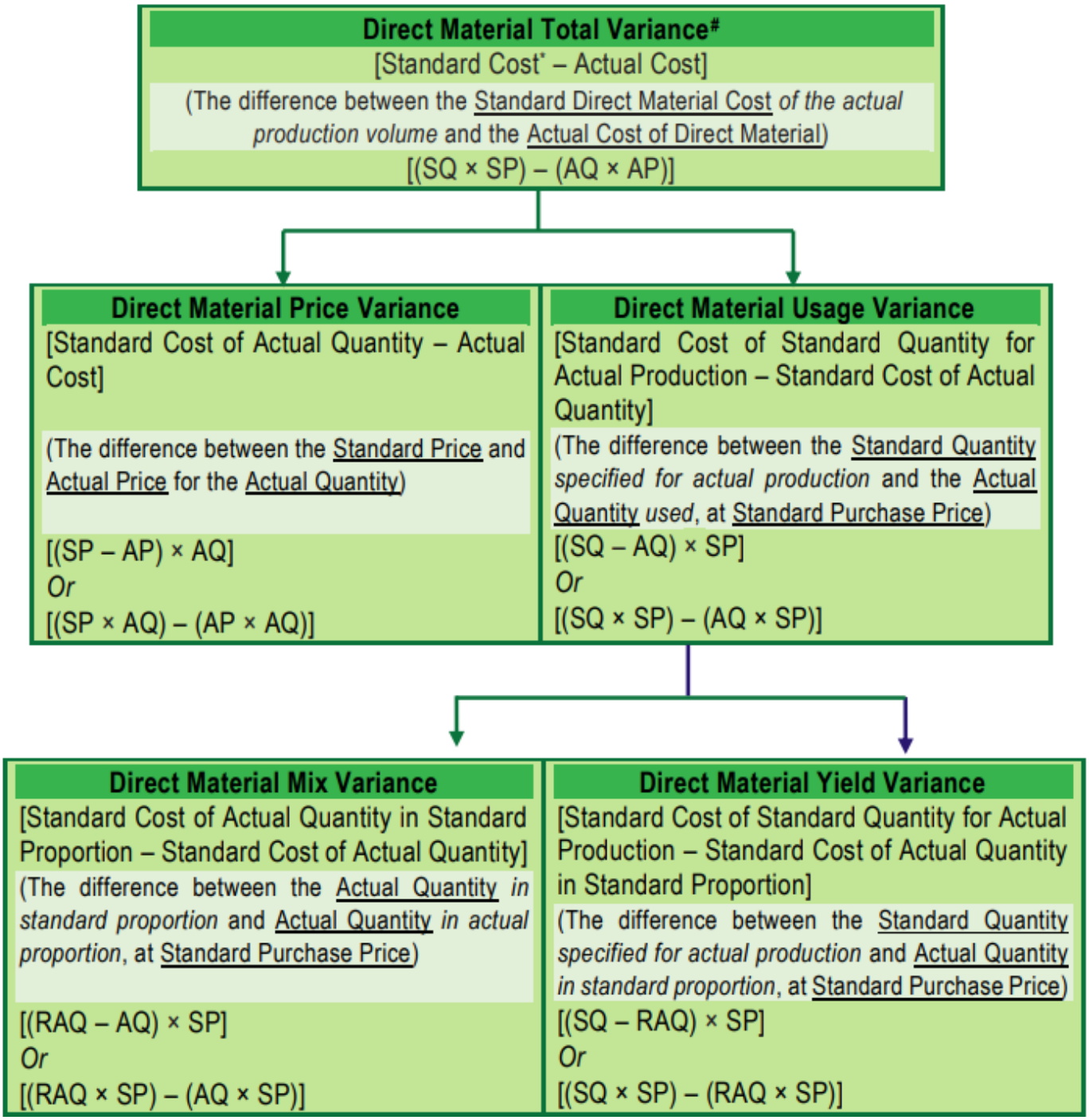
Note – Now two more Es have been added, i.e., **Equity (spend fairly) and Ethics (spend properly)**. It is worth to note that five elements (to ensure the value for money framework works properly) need to be taken care of: Input, Process, Output, Outcome, and Impact

Analysis of advanced variances – Page 13.2 - PY.S25.Q5.6, PY.N24.Q2.8





Budgeted Profit				❑
(Budgeted Quantity × Standard Margin)				
Effect of Variances				
Material Cost Variance				
Material Price Variance		❑		
Material Usage Variance				
Material Mix Variance	❑			
Material Yield Variance	❑	❑	❑	
Labour Cost Variance				
Labour Rate Variance		❑		
Labour Idle Time Variance		❑		
Labour Efficiency Variance				
Labour Mix Variance	❑			
Labour Sub-Efficiency Variance	❑	❑	❑	
Variable Overhead Cost Variances				
Variable Overhead Expenditure Variance		❑		
Variable Overhead Efficiency Variance		❑	❑	
Fixed Overhead Cost Variances				
Fixed Overhead Expenditure Variance		❑		
Fixed Overhead Volume Variance				
Fixed Overhead Capacity Variance	❑			
Fixed Overhead Efficiency Variance	❑	❑	❑	
Sales Margin Variances (in terms of Profit)				
Sales Margin Price Variance		❑		
Sales Margin Volume Variance				
Sales Margin Mix Variance	❑			
Sales Margin Quantity Variance	❑	❑	❑	❑
Actual Profit				❑


Direct Material Total Variance#
[Standard Cost* – Actual Cost]
(The difference between the Standard Direct Material Cost of the actual production volume and the Actual Cost of Direct Material)
[(SQ × SP) – (AQ × AP)]
Direct Material Price Variance
[Standard Cost of Actual Quantity – Actual Cost]
(The difference between the Standard Price and Actual Price for the Actual Quantity)
[(SP – AP) × AQ]
Or
[(SP × AQ) – (AP × AQ)]
Direct Material Usage Variance
[Standard Cost of Standard Quantity for Actual Production – Standard Cost of Actual Quantity]
(The difference between the Standard Quantity specified for actual production and the Actual Quantity used, at Standard Purchase Price)
[(SQ – AQ) × SP]
Or
[(SQ × SP) – (AQ × SP)]
Direct Material Mix Variance
[Standard Cost of Actual Quantity in Standard Proportion – Standard Cost of Actual Quantity]
(The difference between the Actual Quantity in standard proportion and Actual Quantity in actual proportion, at Standard Purchase Price)
[(RAQ – AQ) × SP]
Or
[(RAQ × SP) – (AQ × SP)]
Direct Material Yield Variance
[Standard Cost of Standard Quantity for Actual Production – Standard Cost of Actual Quantity in Standard Proportion]
(The difference between the Standard Quantity specified for actual production and Actual Quantity in standard proportion, at Standard Purchase Price)
[(SQ – RAQ) × SP]
Or
[(SQ × SP) – (RAQ × SP)]

Direct Labour Total Variance[1]

[Standard Cost[2] – Actual Cost]

(The difference between the Standard Direct Labour Cost and the Actual Direct Labour Cost *incurred for the production achieved*)

[(SH × SR) – (AH* × AR)]

Direct Labour Rate Variance

[Standard Cost of Actual Time – Actual Cost]

(The difference between the Standard Rate *per hour* and Actual Rate *per hour* for the Actual Hours *paid*)

[(SR – AR) × AH*]

Or

[(SR × AH*) – (AR × AH*)]

Direct Labour Idle Time Variance

[Standard Rate per Hour × Actual Idle Hours]

(The difference between the Actual Hours *paid* and Actual Hours *worked* at Standard Rate)

[(AH* – AH#) × SR]

Or

[(AH* × SR) – (AH# × SR)]

Direct Labour Efficiency Variance

[Standard Cost of Standard Time for Actual Production – Standard Cost of Actual Time]

(The difference between the Standard Hours *specified for actual production* and Actual Hours *worked* at Standard Rate)

[(SH – AH#) × SR]

Or

[(SH × SR) – (AH# × SR)]

Direct Labour Mix Variance Or Gang Variance

[Standard Cost of Actual Time *Worked* in Standard Proportion – Standard Cost of Actual Time *Worked*]

(The difference between the Actual Hours *worked in standard proportion* and Actual Hours *worked in actual proportion*, at Standard Rate)

[(RAH – AH#) × SR]

Or

[(RAH × SR) – (AH# × SR)]

Direct Labour Yield Variance Or Sub-Efficiency Variance

[Standard Cost of Standard Time for Actual Production – Standard Cost of Actual Time *Worked* in Standard Proportion]

(The difference between the Standard Hours *specified for actual production* and Actual Hours *worked in standard proportion*, at Standard Rate)

(SH – RAH) × SR

Or

(SH × SR) – (RAH × SR)

Variable Overhead Total Variance@

(Standard Variable Overheads for Production – Actual Variable Overheads)

Variable Overhead Expenditure (Spending) Variance

(Budgeted Variable Overheads for Actual Hours#)

Less

(Actual Variable Overheads)

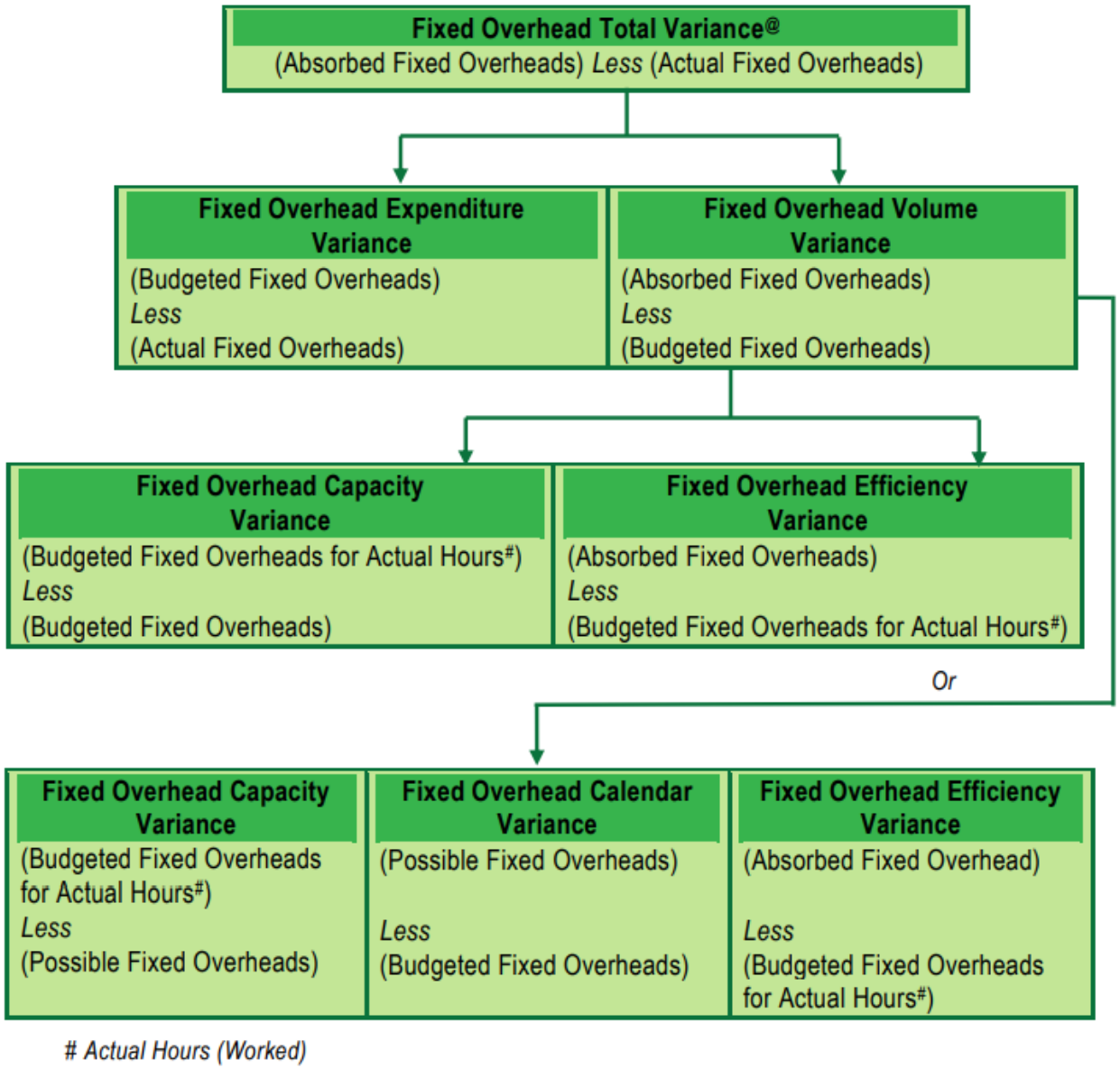
Variable Overhead Efficiency Variance

(Standard Variable Overheads for Production)

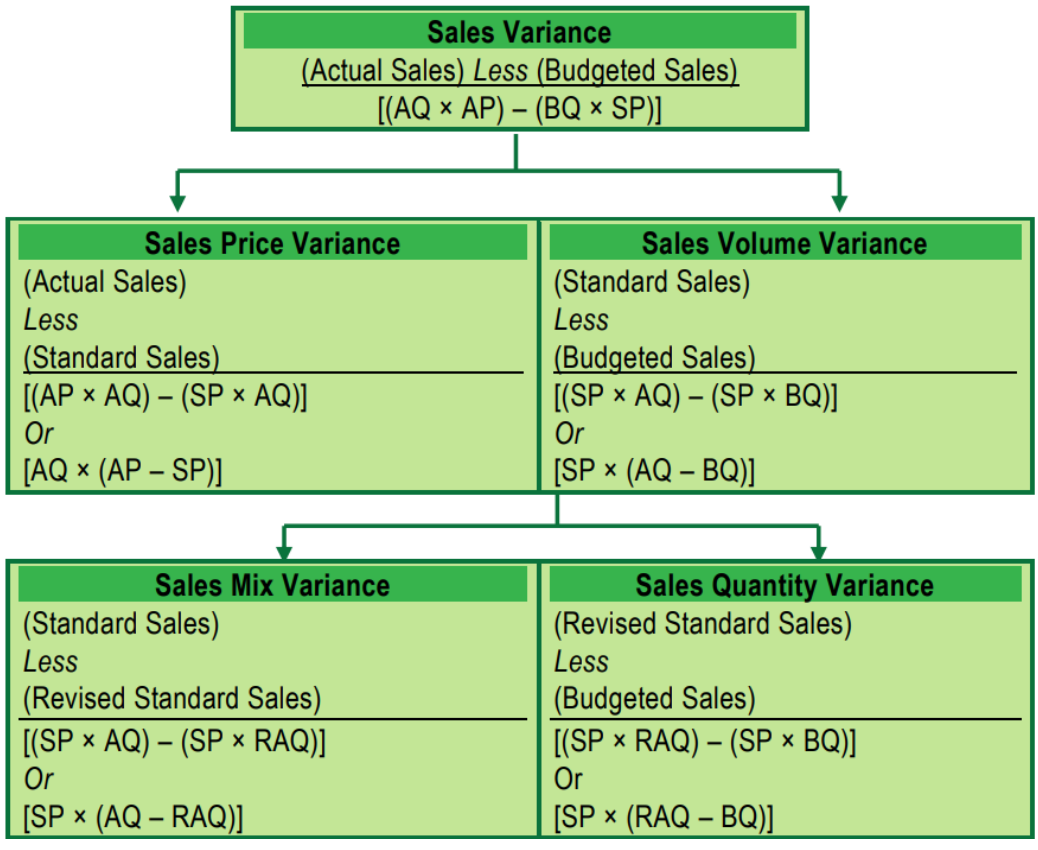
Less

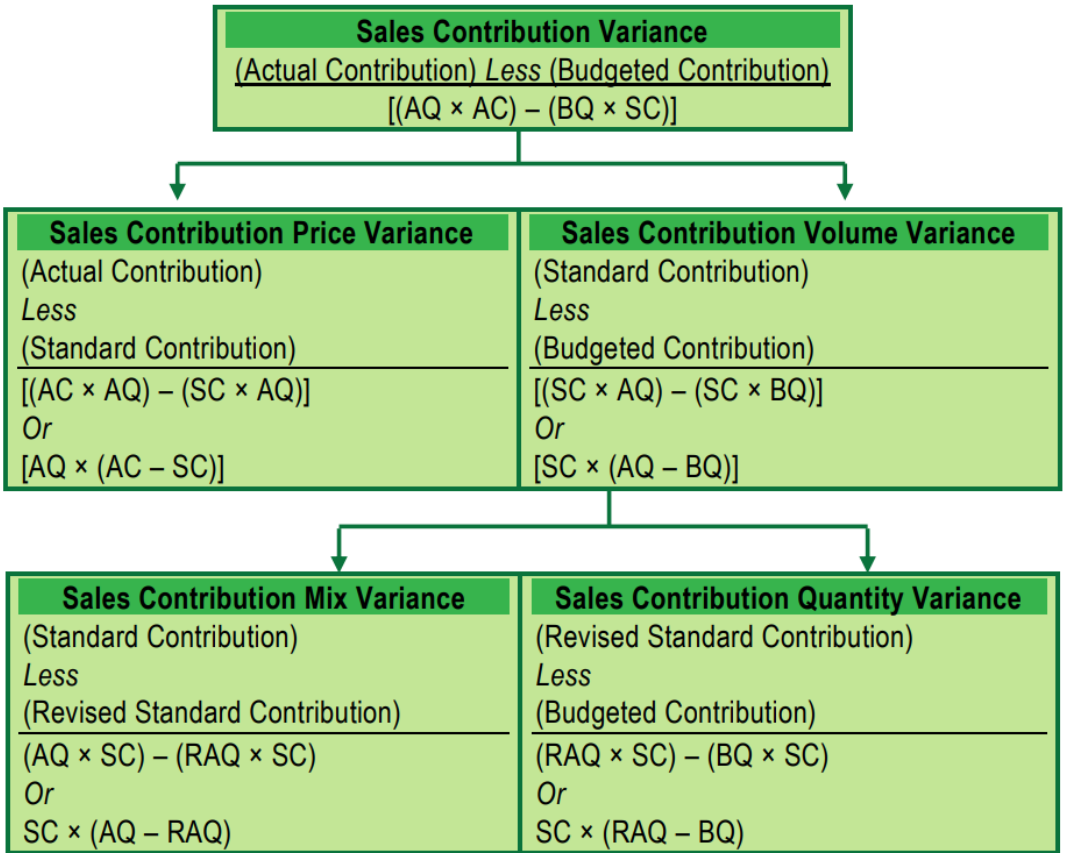
(Budgeted Variable Overheads for Actual Hours#)

Actual Hours (Worked)



Actual Hours (Worked)





Learning Curve – Page 13.9 - CSD.S25.CS7.Q7.8 - D

Learning curve is a **geometrical progression**, which reveals that there is **steadily decreasing cost for the accomplishment** of a given repetitive operation, as the identical operation is increasingly repeated

The usual learning curve model is

$$y = ax^b$$

Where,
y = Average time per batch (hours) for x batches
a = Time required for first batch (hours)
x = Cumulative number of batches produced
b = Learning coefficient

General points for MCQ

CSD.S25.CS1 & Journal Feb 2025. Q1.3

In house manufacturing of raw material will

1. Save cost to cost leadership strategy.
2. Builds resilience within the supply chain management.
3. Create backward vertical integration

CSD.S25.CS1 & Journal Feb 2025.Q1.4

Potential hurdles while gathering information of various non-financial considerations

1. The time and cost involved in gathering this information should be viable and feasible.
2. Non-financial considerations can at times have subjective attributes which make them difficult to measure.
3. Improper choice of measures can lead the management to focus attention on the wrong objectives.
4. Decisions based on non-financial measures help in **long term**

CSD.M25.Q5.5

The EDI system will improve the system for sourcing and purchasing materials.

PY.J26.Q2.1

Standardized Work

Uniform procedures for tasks, **minimizing variability**, enhancing training efficiency, and ensuring consistent quality and stable workflows.

Visual Management

To **save search time and eliminate motion waste** with a search free and count free arrangement

Value Stream System

To **visualize every step** in a process, **identify non-value-added activities** and enhancing adaptability or flexibility.